

Aditya Vision (AVL)

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Call: May 2023

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R Aditya Vision Limited R
R April 28, 2023

Date- May 26, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400 001

SCRIP Code: 540205

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the quarter and year ended March 31, 2023

Dear Sir

Further to our letter dated May 11, 2023, please find attached herewith a copy of the transcript of the Analysts/Investors Call on the Standalone Audited Financial Results of Aditya Vision Limited for the quarter and year ended March 31, 2023 held on Friday, May 19, 2023.

The same is also being made available on the Company's website at: www.adityavision.in .

This is for your information and record.

Thanking you

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

100+STORE
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"Aditya Vision Limited
Q4 FY '23 Earnings Conference Call"
May 19, 2023

MANAGEMENT : MR. YASHOVARDHAN SINHA –CHAIRMAN AND
MANAGING DIRECTOR – ADITYA VISION LIMITED
M S. YOSHAM VARDHAN – DIRECTOR, STRATEGY
AND CORPORATE PLANNING – ADITYA VISION
LIMITED

MODERATOR : MR. NIKHIL SHETTY – NUVAMA GROUP

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY23 Earnings Conference Call for Aditya Vision Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nikhil Shetty from Nuvama Group. Thank you and over to you, sir.

Nikhil Shetty: Thank you. Good day, everyone. On behalf of Nuvama Professional Clients Group, I welcome you all to Q4 and full year FY23 earnings conference call of Aditya Vision Limited. So we take this opportunity to thank management of Aditya Vision for giving us the opportunity to host this post-earning conference call. From the management, we have with us today Mr. Yashovardhan Sinha, Chairman and Managing Director, Mrs. Yosham Vardhan, Director and Strategy, Corporate Planning. I now hand over the call to the management to share a brief introduction about the company and highlights of the results, post which we will open the floor for question-and-answer session. Thank you and over to you, Sinha sir.

Yashovardhan Sinha: Thank you, Nikhil. Good evening, ladies and gentlemen. I welcome all the participants to this inaugural earnings call of Aditya Vision. As this is our maiden call, I would like to discuss the journey of Aditya Vision, followed by the strategic updates for FY23. Our investor presentation has been uploaded on the exchange and we hope you have had the opportunity to review it also.

Our company, Aditya Vision Limited, was conceptualized in 1999 with a vision to provide the people of Bihar with high quality electronic products at competitive prices and exceptional customer service. For us, every customer is our guest and we believe in building a relationship of trust with them as our tagline symbolizes, Sambandh Bharose Ka.

I am a first generation entrepreneur myself and I have worked with PSU Bank for almost 20 years. Aditya Vision's journey began in 1999 with the establishment of a single showroom in Patna, Bihar, based on a simple yet unique business model. We started expanding in Patna from 2006 to 2013. Thereafter, with improvement in power situation in the rest part of Bihar, in 2014 we started expanding out of Bihar's Patna district in other district headquarters of Bihar. In 2016, when we had 16 showrooms, we came out with an IPO and raised 5.8 crores and got listed on BSE. Since this issue, we have not raised any fund till date. After IPO, we have experienced remarkable growth and we scaled up to 43 stores till FY 2020. And in COVID period of FY 21 and FY 22, when the entire world was in shock and distress, we took this as an opportunity and added 36 stores to reach 79 stores

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in FY 23. We have expanded our presence to a total 105 stores across the underpenetrated markets of Hindi heartland, Bihar, Jharkhand and Uttar Pradesh as was our strategy. We stayed in Bihar from 1999 to 2021, fortifying and consolidating our presence. And then only in FY 22, we entered Jharkhand where we currently have 17 stores. Then in end FY 23, we now have entered Eastern UP with four stores taking our total count to 110 stores as on date.

In Bihar, specifically as per Crisil report, we have achieved a significant market share of over 50%. Jharkhand and Eastern UP are contiguous markets with cultural similarities where Aditya Vision is a familiar name. It offers a large and underpenetrated consumer market and absence of organized competition. Over time, we anticipate that t

hese areas
have the potential to be as large as our core Bihar market.

Our success can be attributed to our unwavering commitment to a customer-centric approach. By prioritizing the needs and preferences of our customers, we have been able to understand the requirements better and build strong relationships with them. This customer-centric focus has resulted in enhanced customer loyalty and retention. We consistently strive to tailor our customer services to meet their specific needs, further solidifying their loyalty and trust in us. This approach not only fosters customer stickiness but also provides us with the confidence to continue expanding and growing in the future. We take pride in our dedicated customer service call center called Aditya Seva with a team of over 30 skilled employees addressing the grievances of our customers in the shortest possible time across three states.

Our business model focuses solely on pure retailing of products purchased from original equipment manufacturers (OEM) and we do not engage in private labels. We have cultivated long-term partnerships with reputed OEMs, allowing us to offer a diverse range of products to our customers. These OEMs not only support us in meeting the needs of our customers but also offer full support to our store expansion plans.

In 2016, the year of our IPO, our revenue was INR240 crores and PAT was just a mere 1 crore. Since then, we have grown revenue to reach INR1,322 crores and PAT of INR64 crores, representing a seven-year compounded growth rate of 28% in revenue and 77% in PAT.

There were certain queries raised by few investors owing to an article circulated on social media. In our opinion, it is unfortunate that they published it without checking with us because many of the points raised there could have been easily clarified. Our company has been very diligent in paying its taxes and dues. Our company has already clarified in a letter dated July 3rd 2021, which was uploaded to the exchange that there was just a delay in filing GST returns for the period April 2018 to July 2018, which as you would appreciate Aditya Vision Limited

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was the initial phase of GST implementation. The matter was resolved with the filing of returns utilizing our input credits alone. We are proud to state that though we are a 23-year-old company, there is no pending litigation with any statutory government department, not even in any tribunal or any court.

We take immense pride in the fact that the company has had zero store closure since its inception, including the years of the COVID-19 pandemic. On the contrary, we took the pandemic as an opportunity to not only expand but also undertake a comprehensive revamp of all our existing stores, including addition of new floors and upgrading of air conditioners and other electronic equipment. We also added new floors and revamped our head office. We also migrated to new ERP with latest capabilities of capturing serial numbers for our SKUs at several purchase and sale points, which led to requirement of additional computers, printers, barcode scanners for each store and integrated warehouses in those stores. New laptops are given at various points of need to staff in head office and branches working from home during the pandemic, which resulted in higher gross block.

In FY22, we made inroads in the states of Jharkhand, where we undertook store opening and hospitality activities on a very large scale, aiming to create a lasting impression on our customers, which makes us irreplaceable by upcoming peers and competition. With rising geographical reach of our company outlets, it's very important for new store openings and celebrations of new achievements with staff as well as customers together. We also celebrate at a grand stage our annual reward and loyalty program, Buy and Win, and widespread its reach at each of

our outlets, where we invite and serve all our existing customers, which led to rise in hospitality expenses. And we expect to continue to do so. To support our employees during the pandemic, when the stores were closed or operational for a limited number of days, we gave them advances, which were now being adjusted against their salaries. We also have adjustable advances to landlords for customization of premises, several premises which were under construction during those times, in order to maintain our store growth momentum.

We migrated to Ind AS 116 from FY '21, and for our company operating in this geography, to adapt to new accounting standards took some time. While we adopted Ind AS 116, the principles are new and ever evolving and accounting treatments under it are still being clarified with passage of time. To ensure the accuracy of our financial statements and especially impact of Ind AS 116, I am happy to inform you that Grant Thornton has been engaged by us for computation and implementation of Ind AS 116 as well as for our additional work of review of our overall financial statement of FY23. Changes in the nature of classification and grouping has been incorporated under their review. The company has reclassified certain amount presented as March 31, 2022. These reclassifications were

in accordance with the Ind AS 7, the statement of cash flows and the requirements as specified under Schedule 3, Division 2 of the Companies Act, 2013. These changes in classification do not impact the total cash flow of the company, but rather affect the allocation of cash flows among operating, investing and financing activities. We remain deeply committed towards upholding highest standards of corporate governance. In our experience, one of the key reasons for downfall of retail companies has been excessive growth and deteriorating unit economics. Hence, we believe in calibrated expansion along with extreme focus on store-level economics to ensure we achieve store breakeven within six months with a payback period of three years. Our stated goal is 150 stores by financial year 2025. We have already opened five more stores in FY '24 and have already entered into lease agreements for another 20 more stores. We are confident of achieving our target, if not bettering it.

Lastly, we believe one of the key pillars of our success is our employees. A company's culture determines its destiny. I personally spend time to ensure we are fostering the right principles and culture in our organization. With the objective of sharing our success and aligning long-term incentives to our employees, we have granted ESOPs to over 300 employees, widely distributed to include not just senior-level executives but also store managers, cashiers, warehouse and service executives.

I am glad to welcome our two Directors appointed on our board today. Mr. Ravindra Zutshi, appointed as non-executive independent director, has an illustrious experience of sale, marketing and operations of over 45 years in the Indian consumer electronics and consumer durable industry. He is a respected consumer durable veteran who has worked with Samsung India for 19 years as deputy managing director, where he played a vital role in setting up the brand in India. He has also worked with LG Electronics India Private Limited as senior director, India head for business enterprises till 2020. And his last assignment was with Havells India Limited as president, business development and corporate affairs from '21 to '23. It is our pleasure to have him on our board and we look forward for his guidance and strategic insight in future.

Along with Mr. Zutshi, I welcome Yosham Vardhan on the board as whole-time director. Yosham joined Aditya Vision in early 2021 as director, strategy and corporate plann

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and has played an important role in growth and expansion of our company. Prior to joining Aditya Vision, she was a partner in a leading law firm in Mumbai with over nine years' experience where she was advising corporates on cross-border mergers and acquisitions and private equity transactions.

It is with great pleasure that I announce that our company has exceeded its expectations by achieving an impressive revenue growth of 47% and a PAT growth of 82% in FY '23.

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With regard to Q4, the revenue generated in the months of January and February was strong with more than 35% growth Y-o-Y. However, sales in March were affected by unseasonal rain, impacting our quarterly performance to that extent. With our such strong sales, we achieved a remarkable same store sales growth of over 38% for financial year '23.

In Q4 FY '23, Y-o-Y, our PBT went up by more than 128% from INR6.20 crores to INR14.15 crores. But PAT was lesser Y-o-Y due to adjustment in income tax as there was a reversal of tax in Q4 FY '22 owing to restatement of quarterly numbers on implementation of Ind AS 116. So, the impact was only due to income tax, our net profit.

Our business has an element of seasonality with Q1 being traditionally very strong due to vertical growth in demand of ACs, refrigerators, room coolers and other refrigeration products. As such, as part of our business strategy, we adopt an aggressive inventory acquisition approach to avoid stock-out situations. We start stocking inventory, especially compressor products, from the beginning of Q4 itself to be well prepared for the sudden summer season demand of next year Q1. Also, at the financial year end, we get very good deals from OEMs which we are confident to easily liquidate in Q1. Consequently, our inventory remains at highest level at March end. Our inventory grew by 39% in FY '23, which aligns with our revenue growth of 47% and opening of 26 new stores in this period as we had to stock additional seasonal products for new stores as well.

Overall, the company had an exceptional year, delivering a stellar performance and we remain confident that our performance in the years to come will continue in the same

manner as we have been delivering in the past year. Now, I will hand over to Yosham Vardhan to discuss the financial highlights of the year. Yosham?

Yosham Vardhan: Thank you, sir. Good afternoon, ladies and gentlemen. We are thrilled to present the strong financial performance of FY '23. Here is an overview of our financial results.

■ In FY '23, our revenue experienced a year-over-year increase of 47% resulting from increase in scale of operations.

■ We successfully maintained gross margin at 15.96% driven by an optimal product mix.

■ The profit after tax for the year increased by 82% and reached INR64 crores primarily driven by a robust Y-o-Y growth in EBITDA of 60%.

■ As previously mentioned, our store count reached 105 in FY '23. We commenced this financial year by opening five new stores in Bihar, Jharkhand and Uttar Pradesh, taking the overall count to 110 stores as on date.

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■ Our gross debt is INR270 crores, while our net debt is INR185 crores. Therefore, our net debt-to-EBITDA stood at 1.39x while net debt-to-equity is at 1.40x.

■ We have always been focused on generating superior ROE. The ROCE and ROE for the year were 28% and 60% respectively.

We can now open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer-session. The first question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Yes, ma'am, for the fourth quarter, what will be the SSG? Is it fair to assume that because of the store expansion, there is no SSG in the fourth quarter?

Yashovardhan Sinha: SSG has been calculated in the entire year and not on the fourth quarter.

Pritesh Chheda: What will be for the fourth quarter, sir?

Yashovardhan Sinha: We will get back to you for the fourth quarter. Our IR will get back to you.

Pritesh Chheda: Okay. Sir, just my other question. I am just looking at the cash flow. From the inventory addition of about INR84 crores, versus the store expansion, if you could help us understand that. Because your PPT talked about a certain inventory number per store. And I am just trying to correlate with that INR84 crores number?

Yashovardhan Sinha: What I already have spoken earlier, we have opened 26 new stores during this period. And there are several stores in the pipeline also which are going to be just opened. And primarily, this is what I said that for the summer season, we have to stock air conditioners, refrigerators, air coolers and other refrigeration products. So, we are quite high on inventory at the end of the financial year. And we get good discounts also from the OEMs. So, this has led to the rise of inventory. And in fact, for new stores also, we had to keep extra inventory of compressor products.

Pritesh Chheda: So usually your inventory turn year-end and mid-year, how will it differ, sir?

Yashovardhan Sinha: We are very high at the year-end, no doubt about it. Because we have already spoken about this that it actually coincides with the financial year-end also. And it coincides with the beginning of summer season also. So, for all OEMs, it is the financial year-end that this March. So, what happens is that they are also very keen to give us a very good bargain. And since we are entering into very, very busy days, we are high on inventory so that we can make most of the margins and our profits.

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Pritesh Chheda: So, your inventory turn will be what? Less than 2x, if I have to look at the year-end number?

Yashovardhan Sinha: You are talking about the entire year?

Pritesh Chheda: Yes.

Yashovardhan Sinha: No, it will be more inventory. Days are around...

Pritesh Chheda: No, not inventory days. I am looking at sales upon inventory, sir.

Yashovardhan Sinha: Sales upon inventory, it will say. Then it is 80 days.

Pritesh Chheda: Okay, I will take this offline. And my last question is, sir, how do you see the season panning out, sir?

Yashovardhan Sinha: Season is good. Of course, the unseasonal rains are there. But we are confident of achieving our goals.

Pritesh Chheda: And what kind of top-line growth do you look at in FY '24?

Yashovardhan Sinha: Definitely, we will be looking towards more than 20%.

Pritesh Chheda: Okay, sir.

Moderator: Thank you. The next question is from the line of Akshat Mehta from Sameeksha Capital Private Limited. Please go ahead.

Akshat Mehta: Yes, thank you for the opportunity. I have a couple of questions for you in this talk, if you can answer them. Going forward, you were saying that you were going to have around 20% revenue growth going forward. But the store additions that you are saying, 25 store additions per year, that is around 30%. So, I mean, can you explain why your overall revenue growth is lower than the store additions growth itself?

Yashovardhan Sinha: No. What I said is that we will at least grow by 20%. It is not limited to 20%. Akshat, we target, in fact, we have been, historically, we have been growing at a pace of around 27%-28%. So, in my opinion, there is no reason why we should not achieve that, what we have done in past 10 years. So, what we are, our aim will be to achieve, to stick to that. And I said that when I meant that minimum 20% growth has to come, looking, going ahead.

Akshat Mehta: Okay. My second question is on, the new stores that you have opened up in UP and Jharkhand. Can you give some color on how those stores are performing, whether those are similar to Bihar, the market or not? And additionally, what will be only for what the

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inventory required per store or the inventory returns in those stores? If you can give some color on that.

Yashovardhan Sinha: What I could hear from Akshat is that you want to know how our stores are doing in Jharkhand and UP?

Akshat Mehta: And the inventory that will be required there, inventory per store required in those stores, and how is it doing compared to Bihar?

Yashovardhan Sinha: No, it's very similar to what we are having in Bihar. And since this is another state and, but our billings are all centralized from OEMs also. So, inventory, bigger as I've told you always that, very big stores like 4,000 square feet to 6,000 square feet stores, we are having inventory of around INR3 crores. So, and these stores in Jharkhand, they are doing very well. Let me tell you, and we have started with a very big bang in Uttar Pradesh also. And right now, we have so far opened 17 stores in 14 districts of Jharkhand and four stores are under construction there in four districts.

And similarly, we have opened already opened four stores in eastern Uttar Pradesh, which is Varanasi and one in Jaunpur and 10 stores are under construction. And inventory level is almost same as what is in Bihar because what I have been talking about is that traditionally, culturally, seasonally also all these states are similar in nature.

Akshat Mehta: Okay. I think one more question I can add. You have been making a fantastic Gross margin for the last two years, of around 16%. Going forward in your PPT, you said that the stores will make around 12% to 15% margin. So, is there any specific reason that you're going for your guiding lower than mid-range? Are there any [inaudible 0:26:38] in gross margins or, these are kind of sustainable?

Yashovardhan Sinha: No, we always give a guidance of a range. We cannot give you exact guidance of what margin you are going to...

Akshat Mehta: So, again, the range is 12% to 15%, whereas you are making 16% since last two years. So, that is why, even the upper end of the range is lower than what you are making currently.

Yashovardhan Sinha: That's good. I'll say that is good for the company and investors. So, we are at a -- right now we are on the upper range of the upper band range. But our guidance will always remain between 14% and to 16% of gross margin. And if we achieve 16%, our company is doing really very well. And when we present -- whatever guidance we give, so the guidance has been given from historical data also.

Akshat Mehta: Okay. I'll come back in the queue, sir. Thank you.

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Yashovardhan Sinha: Okay. Please.

Moderator: Thank you. The next question is from the line of Praveen Ranjan Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: Yes. Hi, sir. Many congratulations on a good set of numbers. The first question is related to your average selling price, which is continuously increasing on a Y-o-Y basis if I look at. So, can you give some color on that? Is it because of a high value product you are continuously adding or some product differentiation in the store, new stores you are extending? Is it because of that? And what exactly is the reason?

Yashovardhan Sinha: Praveen, the reason is that, in fact, I've already spoken also that actually people are shifting towards the premium products. And contrary to what people think that in this part, people

will prefer the cheaper range of model of that. But that's not the reason. In this part of geography, in fact, people want to buy something. Value buying is there. So, they always aim to buy the best model, the most premium product. Like we are having, it will be very surprising that we are selling highest numbers of five-star rated air conditioners. Our share of entire rating in entire sale of air conditioners. So, the numbers are going up. Average selling price is going up just because -- otherwise, there are other, as you know, new, very easy fin

ancing has also come in. All financiers are there, retail financiers are there.

So, it becomes easy for them to upgrade their product. Our customers can easily upgrade their product. So, average selling price, and this is what we expect that we'll keep on increasing our average selling price going by the trend.

Praveen Sahay: So, is it because of the product, this average selling price is improving largely?

Yashovardhan Sinha: What I said that two things, right? People are preferring premium products to lower models. And also upgrading their purchases because of very easy financing.

Praveen Sahay: Got it, sir. Second question is related to the EBITDA per store. I can see that you are aggressively adding stores year-on-year. So, if I look at from 43 stores in '20, now it's 105 stores. Even addition of the stores is quite strong. Your EBITDA per store is also continuously increasing. So, like even in the newer stores, you are commanding the similar kind of EBITDA on the existing what you are commanding. Is it like that, or?

Yashovardhan Sinha: I'd say that it becomes more like a basket, I'll say. Because EBITDA, of course, even if we start a new store, and as you know, we are only operating in under-penetrated markets. We are not, we are present in such markets which are very, very under-penetrated. So, therefore, EBITDA margin, and we do care that our EBITDA margin is maintained. But again, it becomes a basket of, because at many places, our EBITDA can be lower, it can be higher at places. So, it's all, average EBITDA is quite satisfying.

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Praveen Sahay: Okay, thank you, sir. I'll come in queue.

Moderator: Thank you. The next question is from the line of Devang Patel from Sameeksha Capital. Please go ahead.

Devang Patel: Sir, first I wanted to compliment you for much better disclosure in the PPT this time. Sir, and my question was, you mentioned on a basket basis, our margins are very satisfactory. I just wanted a sense, if we ever look at only our core market of Bihar, do you see our profitability rising further from here on?

Yashovardhan Sinha: I don't think so that our margin is going to expand any further. We will be striving to maintain it at the same rate.

Devang Patel: Okay. Sir, I just wanted a clarification on the cash and bank balance. There is some restatement in the account. So, what is our total cash and FDs put together?

Yashovardhan Sinha: Our total cash is in fact around INR82 crores.

Devang Patel: Okay. And some broad color on the INR30 crores capex that is done, on what have we spent and what do we plan to spend next year?

Yashovardhan Sinha: Can you repeat it? I could not hear it clearly.

Devang Patel: Sir, broadly on what have we done capex in FY '23 and what spending do we plan to do in FY '24?

Yashovardhan Sinha: Okay. In FY '23, our capex has been around INR22 crores. And we are expecting actually, it will depend on how many stores we are able to add because we have been adding stores quite quickly. So, looking at what is left, in fact, we are in the beginning of the year. So, it will be very difficult for me to give you a guidance. But it cannot be less than INR12 crores, INR15 crores maybe. It will all depend on how many number of stores we can add.

Devang Patel: Okay. Sir, you mentioned earlier that broadly our margins will remain same. Are we seeing new competition enter in our core market? Are we seeing bigger players come here? How do you expect competition to play out?

Yashovardhan Sinha: In fact, we are not that much bothered about competition because we are confident of ourselves. We have been, as I told you, we know the core market of this entire geography like Bihar. And even Jharkhand is also very similar. And Eastern UP is also very similar where everywhere people are aware of Aditya Vision. And in fact, it was not that competition is not there or was not there. Competition was always th

ere in all these

markets. In fact, very big modern trade retailers are also present in most of the districts and

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towns. But despite that, this result we could come up with. So, I am not that much worried about competition. And we believe that our business model is totally different from others.
Devang Patel: Okay, sir. I will come back in queue. Thank you so much and wish you all the best.
Yashovardhan Sinha: Thank you.

Moderator: Thank you. We have the next question from the line of Agastya Dave from CAO Capital. Please go ahead.

Agastya Dave: Thank you very much, Sinha sir, for your opening remarks. The clarifications that you have given on the accounting side, those are appreciated. Sir, I had a question for you.

Everyone has asked you about physical stores. My question is on the e-commerce that you were doing, the e-com sales. Those who are, I am assuming, those must have gone up during the Corona phase. How are they behaving? And are they falling versus where they were earlier? Can you disclose some numbers there?

Yashovardhan Sinha: Exact numbers I will not be disclosing, but I can tell you one thing that, as you said yourself, rightly said, that it was quite high during the pandemic. But it has come down drastically after that. Because, in this part, everybody, without touch and feel, nobody is prepared to buy. And, in fact, since we are present in most of the locations, so people prefer to come to us and then buy. So, I will put it like this, that at the same time we are doing our e-commerce, but at the same time our brick and mortar is closely attached to the heart of the people.

Agastya Dave: Right. Right. Sir, in the coming season, how do you see the same store growth, same store sales growth in Bihar? Especially the old stores in Patna. Do you expect double digit growth to happen in the first 10 stores that you had? Or is the same store saturation there now? I am talking about Patna, sir.

Yashovardhan Sinha: You are right. If you say that the top 10 stores of Patna, they will be in single digit. They will not cross double digit, of course, in Patna. Because already they are very, very mature stores, as far as, as old as 24 years. So, these are the stores who are giving us, still delivering us single digit store growth. But we do not expect them to give us double digit growth.

Agastya Dave: So, sir, how many years does it take for a store to reach that maturity level, that same store growth falls below 10%? Does it take like 5-6 years?

Yashovardhan Sinha: It is not about 10%. In fact, I will explain it like that. In 3 years, typically, in the full 3 years, each and every store matures. So, maturity means that at least now they are at a level where we can really, it can become comparable, same store sales growth. Otherwise, because they are, in fact, growth is very, very quick and fast during this period, in first 3

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years. So, again, these all stores, whatever stores we are, let us say, having since last, I will put it, it is 23, last 9 years, we are still delivering us a growth of double digits.

Agastya Dave: Right, great. Sir, last question and after that just one suggestion. Sir, the question is that you said that Jan-Feb was pretty good, March slowed down for you. But how was April and May, sir? Because in this period also, there were unseasonal rains. Can you give some idea, how is the demand looking?

Yashovardhan Sinha: Yes, it has been a dampener, no doubt about it, this unseasonal rain. It has, in fact, really been very disturbing. But despite that, I mean, we are doing well.

Agastya Dave: Okay. And, sir, purchasing power in rural areas is holding up, right? The demand adjusted for this unseasonal rain is still strong.

Yashovardhan Sinha: Yes, yes. Since now we are, in fact, our geography is very vast and huge. So, let us say, if there is a rain in

n, let us say, eastern Uttar Pradesh, but still our Jharkhand is going to do well. Bihar will still be doing well. If there is a dampener in Bihar, Jharkhand as well. So, since we have reached out to three states, our store distribution is quite even now. And sale is divided into regions.

Agastya Dave: Great, sir. Great, sir. Thank you very much for the opportunity, sir. One last thing. If I have only one point of complaint, then it will remain the same. Yes, sir. I have seen a lot of promoter selling in the stock. There have been like multiple rounds. Can you assure us that no further selling will happen? If there is going to be a selling, I would request you, since you mentioned that you aim to be one of the best in corporate governance also, my suggestion would be, can you please, if there is requirement for the promoter family. If you can disclose in advance that there will be selling in such large chunks because we need funds for our own use. That is perfectly okay. But suddenly, out of the blue, if selling happens, that is a little disconcerting. Especially when an article also appears questioning the accounting policies and all that. So, that is my only suggestion, sir. If you can throw some light, if there are further plans to sell down your stake or are you done for the time being?

Yashovardhan Sinha: No, no. I can give you my insight. Whatever selling that has been done, it was all strategic

in nature. It was not done anything to raise money for any purpose. It was done because our shareholding was very, in fact, we wanted to have good investors on board as well. So, it was done on a strategic basis and there is no requirement of any fund for any promoter as such.

Agastya Dave: So, no further selling then?

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Yashovardhan Sinha: No. What I said that it can be only a strategic sale, not disturbing any market, not disturbing the market. We don't propose anything right now. Nothing is on hand right now. But I am trying to tell you that strategic sale to good investors can always be there.

Agastya Dave: Great, sir. Thank you for the opportunity. So, the good investors can always buy from the market because everyone else is doing that. But thank you very much, sir. I appreciate your answer, sir. Thank you, sir.

Yashovardhan Sinha: Once again, actually, stock is not that liquid. That is the problem. So, of course, if they buy from market, they will never approach us.

Moderator: Thank you. The next question is from the line of Varship Shah from Envision Capital. Please go ahead.

Varship Shah: Thank you for taking my question. Our debt has constantly been increasing. So, our OCS is negative. So, is there any sustainable level of debt that we target? Because in the future, if there is a slowdown in sales, we might have a leverage that might shoot up significantly. Maybe a couple of years later, especially as we are expanding stores as well?

Yashovardhan Sinha: I will say that most of the debt, almost 90% of debt is in the form of short-term working capital. So, as you know, working capital usage is dependent on your inventory for the purpose of inventory. So, I don't foresee anything as such because long-term debt is very, very small and limited in nature in our balance sheet.

And working capital needs, whenever we are opening stores, we are not raising capital.

Then we will have to take recourse to working capital loans from banks. And these are very temporary and very in fact short-term loans. It all depends on it. Actually, when you see on the balance sheet, you may be finding that we have utilized that much. But maybe most of the time, utilization is very less because these are all cash credit limits.

Varship Shah: Alright. And for this phenomenal growth, we have a unique model. But what stops a competitor like say, Croma or Reliance to launch a similar model? So, the point being is our growth coming more from gain in mom

& pop stores or because the market is growing that strongly? India, I think, UP and Jharkhand.

Yashovardhan Sinha: I say it's not on cost of mom & pop because mom & pop, in this sector, there are very few mom & pop stores. And that too, these are located in very, very small block levels and very, very small, I say, cities and towns and all that. So, in fact, our growth model is definitely driven by the demand, surge in demand.

When I always say that these markets are very, very under-penetrated, you will see in our investor presentation, you will find it that it's one of the lowest penetration is there in Bihar

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or Jharkhand or Eastern UP. When you compare from entire UP, you will find that Eastern UP enjoys similar penetration level as of Bihar.

And population is huge. Bihar is the third most populous state of entire India. Similarly, Eastern UP is as big as Bihar in population. So, these are driving the demand and the big modern retailers, they were present from many years in Patna or let us say nearby towns, nearby district headquarters.

But then we are very strong, we believe in concept of son of the soil, our way of handling our customers are different, our model is different. So, we don't think that it is in cost of any, because market is expanding, no doubt about it.

Moderator: Thank you. The next question is from the line of Vishal Prasad from VP Capital. Please go ahead. Mr. Vishal Prasad, the line for you has been unmuted. You may proceed with your question.

Vishal Prasad: Okay, there were some problems. So, Yashovardhan ji, it is really nice to see a company from Patna doing so good. Thank you, sir. How much is the revenue from our top five stores?

Yashovardhan Sinha: Top five, we can get back to you after some time. We generally do not disclose our store-wise sale because of obvious reasons.

Vishal Prasad: Right. I'll try to get it offline, sir. Thank you. And, sir, second question. So, I visited a few of our stores and I saw televisions costing INR5 lakhs to INR12 lakhs. India is a cash-

driven market and Bihar more so. So, if someone comes and wants to buy a INR12 lakh television by paying cash, do we entertain these customers?

Yashovardhan Sinha: No, no. How can we entertain? It is mandatory for us. above INR2 lakhs We cannot break anything in cash. So, they get it financed, they send money in the bank through RTGS and other things. Above INR2 lakhs, our billing system is locked. We cannot, in fact, bill for more than INR2 lakhs in cash.

Vishal Prasad: Okay. So, sir, I understand that we have never closed a store. This is quite unusual for our industry. Would it be possible for you to talk about what has helped us achieve 100% success rates with our stores?

Yashovardhan Sinha: I'll put it like this. There are two things. One is that we have been fortifying our place also. What I've already told in my opening remarks, we have been fortifying our place in the market where we find that business is there and we do not give any space to any competitor in that sense.

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Okay. So, in fact, we have never closed any store because of our locations are selected very, very diligently. And as I told earlier also that demand is very high. Demand is very high here. And demand is growing also in that rapid way. So, maybe our selection of places, territories, these are very good. And plus, these are underpenetrated markets. So, in fact, it is a really very satisfying and a wonderful, in fact, feeling that we have not closed a single store since inception.

Vishal Prasad: Sir, I'll take an example. I visited long back your Kulharia House store. I think probably it was 2015-16. And at that time, Kankarbagh used to do pretty good and Kulharia House was not doing so good. So, my question to you would be, you must have come across a scenario where a certain sto

re doesn't work as per our expectation.

Since we have not closed any of our stores, we must have taken some corrective measures which helps us increase our sales from that particular store. Could you talk about our approach of turning around a store and maybe with a specific example?

Yashovardhan Sinha: I can tell you, this is very simple in that way that yes, all stores cannot perform equally. But we also know that that store has to be profitable. Then only there is viability is also very much needed. So, what we do is, if supposing some stores are not really coming up well, then we focus more on those stores. And focusing on the main thing will be human resources

The biggest thing, I would say, we understand that human resources are the most important thing. We give them training, what is going wrong, we station our experienced people there. Sometimes we put in a very experienced manager there to see why they are not performing that well. And it has always paid off.

Like right now, Kulharia is doing very well. What you said that in '15, '16, you said that you thought that Kulharia was not doing as well as Kankarbagh. So, it will never do as well as Kankarbagh. But Kulharia in itself, they have improved a lot. They have given a very good growth in sales.

Vishal Prasad: Right, sir. And sir, last question. Till now, most of the senior management recruitment has been done within the promoter group and relatives of promoters. So, we are growing very aggressively and we are doing pretty good. So, could you share your thoughts on building our senior level leadership by inducting professionals?

Yashovardhan Sinha: When we feel that requirement is there, then we are going to seek, look into that. And we will not rule out, but when it will be really needed, we are going to do that.

Vishal Prasad: So, what's the role distribution between you and your daughters? Both of them are on board and working pretty closely with you?

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Yashovardhan Sinha: You are aware that I'm the chairman & MD. I take the overall decision making and policy making and everything. And there is Nishant Prabhakar also who looks after operations. He is the director, the whole-time director. And now, Yosham has also joined the board to further strengthen it.

Moderator: Thank you. The next question comes from the line of Karmila from Rajmahal Investments.

Please go ahead. Karmila, the line for you has been unmuted. Please proceed with your question. As there is no response from the current participant in the queue, we will proceed with the next question, which will be from the line of Ankush Agarwal from Surge Capital. Please go ahead.

Ankush Agarwal: Sir, just one clarification on the accounting. All the suggestions provided by Grant

Thornton, have they been implemented or we should expect some more reclassification in the coming quarter?

Yashovardhan Sinha: No, no. All have been implemented in financial year 2023.

Ankush Agarwal: Okay. So, sir, any thoughts on upgrading our accounting and auditing firms to more like something like a big four or big five because now we are growing and we have now become a multi-state company as well. Any thoughts on that?

Yashovardhan Sinha: Sir, these things are always in our mind and we will take appropriate decisions as and when it is required.

Ankush Agarwal: Okay. But nothing at the moment?

Yashovardhan Sinha: I said that we are looking at all options and we will take an appropriate decision at the right time.

Moderator: Thank you. The next question is from the line of Krisha Kansara from Molecule Ventures. Please go ahead.

Krishna Kansara: Sir, my first question is regarding demand. So, recently there have been news flow regarding softening demand in the AC segment across India. So, how are you seeing the demand in AC panning out from ground level? What kind of issues are you facing currently?

Yashovardhan Sinha: You

mean to say that demand is coming down of AC? What you said? Sorry. Can you speak clearly? You are not very much audible.

Krishna Kansara: Yes, sir. I was asking about softening demand in the AC segment. I just wanted to know your views on that?

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Yashovardhan Sinha: I wouldn't say that there is any softening of demand in AC. What I will say is that yes, unseasonal rain. In fact, peak summer is there and seasonal rain comes and it definitely dampens the spirit of buying compressors. But even then, we believe that if rains have come in March, we are going to get extended summer beyond June this year. So, we are quite confident of achieving our targets set for AC.

And for that, we are taking into account every aspect in that regard. We have got demand enablers schemes also like we gave cashbacks or there is a very good exchange policy, we give free installation. So, we keep on coming with very easy finance terms and all that. So, these are our selling enablers and which is going to give us results.

Krishna Kansara: Okay. Okay. I got it.

Yashovardhan Sinha: Actually, what I mean to say is that demand for AC has not come down. Maybe some unseasonal rains or some seasonal reason can be there. But we try to cope up with these unseasonal rains or let us say weather also through schemes like finances, cashback, free - installation, comprehensive warranty, very good exchange. So, these are all the OEMs and they support us.

Krishna Kansara: Okay. Sir, my next question is on the advertisement part. So, because we are entering new geographies currently, how much was our advertisement cost in this quarter and also for the full year FY '23?

Yashovardhan Sinha: Full year FY '23, our cost of advertisement is around 0.8% of our sales.

Krishna Kansara: Okay. So, 0.8% of your sales.

Yashovardhan Sinha: 0.8% of it. In fact, 0.8 to 1% of the sales. We are aiming to have it in future also.

Krishna Kansara: Okay. 0.8, right sir?

Yashovardhan Sinha: In fact, 0.8 to 1%.

Krishna Kansara: Okay.

Moderator: Sorry to interrupt ma'am. We request you to please return to the queue for follow-up questions. The next question is from the line of Chirag Fialoke from Shree Ratnatraya Capital. Please go ahead.

Chirag Fialoke: Hi. Good evening, Mr. Sinha, Yosham. Thank you for the opportunity. Congratulations on the continued execution. Very happy to see how things are shaping up. Congratulations.

Heartiest congratulations from our side, sir. Just one question. I wanted to know a little bit more about the new stores that we are opening. And Sinha sir, it will be very helpful if you

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can compare some of the new stores with our existing old Bihar stores on four counts.

One, average store size. Two, what kind of revenue potential do you generally see? Are they similar? Three, on gross margins because of sort of difference in mix or difference in pricing strategies in the new geography. And four, on rental costs. So just to compare new and old stores on these four counts?

Yashovardhan Sinha: Size, definitely we are now going into bigger sizes stores compared to what we were having when you compare from the past. Secondly, revenue, of course, we are getting very good response as I have already told you. And since it is a new store, so revenue keeps on rising month-over-month or even quarter-over-quarter or year-over-year. So we are getting very good response. This is one thing.

So and what gross margins are you say that we are in fact getting margins are something which is a basket I'll say. So margin depends on where you are exactly operating and what competitive environment you are operating that store in. So that depends on that. And it is very much very carefully kept secret by the management how they operate as far as margins are concerned.

Lastly, you asked for rental. So rentals are definitely going high and whe

rever we are going,

we are getting experiencing high rentals compared to what we had before in Bihar. But then over that much of period of time, our rentals are almost comparable because the rents have gone up everywhere. But still, I'll say that this part of India is having low rentals.

Moderator: Thank you. Ladies and gentlemen, due to paucity of time, that was our last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Yashovardhan Sinha: Thank you. Yosham, can you please close the forum?

Yosham Vardhan: We trust that we have addressed all your inquiries to your satisfaction. If you have any remaining unanswered questions, please don't hesitate to contact our IR agency, GoAdvisor. They will be more than happy to assist you further. Thanks a lot.

Moderator: Thank you. On behalf of Nuvama Group, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

R
R Aditya Vision Limited R
R April 28, 2023

Date- July 28, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400 001

SCRIP Code: 540205

Sub: Transcript of Analysts/Investors Call pertaining to the Unaudited Financial Results for the quarter ended June 30, 2023

Dear Sir

Further to our letter dated July 21, 2023, please find attached herewith a copy of the transcript of the Analysts/Investors Call on the Standalone Unaudited Financial Results of Aditya Vision Limited for the quarter ended June 30, 2023 held on Monday, July 24, 2023.

The same is also being made available on the Company's website at: www.adityavision.in .

This is for your information and record.

Thanking you

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

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"Aditya Vision Limited Q1 FY24 Earnings Conference
Call"

July 24, 2023

MANAGEMENT : MR. YASHOVARDHAN SINHA – CHAIRMAN &
MANAGING DIRECTOR , ADITYA VISION LIMITED
MS. YOSHAM VARDHAN – WHOLE-TIME
DIRECTOR , ADITYA VISION LIMITED
MODERATOR : MR. NIKHIL SHETTY – NUVAMA PROFESSIONAL
CLIENT GROUP

Aditya Vision Limited
July 24, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Aditya Vision Limited hosted by Nuvama Professional Client Group.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikhil Shetty from Nuvama Group. Thank you and over to you.

Nikhil Shetty: Thank you. Good day, everyone. On behalf of Nuvama Professional Client Group, I welcome you all to Q1 FY24 Earning Conference Call of Aditya Vision Limited. So, we take this opportunity to thank Management of Aditya Vision for giving us the opportunity to host this post earning conference call.

From the Management, we have with us today, Mr. Yashovardhan Sinha -- Chairman and Managing Director; Mrs. Yosham Vardhan -- Whole-Time Director.

I now hand over the call to the management to share highlights of the results, post which we will open the floor for question-and-answer session. Thank you. And over to you, Sinha ji.

Yashovardhan Sinha: Good evening, ladies and gentlemen. We are pleased to welcome you all to our Earning Concall for Q1 FY24 highlighting the "Financial Performance and Strategic Decisions" made by the Company.

We are thrilled to announce the exceptional growth in revenue and profit, which are a testament to the hard work and dedication of our team, unwavering support from our suppliers as well as the loyalty of our valued customers. Throughout this period, we have remained committed to achieving sustainable growth while maintaining transparency and good governance.

Our "Investor Presentation" has been uploaded on the exchange and we hope that you have had the opportunity to review it.

Our Company, Aditya Vision Limited, had a very strong quarter across all financial parameters in spite of an unfavorable environment. As you all are aware, this year summer season witnessed unseasonal rains during most part of April and May. In fact, it started in March last financial year only and continued through April and May, which impacted demand for the compressor products. However, June experienced normal summer, which led to a robust recovery and resulted in our highest ever quarterly revenue. Despite unseasonal rain affecting the peak summer season, we were able to achieve this remarkable growth.

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Our operational revenue increased by 46.23% YoY to Rs.641.23 crores compared to Rs.438.51 crores in Q1 FY23. In line with our revenue, PBT increased by 47.12% YoY to 49.33 crores compared to Rs.33.53 crores and our PAT increased by 41.26% YoY to Rs.37.42 crores compared to Rs.26.49 crores in Q1 FY23. Bihar contributed the most to our top line with nearly 88%, Jharkhand and UP contributing 10% and 2% respectively. UP, in fact, we have just started in March itself.

So, this strong growth was fueled by the rise in scale of operations, increased contributions from our new stores, reaching maturity as well as prudent inventory management. As stated in our inaugural earning call, there remains seasonality in our business and hence it cannot be comparable sequentially quarter-over-quarter.

As mentioned in our inaugural Earning Call, our inventory remains highest on March 31st, 2023, due to strategic reasons where we adopt an aggressive inventory acquisition approach to be well prepared for peak summer sales and to avoid stock-out situations of compressor products. At the end of this quarter, there is a decrease in inventory level by approximately Rs.33 crores, that is from Rs.293 crores as on March 31, 2023, to it is Rs.260 crores as on June 30, 2023, leading to an optimal level of inventory. As a r

esult, the net debt of the Company

reduced by Rs.93 crores to Rs.91.79 crores as on June 30, 2023, compared to Rs.185.40 crores as at March 31, 2023. This was possible due to reduction in the level of inventory, profits and consumption of accrued input tax credits.

During the quarter, the Company continued its momentum in store expansion and opened 12 new store showrooms, out of which five are in Bihar, two in Jharkhand and five in Uttar Pradesh. The total store count as of today stands at 117 stores. We are at a stage of hyper scaling where our Company has opened 24 new showrooms in the last six months. Keeping up with this momentum, we now aim to open 8 to 12 more new stores in next three months before festive season perhaps surpassing our initial target of 125 stores, which was to be opened in entire fiscal financial year '24. In FY23, we executed our expansion plans in Jharkhand and entered Uttar Pradesh. Building on our success of being the largest electronic retailer in the underpenetrated markets of Bihar, we replicated this strategy and further ventured into the untapped markets of Hindi's heartland states.

As a result, while we have entered Jharkhand in FY22, we have already established ourselves as the largest consumer electronic retailer in Jharkhand. The overwhelming response from our new customer in this state brings us great satisfaction and further ignites our drive to continue expanding.

In March '23, we expanded our operations in Uttar Pradesh and have eight operational stores in UP as on date. Our efforts in Uttar Pradesh are gaining momentum and we are fully dedicated to broadening our customer base while delivering innovative products, exceptional customer experiences and consistent growth. Our team shares a strong commitment to creating value for our customers, investors, suppliers, employees and all other stakeholders. This commitment

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drives us to strive for excellence in all aspects of our business as we move forward with our expansions yearly.

Further, I'm delighted to inform you all that our Company has entered the BSE top 1000 list of companies by market cap as on 31st March '23 and stood at 763rd position.

As per Reg. 17 of SEBI LODR Regulations 2015, there is a requirement for top 1000 listed entities by market cap to have at least one independent woman Director. In view of fulfilling this requirement, it gives me great pleasure to extend a warm welcome to, CA Apeksha Agiwal, who joins our board as Non-Executive Independent Director. She's an immensely qualified practicing Chartered Accountant and a Member of ICAI.

Lastly, our Company had an outstanding quarter as can be seen from our exceptional results. In quarter Q1 FY24, we have already achieved nearly half of our revenues for the entire financial year '23. Continuing on this positive momentum, we remain confident of our future and in our ability to set new benchmarks.

I would now like to hand over the floor to Mrs. Yosham Vardhan to provide an overview of the financial highlights for the quarter. Over to you Yosham.

Yosham Vardhan: Thank you, Sir. Good afternoon, ladies and gentlemen. We are thrilled to present the strong financial performance of Q1 FY24. Here is an overview of our financial results.

■ In Q1 FY24, our revenue experienced a YoY increase by 46.23% and reached Rs.641.23 crores resulting from the increase in the scale of operation.

■ We successfully maintained gross margin above 15% driven by an optimal product mix.

■ The profit after tax for the quarter increased by 47.12% and reached Rs.49.33 crores and profit after tax for the quarter increased by 41.26% and reached Rs.37.42 crores, primarily driven by prudent financial management and growth strategy.

■ EBITDA for the quarter increased by 40.6% and reached Rs.63.30 crores. As previously mentioned, our store count reached 117 in Q1 FY24. We opened 12 new showrooms in this quarter; five

new stores in Bihar, two stores in Jharkhand and five stores in Uttar Pradesh.

We can now open the floor for questions.

Moderator: We will now begin the question-and-answer session. We have our first question from the line of Saurabh Mehta from East Lane Capital. Please go ahead.

Saurabh Mehta: Hi Sir! Congratulations on the very strong results. I have three, four questions for you today.

Firstly, wanted to understand the potential of stores in the three states we operate and the three states we plan to venture out over the next five, seven years. If you could give a broad idea state wise. The second question is like the Hindi heartland in the eastern region we are

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operating out of, if you can give some demand drivers for us, is an increased income, better availability of electricity, because the outlook we get from the OEMs is slightly on the negative side in terms of end markets. So, just wanted to gauge how we are seeing the growth. So, the third question is on the gross and EBITDA margins. How to think about those especially in terms of the changes in the mix of our sales? And the last question was wanted some perspective on the SSG for mature and new stores?

Yashovardhan Sinha: What was the first question?

Saurabh Mehta: So, the first question was wanted to understand the potential of the stores we could open over the next 5-7 years in the six states. The three states we are already in, Bihar, Jharkhand and UP and the next three states MP, Chhattisgarh and West Bengal. Like what is the broad basically potential we see we could reach to?

Yashovardhan Sinha: In fact, we have already guided that we intend to open 25 stores in every coming year. So, our initial guidance was we would have reached 125 stores by this end of this financial year and 150 stores by financial year '25. This is our guidance. As far as state is concerned, we'll be opening another 10 to 12 stores in Jharkhand and major store expansion will be of course in eastern Uttar Pradesh where we intend to open another 25 stores altogether. Going forward what you ask that in next three to five years if we move to Chhattisgarh and western parts of West Bengal, we will be looking for around 15 stores in Chhattisgarh and another 10 to 12 stores on the bordering areas of West Bengal.

Saurabh Mehta: If you could give some idea in terms of what are the demand drivers in these states sir?

Yashovardhan Sinha: The biggest demand driver as you said is that there is a major thrust of electrification is going on in this part of India and there is definitely improvement of power situation. Secondly, we find that there is a steady increase in disposable income of consumers. Third will be in fact penetration of retail finances to remotest of places. And since now after Aadhar card, KYC is very, very easy for even a person from a rural area, so it's very easy to obtain the retail finance. This of course it just boosts our bill cut size also and affordability also. So, these are some big growth drivers, not to forget that this is the least penetrated geography of the entire India in terms of consumer durable.

Saurabh Mehta: If you could talk about gross margin and EBITDA margin. You clearly give a guidance in your presentation of 13% to 15%. But wanted to see how the sales mix increasingly like if we have higher share of mobile phone sales in future, would it change it...so how to just look at the margins more qualitatively?

Yashovardhan Sinha: Actually it all depends. We understand that there is a lesser margin in mobile and IT products and all. But we have been giving you guidance from 12% to 15%, which will be definitely our gross margin and we are always striving very hard to maintain it at around 15% and we are very much pretty confident to maintain anything between 13% to 15%.

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Saurabh Mehta: Lastly like how to think about SSG for mature s

tores versus new stores?

Yashovardhan Sinha: In fact our SSG was quite strong in this Q1. Overall SSG was 28% and since we have added so many stores... 24 stores have been newly added. So, SSG is pretty I think very, very strong.

Saurabh Mehta: Sir, just wanted to get a sense like when we open a store and we probably assume in three years the store will be a mature store, so what should be the SSG going forward after the stores becomes mature?

Yashovardhan Sinha: In fact historically we have been finding that even our growth story was quite slow, we were slowly growing, but even for our mature stores, our SSG remained above 15%... it varies from 15% to 20%. And for very matured stores it is 10% to 15%.

Moderator: We have our next question from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: My first question is if you can give me the last year FY24 or first quarter FY24 contribution from the Bihar and the Jharkhand?

Yashovardhan Sinha: In fact, Q1'24 10% revenue came from Jharkhand and 88% revenue came from Bihar and since we had just started in UP, it is 2%.

Praveen Sahay: No, sir, I was asking about the last year same quarter. So, Q1 FY23 and also for full year FY23

if you can give me these.

Yashovardhan Sinha: Last year Jharkhand was not there, so it was much less negligible. It only came from Bihar.

Praveen Sahay: Second thing is on the SSG. So, if I look at the store addition from last year same quarter 88 stores, now reached 117 and that gives me around 33% of uptick. So, fair to assume that out of 46, 33 is the new store addition and the rest is from same store sales growth? The number you are giving up for 28% of SSG looks very high. So, that's why I just wanted to understand.

Yashovardhan Sinha: Our growth is 47% and 28% is our same-store sales growth.

Praveen Sahay: Next question is related to the Jharkhand. As you had mentioned you become the largest retailer in the Jharkhand with the 18 stores only. So, there is no competition as such?

Yashovardhan Sinha: This is what we have been saying. There is no organized retail chain there except Reliance Digital and Croma. So, we are the largest retail chain in Jharkhand right now.

Praveen Sahay: With the 18 stores, you become the largest? Okay, great. Second question is related to the other expenses which has increased significantly. Can you give some color on that?

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Yashovardhan Sinha: It includes in fact other expenses. Since we are opening new stores, so plenty of travelling is required, rent expenses have gone up you can find. So, even when you have a very good sale, then your other expenses also goes up... like miscellaneous expenses goes up or finance charges goes up...so finance charge in the sense, I mean DBD charges from retail finances that comes up, freight also goes up. So, these are the charges which will be elevated only due to rise in sale.

Praveen Sahay: The last question sir, from my side is contribution of the financing. So, how in the east three states in your stores contribution from the financing?

Yashovardhan Sinha: Right now almost 40% of our sale comes from retail finances.

Praveen Sahay: So, that's there in Bihar and the similar story for other two states as well where you've started just now?

Yashovardhan Sinha: Not very similar I'll say, but there is some similarity.

Moderator: We have the next question from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: Sir, I have two questions. One, when you refer to a matured store, what kind of revenue per square feet or revenue per store you usually is that matured store at, if you could help us to understand? And you gave the store count in terms of expansion... that you added 12 stores in Q1. It would be nice if you could tell us what is the square feet expansion that happened in Q1FY24 and what is the square feet expansion that you are looking in FY24 as a whole on a

base number whichever you want to give for FY23?

Yashovardhan Sinha: Effectively, we count our store as matured when they give us a sale of between 12 to 18 crores. Typically, these are the stores matured which we find now and in the next same-store sale goes for these matured ones will be at around 15% to 20%.

Pritesh Chheda: So, when they are growing at 10% to 15%, then why do you call it as matured at 12% to 18%?

Yashovardhan Sinha: 15% to 20% I said are matured stores which are just almost three years old. SSG is between 15%, 20%. So, we call it matured because otherwise these stores will be going up by let us say 100% every year... if it starts from 12%, it will become 9%, 12% in three-years. So, that growth will not be sustainable going forward for that high number. Secondly, you asked about the square feet figure. This figure we will be giving half yearly only.

Pritesh Chheda: Lastly, sir, initially you had 25 stores addition in FY24. Will that change considering that you've opened 12 stores in the first quarter?

Yashovardhan Sinha: Yes, we may improve upon it. We'll be preparing ourselves for the festive season right throughout this Q2. So, festive season will be the Q3. So, we don't do expansion work during

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that quarter because we have a lot of work to do in festive season as there will be a big such spike in sales. So, Q3 remains very low on our expansion. So, we have been targeting that we should open another 8 to 12 stores before festive season and then we are going to start from December January onward on new stores.

Moderator: We have the next question from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund. Please go ahead.

Renjith Sivaram: On SSG stores growth of 27%, is there any particular category which led to this growth because seasonality of some of these air conditioners and air coolers will be in this quarter, is that the reason that we were able to show this 27% growth?

Yashovardhan Sinha: Yes, of course. All compressor products have given us a very good spike in sales.

Renjith Sivaram: So, probably then next quarter onwards that might kind of normalize, right?

Yashovardhan Sinha: Yes, it normalizes. In fact current quarter, we'll be focusing more on washing machines, dryer, water purifiers, TV, microwave, laptop and all new launches of mobiles. So, this is the quarter

where we focus on these products and Q1 always remains extremely the best quarter in entire financial year.

Renjith Sivaram: For the full year, what kind of SSG growth can we look at, what's your assessment?

Yashovardhan Sinha: It's very difficult for me to give guidance after Q1 result. I think it will be better if you ask me this question after the first half year.

Moderator: We have our next question from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Sir, I just wanted to understand a little bit more on the growth that we have seen during the quarter. Everyone in the industry know that April and May were pretty bad for the consumer durable industry as such. So, can you give me a split of what kind of growth you saw during April and May and what kind of growth you saw during June that led to such a big quarter for you?

Yashovardhan Sinha: We had a growth of around 15%, 20% during those two dull months April and May, and there was a huge surge of pent-up demand also because of lesser growth in two quarters and it was really very pretty bad situation; temperature was up 30 deg. all the time. But June contributed the most and that is how this growth has gone up.

Ankush Agrawal: If you say that 15%, 20% growth was seen in April and May, that means June would probably more like 70%, 80% kind of growth for us to achieve this like 46% kind of number?

Yashovardhan Sinha: Yes, you can assume that.

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Moderator: We have our next

question from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: So, just wanted to know except for our Company most of the other electronic retailers have been facing a very tough time and even though retailers which are operating in the Eastern region... Kolkata-based Company and the things they are also in loss I believe. So, how come we are able to come out best in that besides the geography, what have been the other factors, sir?

Yashovardhan Sinha: This is what I have been telling all throughout that this is the least penetrated market in entire India and this is the reason why we are operating in Hindi heartland. You are very much correct. In fact, even the OEMs were under tremendous pressure in this quarter, but we did very well during this period because we can say very safely that our locations were very good, so well selected, our choice of states are good, so this is all I can say, yes, our policies were very nice.

Vivek Gautam: And now we are coming into UP wherein in the competition level I believe is much more than what we were having especially in the tier 2, 3 towns of Bihar, for example, Value Plus retail chain is there in UP and how is the competition intensity in UP and how we plan to tackle it?

Yashovardhan Sinha: We don't think that there will be much competition as far as Aditya Vision is concerned because as you know that we have got a very different way of infact marketing and sales strategy and we are very confident that we are going to have the same type of result what we have been getting in past.

Vivek Gautam: And coming to our valuations I believe on the market cap to sales basis if we compare our retail store with the other retail companies like Metro, Ethos, Campus, we are still very cheap sir and what can be done to increase valuation because the numbers are quite good and we are sort of performing very well and NSE Listing I believe you can help us out in that manner and more in this concall which you are doing and Analysts meets also helping us out, what's your plan, NSE listing and other things, sir, how can visibility and valuation improve, sir?

Yashovardhan Sinha: It is getting better and better I suppose Vivek. In fact, we are looking forward to ourselves listed in NSE very early next financial year. And I think gradually market is digesting the fact that the Company from Bihar is doing so well. It is quite difficult for the market to understand this. But gradually I think valuations are built to catch up.

Vivek Gautam: You're very correct, sir. I remember your listing ceremony when Mr. Ajay Thakur was very proud of the fact that first time a Company from his hometown of Patna is being listed and that was really a great experience, he would be a very happy person today. And yes, the doubt is there coming from the SME background, coming from Bihar, lot of doubt was created but yes you will have to put in lot of work and IR I believe also have to put a lot of good work to increase the visibility and the things. And last thing is, is the power distribution now in Bihar

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under the private hand, sir. So, that load shedding is also less. Is that helping us out in our region of operation sir?

Yashovardhan Sinha: Yes, because of technology, newer meters and so many computerizations, which has come down. So, power cut in urban areas is totally negligible. So, this has led to improvement in the

entire infrastructure also. And still it is controlled by the companies, but the companies are owned by government only.

Vivek Gautam: Yes, but because in the case of private distribution in select region in UP, for example in Agra and Greater Noida, the power trip is almost there. But yes, in the UPPCL region still situation remains the same more or less as older time. Bihar, I believe is the franchise distribution is happening, private players are involved in the distribution. So, their situatio

n is helping us out
and -

Yashovardhan Sinha: No, no private distributors is there in Bihar. Initially they were experimenting by giving it to some private players, but now they have taken it back.

Moderator: We have our next question from the line of Akshat Mehta from Sameeksha Capital. Please go ahead.

Akshat Mehta: Sir, I had a couple of questions for the Company. One thing I want to understand is that since you opened so many stores for the last six months and there is a good chance that you open many stores, can you guide us what is the format of stores that have been opened, like are there more large format stores, are there more small format stores, what is the kind of stores that you opened in both?

Yashovardhan Sinha: Out of 24 stores we have opened, 8 stores are small format stores and rest 16 are all large format stores.

Akshat Mehta: And going forward also we plan to open more larger stores or smaller stores?

Yashovardhan Sinha: More large format stores will come up. What we were doing is that there was some gaps between district headquarters and we tried to fulfill those gaps because distance was quite large. It was a very large, populated district. So, we'll be opening 5-6 more small format stores to fill that gap where business is good, which we come to know because of financing activity in those areas.

Akshat Mehta: I want to add between different states that you have Bihar, Jharkhand, UP, is there any difference in terms of margins or the CAPEX that you require for a store or working capital in those economics, is there any difference?

Yashovardhan Sinha: It's not very significant. It is all similar.

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Akshat Mehta: Next I want to ask is You said expenses that there has been Rs.2 crore of ESOP expenses that have been included in employee cost. So, can you give some details about the employee stock options plan that you come out with and going forward what will be the ESOP number that will be coming in our results?

Yashovardhan Sinha: We will be providing total of Rs.2 crores per quarter in this financial year. Impact of ESOP will be negligible from next year onwards and these ESOPs have been given at a micro level staff also. In fact we have given ESOP to even cashiers, very old guards, warehouse keepers, each and every branch manager has got ESOP. So, we have distributed it very well and I think that these are the things which has propelled our growth also because at the micro level everybody is working as it is their own Company. So, this is a notional expense which is credited to share premium account only, so no cash goes out of the Company.

Akshat Mehta: One more accounting question is, can you give me the cash and bank balance at the end of the quarter, if you have that number?

Yashovardhan Sinha: We have got cash and cash equivalent around Rs.7.5 crores and deposits in banks will be around Rs.82 crores.

Moderator: We have our next question from the line of Krisha Kansara from Molecule Ventures PMS. Please go ahead.

Krisha Kansara: First question is regarding segmental numbers. So, if you could give us a break up as to how much of your sales is being generated from let's say AC versus TV and vs other categories.

And also because we generated 46% YoY growth in this quarter. So, I wanted to know which particular category contributed to this quarter growth?

Yashovardhan Sinha: My answer to your first question is we do not share such information because it becomes competitive for other OEMs because they start to in fact pressure us to give that type of share in their counter also.

Krisha Kansara: Sir, my second question was related to this 46% YoY growth which we reported in this quarter, so which particular category -?

Yashovardhan Sinha: Actually compressors have contributed to a large extent, in fact room ACs, refrigerators, air coolers and all compressor products, even commercial refrigerators con

tributed largely for this
turnover.

Krisha Kansara: What was the advertisement expense in this quarter?

Yashovardhan Sinha: In fact, it is around Rs.3.05 crores and it includes hospitality also.

Krisha Kansara: Do you see this coming down in the near future once you establish your presence in newer

geographies like UP and Jharkhand?
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Yashovardhan Sinha: We don't want to bring it down. We will be sticking between 1% and 1.25% of our sales in marketing and advertisement expenses.

Krishna Kansara: If you could break down the advertisement expense, so how much was specifically spent for Uttar Pradesh?

Yashovardhan Sinha: We cannot break it because when we go for print media advertisement or for digital media advertisement as well, it is in fact all our stores are covered through a single newspaper, so it will be very difficult for us to point out that this expenditure was made only for Uttar Pradesh. We can tell you that around what expenses we in fact incur for opening new stores which is around Rs. 2 to 5 lakhs per branch for one year or six months whenever you find that it is now enough.

Krishna Kansara: You mentioned that April and May were weaker footfall. So, I just wanted to know the current status on the demand part. So, are you seeing any slowdown in the consumer demand side because this quarter we reported a very good growth number. So, I just wanted to understand is this is geography-specific or other players in other geographies are also realizing this kind of strong demand?

Yashovardhan Sinha: It was difficult for me to comment on other players, but demand was very strong in the geography where we are operating. So, this geography has done extremely well. And even though two months were very sluggish according to us, but still June quarter, we took care of almost the entire quarter. And right now demand is quite good now. But during rainy season, monsoons of course it becomes sluggish, but I think demand is good.

Moderator: We have our next question from the line of Amit Jeswani from Stallion Asset. Please go ahead.

Amit Jeswani: Now your net debt is down to Rs.90 crores. Is 140 stores possible this year after pressing the accelerator? Because Sinha Ji, opportunities are there and you have the execution capability to make it large? Do you think Sinha Ji this year itself will be able to touch 140 stores?

Yashovardhan Sinha: Surely Amit Ji we will do 140.

Amit Jeswani: Sinha Ji I have one more question to you. So 140 stores done, in Jharkhand we have done about Rs.65 crores this quarter. We have opened 18 stores in Jharkhand and net-net we have spent Rs. 45 crores as per Rs. 2.5 crores per store. Because your ROICs are very large in Jharkhand in the first year itself. Is UP also getting same traction because we are accelerating in UP now, what do you think?

Yashovardhan Sinha: We have to think in that way Amit Ji that Q1 is the biggest quarter for us and from 18 stores of Jharkhand most of the stores were almost three to six months old so we can expect better results from coming quarter from these new opened stores. In UP, we have done fairly well in Q1. I do not see any reason not to do well there but we will have to wait for one to two quarters for that.

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Amit Jeswani: So, do you think we can open 25 stores in UP as well because you always talk about clustered approach and if we have to make the cluster then we have to open 15-20 stores there very quickly there.

Yashovardhan Sinha: 15-20 stores we will get before end of this fiscal. I said total 25 stores in UP we will do. Eight we have already opened. and another 6-7 is WIP. I think it will be possible for us by end of this financial year we'll be opening 25 in eastern UP.

Moderator: We have a next question from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: So, actually just circling back on

SSG, you were saying that the store matures in 3 years and the SSG you're currently saying, 28%, this is all only for mature stores that we're giving that have completed three years?

Yashovardhan Sinha: No, no, no I've never said that. In fact, 28% came from those stores which were operating last year also and that addition was from the new stores.

Alisha Mahawla: Can we break this number down into how much is the new store are growing at and how much are the mature stores at?

Yashovardhan Sinha: I can give you this figure, if you take 28% as SSG growth, rest around 19% has come from the new stores, 46% is overall growth, so 16% and plus 2%, 18% growth comes from newer stores.

Alisha Mahawla: What I'm asking is of this 28% if you can give a break up of how much have completed three years, what is their growth rate and for one to three years, what are they growing at?

Yashovardhan Sinha: This figure I may not be able to give you.

Alisha Mahawla: Just a little bit on the competitive intensity and you have touched upon this and we understand that Bihar is very underpenetrated and this is the kind of SSG growth we're doing and the

power situation is easing up, disposable income is increasing. Are we seeing more focused strategies from other organized players or are we witnessing slightly more competitive intensity in the newer geography of UP because the opportunity exists, looking at your growth and sure other people are also realizing?

Yashovardhan Sinha: I never said that competition is not there. Competition from modern trade, partners are there, like Reliance Retail, Reliance Digital, Croma is there at several locations and a few small retail chains are also there Great Eastern from Kolkata they are also present in Bihar, Patna and Jharkhand and one big retail chain, Value Plus is also there. But I don't think that any retail chain like ours is expanding anywhere like us.

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Alisha Mahawla: As these players also become aggressive in our home markets, do you see that as a risk to our gross margins, which currently are expanding very nicely?

Yashovardhan Sinha: We have never failed. In fact, we are not new here, we have been operating since last 8, 10 years. I don't think there is any fear of any competition or margin or anything and these are negotiated with OEMs in such a way that you will retain those margins.

Alisha Mahawla: Are we experiencing in UP also these kind of margins that we are getting in OEMs what we're currently doing in Bihar and Jharkhand?

Yashovardhan Sinha: There are so many marketing strategies which we put in place, first of all whenever you go to a new place, these are marketing strategies, how you place your product price wise, category wise, there are so many things many, many places that don't have all the brands whereas we are having all the brands. So, these are the competitive advantages Aditya Vision is having vis-à-vis any other competitor.

Alisha Mahawla: So, these gross margins are sustainable as we grow even in UP?

Yashovardhan Sinha: Definitely it is sustainable. In fact, if we compare from last Q1 to this Q1, our gross margin has gone up slightly.

Alisha Mahawla: Any impact that we're witnessing on the growth because this year doesn't have an extended Saawan after very, very long, so are we expecting that to impact in growth over the next one or two quarters? I was under the belief that maybe some of the demand for consumer durables may take a backseat during this period and hence I thought I'll have it validated.

Yashovardhan Sinha: No. I've been saying all along that there is a very high demand for these products in this area and I don't think that it is going to be impacted. If you have a good monsoon, then obviously your Q3 will be very good, your festive season will become very good after a good monsoon and in fact that impact we see in Q4 after a good monsoon. So, I think things are going p

retty

well except for what disturbance we got in April and May, I don't think there is any other problem.

Moderator: We have a next question from the line of Anshuman Srivastav, an individual investor. Please go ahead.

Anshuman Srivastav: I have four questions. First is when are we going to open stores in other states outside of UP, Bihar, and Jharkhand? And second is in management's experience offline or online which one is more effective with respect to marketing? What are we doing with respect to online marketing? Third, how our market share is holding up? And fourth one is over the last three years dividend payout is getting reduced so what would be the dividend payout ratio this year?

Yashovardhan Sinha: To answer your first question we will target Chhattisgarh after UP because UP itself is a very big market. Eastern UP's population is equals to Bihar so the area which we are targeting is a

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very big area so we are seeing a very big opportunity there just like Bihar. So we will target that and then we will target Chhattisgarh which is the Hindi belt and it is near Bihar and Jharkhand and there is a lot of similarities out there. And as I have told you earlier that border of West Bengal which is adjacent to Bihar and Jharkhand there are some big towns so we would definitely go there but after going to Chhattisgarh. This will be our strategy. After that we will think about Madhya Pradesh. Our total story is of Hindi Heartland. So we will go there. As far as offline and online is concerned, it is a mix when you do advertisement and marketing and online obviously you have social media platforms, campaigning is there and on TV also we do advertisement. We hire influencers as well. These are all done online. And in offline since it is Hindi Heartland we target Hindi newspapers for the market. Whether it is Jharkhand, UP, Bihar newspapers are all common so we get a common package and there we do marketing accordingly. And you asked about market share, we have been gaining market share. You can see it from JFK figures so when the latest figures come then we will come to know but according to the feedback we get from the manufacturer we have consolidated our market share and gained the market. And your fourth point regarding the dividend payout is that your Company is expanding so aggressively that we need to conserve the cash because we

need the CAPEX and working capital and we have to take care of the debt as well. Many of the analysts get upset if we take the debt. We are not raising any capital so if we don't capital raise then we have to keep our internal accruals intact. Going forward once the expansion will get slow down we will take care of increasing the dividend payout as well.

Anshuman Srivastav: So, we are going to Chhattisgarh this year or next year?

Yashovardhan Sinha: We are definitely not going to Chhattisgarh this year. Next year we are planning to go.

Moderator: We have our next question from the line of Akshat Mehta from Sameeksha Capital. Please go ahead.

Akshat Mehta: I just wanted to ask you that could you give us a comparative figures of inventory between us and our competitors? And what would be the improvement there?

Yashovardhan Sinha: Every company has a different policy. If you are doing a business you cannot be bookish with regards to the inventory. For the business you have to be very quick and you have to take very fast decision that how much inventory you should have at any point of time and at what value you are buying it. So, these are the factors which influence us for inventory. The policy will be differ company-to-company that is why the margins are different from company-to-company and our policy is to do the inventory optimization rather than doing the inventory management.

Akshat Mehta: This year you intend to keep the same level of inventory?

Yashovardhan Sinha: We have already brought down the in

ventory. This quarter the inventory is below Rs. 33 crores

so the results have been good because we have managed the inventory well as we kept the high inventory of compressor products which would have been very difficult to procure. These products get out of stock very quickly.

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Moderator: We have a next question from the line of Avinash Baskar, an individual investor. Please go ahead.

Avinash Baskar: My question is first to understand what is Aditya Vision's positioning, so why do people or customers buy from us? Is it because it's the lowest cost or is it for better service or more like trust that has been built over the years so just want to understand that?

Yashovardhan Sinha: It is mix of all of whatever you have said... it is all mix of these things, like over years people trust us, our tagline is "Sambandh Bharose Ka . Our endeavor is right from top to bottom is that we have to keep our customers happy. We offer extensive customer service help desk which is totally dedicated to customers and we facilitate service from manufacturers to our customers. So, there are so many things. Otherwise also we have got certain loyalty programs which are very popular and more so, staffs are so dedicated that they are giving good experience to customers all around wherever we are going.

Avinash Baskar: In terms of pricing, would you tell that, let's say in the Bihar market, would we be like the lowest cost provider of AC or it is probably not like that?

Yashovardhan Sinha: We are of course very competitive, then only we are in fact growing at such a pace.

Avinash Baskar: And just one more trying to understand the basic question, your gross margin has gone up steadily from 7% to 15%. So, is that a function of better procurement because of scale or is it like premiumization or something else?

Yashovardhan Sinha: I've been telling this whenever you reach a threshold of sale, margins will definitely go up by the manufacturers and I hope you are understanding it. Let us say we are a 100 crore Company; our margins will be different. When we are 500 crores, will be totally different , we are 1,000 crores, it will be again different. And so gross margin will keep on increasing in line with your expenses. Because when you are expanding, you are taking those brands to smaller towns, cities and all that. So, they compensate you for that also. So, this is the reason.

Avinash Baskar: Before your store comes right, what is the profile of the customer, is it like their first time first ever time AC is being installed in their house, those are the kind of customers who are the maximum? And let's say before Aditya Vision enters their life, do they buy it from any other place , what is like their competitor or whom do they buy it from before you guys come in?

Yashovardhan Sinha: We are quite old by that way. We have been operating since 1999. So, we find that most of the showrooms are closed now which were running at that time. You can name any store which is older than you, then there is only one store in Patna. So, repeat customers are very much. That is the reason sale is going so much, roughly around 70% customers will be repeat customers, 30% of customers will be new customers. And wherever we are opening our branch at newer places, that customer is totally new to us and are additions.

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Moderator: As there are no further questions, I would now like to hand over the call to Mr. Yashovardhan Sinha for closing comments. Over to you Sir.

Yashovardhan Sinha: We trust that we have addressed all your enquiries to your satisfaction. If you have any remaining unanswered questions, please don't hesitate to contact our Investor Relations

agency, Go India Advisors. They will be more than happy to assist you further. Thank you so very much and look forward to meet you again. Thank you and bye-bye.

Moderator: On behalf of Nuvama

Group, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

R
R Aditya Vision Limited R
R April 28, 2023

Date- November 08, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400 001

SCRIP Code: 540205

Sub: Transcript of Analysts/Investors Call pertaining to the Unaudited Financial Results for the quarter and half year ended September 30, 2023

Dear Sir

Further to our letter dated October 31, 2023, please find attached herewith a copy of the transcript of the Analysts/Investors Call on the Standalone Unaudited Financial Results of Aditya Vision Limited for the quarter and half year ended September 30, 2023 held on Friday, November 03, 2023.

The same is also being made available on the Company's website at: www.adityavision.in .

This is for your information and record.

Thanking you

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

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"Aditya Vision Limited
Q2 FY202 4 Earnings Conference Call"

November 03, 2023

ANALYST : MR. DEVANSHU BANSAL – EMKAY GLOBAL
FINANCIAL SERVICES

MANAGEMENT : MR. YASHOVARDHAN SINHA – CHAIRMAN &
MANAGING DIRECTOR – ADITYA VISION LIMITED
MRS. YOSHAM VARDHAN - WHOLE TIME
DIRECTOR – ADITYA VISION LIMITED
Aditya Vision Limited
November 03, 2023

Page 2 of 17 Moderator: Ladies and gentlemen welcome to Aditya Vision Q2 FY2024 Earnings Conference Call hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. We must remind you that the discussion on the today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risk that the company faces. I would now like to hand the conference over to Mr. Devanshu Bansal from Emkay Global Financial Services. Thank you and over to you Sir!

Devanshu Bansal : Hi good evening everyone. We would like to welcome the management team of Aditya Vision Limited and also thank them for giving us this opportunity to host their Q2 FY2024 earnings call. We have with us today Mr. Yashovardhan Sinha, Chairman & Managing Director and Mrs. Yosham Vardhan, Whole Time Director. I now request Mr. Sinha to take us through the company's business outlook and financial highlights subsequent to which we will open the floor for Q&A. Thank you and over to you Sir!

Yashovardhan Sinha : Thank you Devanshu. Very good evening ladies and gentlemen. We are pleased to welcome you all to our earning concall for Q2 and H1 FY 2024 where we will discuss the financial performance and strategic decisions made by the company. We have already uploaded our investor presentation on the exchange and we hope you have had the opportunity to review it.

We are very happy to announce that we have delivered overall a strong performance in H1 FY2024 despite seasonally weak Q2 with consistent performance across all financial parameters. As stated earlier, the seasonality factor significantly influences our business operations with Q2 being our weakest quarter owing to monsoon and shradh period. In addition, the entire festive season this year fell in; it is in fact due in Q3 whereas festive season started in Q2 in FY 2023. What I mean to say

that the festive season started in the month of September last year which falls in Q2 and this year all festivities are from October onwards. Despite the above, we have delivered good growth in revenues, which reinforces us as a preferred choice of our customers. Our relationship with our customers supported by our competitive pricing, outstanding customer service, prompt delivery and installation and successful marketing events such as the Independence Day sale and attractive offers in

world cup season has given us the desired results . This quarter we also conducted first of its kind electronic lo an mela there is 125 plus locations across panchayats and block level in Bihar, Jharkhand and Uttar Pradesh which has made our brand very popular with first time rural customers that we got very good response as well. Our sales in July was flat after

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Page 3 of 17 experiencing exceptional sales growth in June this year. August and September sales were very robust this year in this Q2 FY2024 with more than 30% growth. So I want to tell you that in fact June was exceptionally very high in Q1 because the entire season was rain marred , despite that so in July the effect was that it remained flat because of very high sales in June and in fact in August and September our sales grew by more than 30%, so resulting in a year -on-year revenue growth of 21% in Q2 FY2024.

Our revenue increased from Rs.698 Crores in H1 FY 2023 to Rs.954 Crores in H1 FY 2024, a growth of 37 %. In line with our revenue , our profit before tax increased by 29% Y-o-Y to Rs.62 Crores compared to 48 Crores and our profit after tax increased by 24% Y-o-Y to Rs.47 Crores compared to 38 Crores in H1 FY 2023.

In H1 FY 2024, Bihar contributed the most of our revenues with 88% revenue coming from Bihar, followed by Jharkhand and UP which contributed 10% and in fact UP we have just started so it contributed 2%. This growth in the topline is a result of strong store additions as well as continued growth from our matured stores.

As mentioned in our previous earnings call, we had set our sights on expanding our reach in Q2 FY 2024. We are pleased to report that we have made a steady progress , having opened 13 new stores in Q2 FY 2024 with six stores in Bihar, two stores in Jharkhand and five in Uttar Pradesh bringing our total store count to 130. This means that we have added 25 stores in H1 FY 2024 as against the full year addition of 26 stores in FY 2023. So here we added 26 stores and we have already added 25 stores in half year of this financial year. We have achieved a significant milestone in our store hyper scaling strategy. Building on this momentum we now plan to open additional 10 to 15 new stores in this financial year to reach overall 140 to 145 stores thus surpassing our initial guidance of 125 stores in FY 2024, which we crossed in H1 FY 2024 itself. Furthermore , we have revised our initial store opening guidance from 150 stores by FY 2025 end to 160-165 stores by FY 2025. We are convinced of the immense consumer opportunity in our core markets and we believe accelerating store expansion is the correct strategic response. Typically , our stores breakeven within the first six to eight months and we are seeing encouraging consumer response in the newer markets , in fact there is very good demand coming up initially of course opex is high, but these stores are simultaneously maturing also, so there we really expect very good business coming from these stores in near future.

As previously mentioned in our earnings call, our inventory usually remains on the higher side at the end of Q2 and Q4 due to our strategic approach of acquiring inventory aggressively for the festive season and summer season respectively and we do not want to be in a stock out situation. Reflecting this , our inventory as of September 30 , 2023 amount

ted to Rs.283 Crores based on our optimal procurement strategy. I would like to

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Page 4 of 17 highlight here that growth in store operating expenses is higher for the quarter due to the strong pace of store additions over the last 12 months. In fact 30% of our showrooms are less than six months old . As these new stores ramp up and start contributing to revenue , you will see benefits flowing into our profitability as well as topline and bottomline. It is also important to note that SSSG for H1 FY 2024 is still very healthy at 19%.

On August 16 , 2023 CRISIL rating upgraded its rating on the long-term facilities of company to CRISIL A - stable from CRISIL BBB+ stable. This rating reflects our established market position, our extensive experience in the electronic retail industry and sound operating and financial efficiency.

As mentioned previously , we have already achieved market dominance in Bihar and Jharkhand. Now our efforts have started gaining momentum in eastern Uttar Pradesh where we currently have 13 operational stores and we are steadily progressing in terms of market penetration.

Lastly , I would like to say that we are committed to broadening our customer base, retailing innovative products by innovative methods and ensuring exceptional customer experiences while maintaining steady financial growth. This commitment propels us to pursue excellence in every facet of our business as we progress in our expansion journey with you all. With this favorable momentum , we maintain a strong belief in our future and our capacity to establish new industry standard.

I think that is all. I will now hand over the floor to Mrs. Yosham Vardhan to provide an overview of the financial highlights for the quarter. Yosham Vardhan please !

Yosham Vardhan : Thank you. Good afternoon ladies and gentlemen. We are happy to showcase the strong financial performance of Q2 FY 2024 and H1 FY 2024. Here is a snapshot of our financial outcomes .

During H1 FY2024

- Our revenue increased to 37% from 698.11 Crores in H1 FY 2023 to 954.36 Crores in H1 FY2024.

- Gross margins were maintained at 15% and EBITDA stood at 86 Crores.

- PAT grew by 24% from 37.84 Crores in H1 FY 2023 to 47.05 Crores in H1 FY2024.

- SSSG in H1 FY 2024 stood at 19% .

In Q2 FY 2024

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Page 5 of 17 • Our revenues recorded a Y-o-Y increase of 21% reaching Rs.313.13 Crores driven by the expansion of our operations and strong S SSG.

- Our gross margins were effectively maintained at 15% driven by optimal product mix.

- The profit before tax for the quarter stood at 12.32 Crores and profit after tax for the quarter stood at 9.63 Crores.

- EBITDA for the quarter stood at 23.1 Crores. As mentioned earlier , we have seen strong momentum in store additions which led to higher operating expenses in a seasonally weak quarter. This has impacted EBITDA growth for this quarter but we are confident of seeing benefits from the wider store footprint as we head into the festive season .

- In H1 FY2024 our employee expense has a provision for ESOP amounting to 4 Crores , which was split into 2 Crores each in Q1 and Q2 FY2024 respectively. In this financial year, a total ESOP provision of 8 Crores have to be made out of which 4 Crores have been made in H1 FY2024 and the remaining 4 Crores will be made in H2 FY2024. However, in the next year , provision of approximately only 2.5 Crores will have to be made in the next full financial year FY 2025 on account of ESOP. As you are aware this is a notional expense charged to P&L but does not have any impact on the cash flows. We strongly believe that ESOP was granted to our long-term employees will give our team a great motivational advantage in short to long term benefiting the company manifold.

- As previously mentioned , our store count reached 130 in

Q2 FY 2024 with the addition of

13 new showrooms this quarter including six in Bihar, two in Jharkhand , and five in Uttar Pradesh.

We can now open the floor for questions.

Moderator : Thank you . We will now begin the question and answer session. The first question is from the line of Bapodara Mayur . Please go ahead.

Bapodara Mayur : Hello Sir. Congratulations on good set of numbers. Actually I wanted to understand about our expansion plans in regard of how we decide on expansion pace, speed of expansion, which parameters we look for ?

Yashovardhan Sinha : Okay. That is all?

Bapodara Mayur : Yes, that is my first question.

Yashovardhan Sinha : We have already discussed several times , actually we look out for the population and we look out for the overall figure nationally provided for penetration of white goods and mobiles and other things and then we take a decision . In fact whatever states we are in fact operating in , it has got one of the lowest penetrations of white goods and population wise it is almost 30% of the entire Indian population UP, Bihar and Jharkhand will contribute . So

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Page 6 of 17 that way in fact we look for the population, how well they have been served there by similar sector and then data, retail data also comes in .

Bapodara Mayur : That is fine. Actually I am asking about our speed of expansion like how we defended the expansion speed of our company is okay, we are not over speeding ourselves in expansion so which parameters like balance sheet and strength of balance sheet and in that sense what parameters we look for like we are not over speeding ourselves for expansion or we are not under speeding ?

Yashovardhan Sinha : In fact we are having that bandwidth for expansion if that is very clear by numbers what we have done and as they mature going forward and let us say six to nine months all these places are very under penetrated and we are sure very good business is going to come. I have already discussed how many stores we want to open and it all depends on what type of response we are getting there . So right now we are getting good response so we are going ahead, if we start getting lesser response then we will rethink our strategy.

Bapodara Mayur : Right and we already have major market share in Bihar . So in Uttar Pradesh how we are getting response like what is the competitive intensity in Uttar Pradesh any big players are expanding parallel to us or we are the only big player expanding in the UP ?

Yashovardhan Sinha : Right now we are the only big player expanding there . Modern trade is there, but they are not expanding in that way and we want to have the business advantage also, so we are the only retail player there which are expanding in such a way so this is what management thinks that this will be our biggest asset also going forward .

Bapodara Mayur : Yes, so we will have the first mover advantage in UP also right?

Yashovardhan Sinha : Yes, of course, absolutely right.

Bapodara Mayur : Right now we are expanding in three states like Bihar, Jharkhand, and UP so after this what other states we are planning to expand like MP or Rajasthan?

Yashovardhan Sinha : No, not in Rajasthan . We believe in creeping cluster approach so we will be going up to Lucknow in the eastern UP , after that we have been assessing our market position in Chhattisgarh also. Similarly , again we are assessing Madhya Pradesh also where we intend to start from the eastern part of Madhya Pradesh so these are the places right now which has been considered.

Bapodara Mayur : Sir geographical area wise UP is like Bihar and Jharkhand put together, so how much store we can plan in UP , how many stores ?

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Page 7 of 17 Yashovardhan Sinha : There is immense opportunity in UP because it is very, very densely populated . The overall

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population is around 24 Crores, assuming that half the population lives in eastern UP it is as big as Bihar . So that we can find that the opportunities are as good as what were in Bihar.

One thing we can only say that we will be in the Hindi Heartland . That is our policy and we are going to remain there.

Bapodara Mayur : That is it from my side and congratulations for the future growth and future endeavors.

Moderator : Thank you. The next question is from the line of Rakesh Sethia from HDFC Mutual Fund. Please go ahead.

Rakesh Sethia : Hi thank you for the opportunity. A couple of questions firstly how many stores did you mention which are less than six months old did you say 30% of this store, did I hear that number correctly during the call?

Yashovardhan Sinha : Yes 30% of our stores, right.

Rakesh Sethia : Are less than six months old ?

Yashovardhan Sinha : In six months.

Rakesh Sethia : Okay. And Secondly, is it possible to quantify what would have been the impact of additional expenses that probably would have gone in the stores which are still not mature , I am just trying to look at the margin , so there is roughly about 150 basis point margin contraction from same quarter last year . How much of that would have been impacted by the additional cost of stores which are probably not yet mature?

Yashovardhan Sinha : Still I am not able to understand your question. You want to know what impact you expect in fact of the newly opened stores right ?

Rakesh Sethia : If I look at your operating expenses, so last year your margin was about 8.9% in the second quarter . This year margin is 7.4 and when I look at the gross margins they are broadly similar, so the entire margin contraction seems to have been led by the other expenses which probably would have been that you would have incurred those expenses in opening stores and etc. So what I am trying to understand is how much of this margin contraction is because of the additional charges that could have gone in the store opening versus otherwise we would not have incurred .

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Page 8 of 17 Yashovardhan Sinha : Let us say it can be 100 basis points that will be going forward that can come as a cost for

opening new stores to the company . But I am very sure that after these numbers of the stores even slightly mature then again it is going to contribute to the EBITDA .

Rakesh Sethia : Understood. Sir last question on growth if I look at this quarter 's growth of let us say 21% on year -on-year basis and when we look at the growth number last year same time was about 43% so I am just trying to understand you seem to have opened more number of stores yet your growth this quarter seems to be slightly lower as compared to last quarter it is especially because of the festive season move?

Yashovardhan Sinha : There were number of reasons . Few of them I already discussed when I was speaking.

There are other reasons also that this time we have opened more stores in the lesser time and that time in fact our store expansion was not that rapid . So this is the reason . Nothing

else.

Rakesh Sethia : Understood. So, does it mean that going forward when we look at your numbers is it possible to sort of think about how these sales is probably there in the month of October and November, you would have already known some of the data. Can you sort of help us understand that your per store revenue ?

Yashovardhan Sinha : I can tell you right now that we have entered in a very good quarter at the moment , very bullish quarter I would say . In fact everybody was waiting for this festive season to come because it has been delayed this year . So I think we will be doing more than what we have been projecting , so this is what I can suggest as of now.

Rakesh Sethia : Understood Sir. Thank you very much and all the best Sir.

Moderator : Thank you. The next question

is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda : Hello Sir. Just the first question is on the GM difference for this quarter especially on a Y-o-Y basis , so there is 100 bps difference , there is a lower 100 bps if you could explain that and what would be the salience or the share of AC business in these quarters , what are Q2 quarter this year and Q2 last year?

Yashovardhan Sinha : Which business you said?

Pritesh Chheda : Air conditioners.

Yashovardhan Sinha : AC has in fact it has grown by around 32% . I am talking about H1.

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Page 9 of 17 Pritesh Chheda : I am only asking for Q2.

Yashovardhan Sinha : Q2 in fact we are not having , in fact Q2 does not matter , we do not sell much ACs in Q2 because it is already rainy season.

Pritesh Chheda : What explains the 100 bps lower GM in the quarter gross margin ?

Yashovardhan Sinha : I have been discussing this right now also that we can have 100 bps dip in GM of course because of our newer stores and at rapid pace we are opening new stores which are yet to mature or establish themselves, but I think that going forward all these stores, whatever we have done in fact 25 stores we have added in H1 which is going to contribute to our topline as well as bottomline very quickly maybe by next two quarters. I told you maybe by next two quarters and we can get a hit of 100 bps in GM.

Pritesh Chheda : But Sir when your SSG is 19% in a 20% growth, which means the contribution for new store is less and in one of the answer you mentioned that new stores were opened towards the end of the quarter only ?

Yashovardhan Sinha : Sorry you are mistaken it is for H1.

Pritesh Chheda : Then what is the SSG for Q2?

Yashovardhan Sinha : We do not have quarterly number on that .

Pritesh Chheda : No problem. Then the other question I have is the other expense line, you mentioned 2 Crores as ESOP expense, are there any other higher expenses or any expenses which you want to highlight which may not be a part of store expansion and gone up in the quarter ?

Yashovardhan Sinha : Not at all. We do take care to tell you in the earnings call if there is any exception .

Pritesh Chheda : No problem and last question Sir . I understand the season shift that is there this year, the festivity shift and October would be the month where obviously Navaratri would have come in. So October month what is the growth on a Y-o-Y basis ?

Yashovardhan Sinha : We can give you only overall for a quarter . Try to understand one thing I will tell our investors to understand this because again last year we have best season is Dhanteras Diwali for us not Durga Puja. Of course your sale starts going up after the month of Shradh, so first day of Durga Puja , Navaratri , we start getting good business but our business in fact it explodes by Dhanteras and Diwali. So last year it was in October but this year it will be in November, so judging by month -to-month that will be not really good because very seasonal matter is there. So this is the reason we are highlighting our performance for H1

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Page 10 of 17 also because if you have very good Q1 then you have to have slightly weaker Q2. So it will be very good judgment of companies' financials if you compare by half year. So this is the way we are presenting in our investor presentation also where we will see. I hope it is clear to you because that will give you a better picture of what the company is actually delivering .

Pritesh Chheda : But generally the consumer sentiment or what you would see on ground in terms of demand outlook that all is fairly strong whatever initial assessment that you could make ?

Yashovardhan Sinha : Yes very, very strong.

Pritesh Chheda : Thank you very much and all the best.

Moderator : Thank you. The next question is

from the line of Renjith Sivaram from Mahindra Mutual Fund. Please go ahead.

Renjith Sivaram : Hi Sir good afternoon. I just wanted to understand you had mentioned that there is a 2 Crores ESOP -related expenditure in other expenditure so apart from that is there any other reason why this other expenditure was high this quarter , it is around 10 Crores compared to 5 Crores last year so we understood 2 Crores increase is to ESOP is there anything else apart from this?

Yashovardhan Sinha : No, nothing else but ESOP you are not getting it right . ESOP is in employee benefit expenses and you are talking about .

Renjith Sivaram : So why this other expenditure is there any other cost related to the new stores?

Yashovardhan Sinha : Opex incurred for opening newer stores. This is what I have already highlighted . So expense will go up of course but number of stores has also gone up.

Renjith Sivaram : We have to believe that probably once these new stores which have been added, once they start delivering in terms of the profitability, and then this EBITDA margin should normalize to around 9 to 10% ?

Yashovardhan Sinha : We have been always guiding we will be 9 to 10% and I think in H1 we have achieved 9%.

Renjith Sivaram : Sir if you look at the overall S SG you have given it for the first half . But when we look at the store additions and your growth it seems that, at least we can derive that , there is likely to be a decline in the same stores growth this quarter or there is no risk in terms of say decline in same store growth sales this quarter ?

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Page 11 of 17 Yashovardhan Sinha : In our opinion there is no risk of declining store because in fact we have been expanding

rapidly or aggressively expanding since pandemic days . So there is a number of clustered stores in between and I think that going forward we are going to have this very good same store sales growth because these all stores are now blossoming I will simply put it like this. So let us say stores which have been opened in FY2020, 2021, 2022, these are all now maturing and blossoming and these are contributing to our same store sales growth which are least one year old.

Renjith Sivaram : Sir one more last thing like the cost per store is it in an increasing trajectory or reducing trajectory compared to last year is cost per store increasing?

Yashovardhan Sinha : You can align it with the inflation figures and all that like rent increases 5%, the salary normally we give at least 10% and with growth in sales our employee expenses , benefit expenses also grows because of certain target -linked incentives we give to our employees . So of course it is going to rise, but we have been in line with our inflation rate.

Renjith Sivaram : Thank you and all the best.

Moderator : Thank you. The next question is from the line of Akshat Mehta from Sameeksha Capital . Please go ahead.

Akshat Mehta : Thank you Sir for the opportunity. My first question is that if I look at your inventory though we are saying that the inventory is higher at the end of Q2 but on new inventory days if we look at it you are showing 65 days at the end of Q2 that has come down from 70 days in last year H1 and around 80 days at the end of Q4. So I just wanted to understand why inventory in terms of number of days is going down , are we expanding into new stores where the inventory required is lower or what is the reason?

Yashovardhan Sinha : Small stores are also there of course. So smaller stores also around 18 we have opened which is overall opened from last H1 to this H1. So number I think it is good enough, but we are improving on that I suppose.

Akshat Mehta : If you could share what kind of total stores would be smaller out of 130 ?

Yashovardhan Sinha : It has come down from 70 to 65 days.

Akshat Mehta : No, I am asking out of 130 stores that you have how

many would be smaller one, 18 stores as you called it ?

Yashovardhan Sinha : 18.

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Page 12 of 17 Akshat Mehta : Going forward is there any plan for opening more smaller stores or majority of them would be larger ones ?

Yashovardhan Sinha : Majority will be larger one of course, like what I said in my earning call was that we are always looking for newer opportunities . As I told you may be listening at that time in fact we have done more than 150 loan melas in rural places like panchayat level, block level and all that , what we intend to know and understand that what is the potential, how much and we were very much surprised that even in the block level, even in panchayat level . the people were buying for as much as even Rs. 1 lakh, so these in fact incidents were pleasantly surprised us and maybe we will be looking for opportunities to do it. We cannot exactly tell

you what we are going to do, what is our future strategy but our strategy will be always to capture whatever market is there so that build s up the brand also across Bihar or Jharkhand or UP.

Akshat Mehta : Sir my next question was that if you look at your employee cost from Q1 to Q2 on absolute basis it has come down to around 15.4 Crores to 13.5 . So I un derstand those includes 2 Crores of ESOP s o why is that, have your number of employees come down or what is the reason?

Yashovardhan Sinha : Again I have told you that it goes up with the sale, s o if you find that in Q1 our sale was more than double what we have done in Q2.

Akshat Mehta : So that includes incentives as well , commission or incentives for sales ?

Yashovardhan Sinha : If you really do very well then of course these are very dynamic type of incentive strategy what we in fact implement . Obviously I cannot share but that is the way we do so if we have very good sales then our employee cost will go up.

Akshat Mehta : If you could also share some highlights on how festiv e demand is going till now , it is now start of November if you can throw some light on that ?

Yashovardhan Sinha : Till now it has been very good and very robust.

Akshat Mehta : Okay. Thank you Sir .

Moderator : Thank you . The next question is from the line of Vivek Gautam from GS Investments. Please go ahead.

Vivek Gautam : Yes, Sir one quest ion has the promoter selling and the related entities stopped because earlier you said that we wanted some marquee investors and some marquee investors like

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Page 13 of 17 HDFC mutual fund has entered into our company so no more promoter and related e ntity selling Sir?

Yashovardhan Sinha : It cannot be limited only to HDFC M utual Fund. Of course i f it will be a really good investo r then only we are going to dilute , otherwise no t.

Vivek Gautam : Because earlier this question was raised, so you had said that it was f or strategic nature only and it is on verge of stoppage ?

Yashovardhan Sinha : You are only saying that yes to HDFC mutual fund. Similarly if some marquee investors comes in then we will consider , in fact adds good value to our investors as well .

Vivek Gautam : Because if these marquee investors buy fr om the market then the minority shareholders also benefit ?

Yashovardhan Sinha : If they buy otherwise also everybody start buying so that I do not know how it is going to impact the share price, but one thing I k now that marquee investors are necessary and if they go into the market then they are not going to get that type of share s and big investors they cannot have a very small stake. You do not have to worry for that because as I told you any dilution will be very, very strategic, very calculated and only if very good investors are willing to come and that is all.

Vivek Gautam : That is why I agree that in the sense that HDFC Mutual Fund entering in our company is really a very pos

itive sign and increases t he confidence in small companies like listed at

BSE coming out from the SME background from Bihar , so it does increase the confidence I

agree Sir . And second thing is basically any plans for going in for big four auditor because

of local auditor is also still Patna based and any plans of going in for that Sir?

Yashovardhan Sinha : We have told that we have already exploring this and maybe in a year or so we will be on boarding not big four but maybe big six.

Vivek Gautam : That is a very helpful measure Sir and how is with the performance in UP si de Sir, especially Banaras where the store was opened sometime back and how has been that performance Sir ?

Yashovardhan Sinha : Banaras is doing very well and joining I think even Prayagraj we have recently ventured into Prayagraj Allahabad that is also doing exceptionally well . So, it is only a matter of time they will very much explode.

Vivek Gautam : Prayagraj store was open ed very, very recently. Bananas I believe was slightly older.

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Page 14 of 17 Yashovardhan Sinha : They have done very well. We have got contribution of 47% sales growth in Q1 you can understand that those stores have done very well right from the beginning, right from the starting.

Vivek Gautam : Sir we have opened in some real small, I believe that Hari nagar Sugar Mills situated in Ramnagar there also we have opened a store and in a place called Dhaka v ery small places , so do they have the real potenti al of meeting the expectations of the growth of Aditya Vision or very small place will take time Sir ?

Yasho vardhan Sinha : We expected a sale of only 50 lakh but what we are now projecting is that they are going to

do more than 7 to 8 Crores of sales in their first full year. So I will say that they have been very successful and these smaller places again the population is very high and since affordability or retail financing is so easy and quick that these places are giving good business.

Vivek Gautam : Non-resident Bihar people working in Middle East, Saudi Arabia and other places their family staying back in small places in Bihar is helping us out you mean to say Sir ?

Yashovardhan Sinha : Immigrants. Plenty of inflow of money is there in these places, plenty of money.

Vivek Gautam : Minority region I believe in Dhaka and lot of people are working. Thank you Sir.

Moderator : Thank you. The next question is from the line of Tanay Desai from 11H Advisors. Please go ahead.

Tanay Desai : Good evening to the management . Thank you Mr. Sinha I represent the family office of Mr . Janak Desai . It was a pleasure to be a shareholder of Aditya Vision. Just one question and one suggestion towards the end. The question is one of our competitors in the southern part of India I think they grew their profits and EPS by around 20% this quarter and they are also aggressively expanding maybe not at the rate of our company, but still pretty fast , so just wanted to understand the geographical difference between the demand scenario in our northeast belt versus the southern belt and do we have any plans of considering areas outside the northeast belt say probably around FY20 25? Also very happy with the fact that cash flow from operations has gone up significantly in the half year as well as the quarter. Thank you.

Yashovardhan Sinha : Yes actually what you said that you were yourself telling me there , let us say their growth rate will be definitely muted if I go to southern part because these are overall saturated market , even penetrated market as well. In the Hindi heartland let me tell you very big opportunity, very big story this will be the future for growth , this will be the growth driver
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Page 15 of 17 for the company , so we will definitely stick to Hindi heartland. We have always been in fact explaining

it to our investors that we are going to stick to Hindi heartland where we find that in fact we get more support from manufacturers because we are going to a newer destination whereas if you go to a very crowded place they know that already 10 showrooms are there, big showrooms are there so they do not have any interest in anyone separately , but when you enter into new territory, new places which is underpenetrated everybody knows that this will be a new market , so this new market is the story for what Aditya Vision stands for . So we will be sticking here only. If you will compare us with competitors then you will find that there will be difference in topline growth.

Tanay Desai : Sure Sir . The second question is if you could help us with the blended cost of debt, what would be the cost of debt for the company at this point?

Yashovardhan Sinha : It will be around 8.25%.

Tanay Desai : This is going to remain steady for the next few quarters, right ?

Yashovardhan Sinha : It is going to come down from the rate in my opinion rather than going up because we do not expect the interest rate to go up from this point.

Tanay Desai : Sure Sir. That is great to hear . And small suggestion is regarding to the previous point made by few people on the call. I think with regard to the promoter selling part we completely agree that a strategic investor definitely helps minority investors as well but in case possible once the NSE listing happens and volumes open up at that point maybe you can reassess the selling situation because from the open market marquee investors might be able to at that point buy as well . So just wanted to give small suggestion on the selling party .

Yashovardhan Sinha : I can tell you this is very nice suggestion. We always prefer that people should go that way, but when there is a big marquee investor then they want to have a bigger share , a lot.

Simply either they will get in your company through our selling or they will not come at all .

So decision has to be taken at that time. We very much appreciate your suggestion and yes of course next year we are planning to list ourselves on NSE, so we see better days ahead.

Tanay Desai : Right Sir. Thank you so much for accepting the suggestions and wish you a bumper Q3 and next few quarters ahead.

Moderator : Thank you. The next question is from the line of Vishal Ramchand Panjwani from Emkay Global . Please go ahead.

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Page 16 of 17 Vishal Ramchand : Hi Sir thanks for the opportunity and congratulations for good set of numbers. What would be the average ticket sizes for AC, refrigerator , and washing machine segment ?

Yashovardhan Sinha : AC H1 2024 it is around 41 000. What else you want to know ?

Vishal Ramchand : Refrigerator and washing machine as well.

Yashovardhan Sinha : Refrigerator will be around 21000; washing machine will be around 20000.

Vishal Ramchand : What about television ?

Yashovardhan Sinha : Television it has in fact come down from last half year because there was a good price correction in panels, So it is around 34 - 35000.

Vishal Ramchand : How are you seeing competition from our offline retailers like Croma and Reliance Digital in your area ?

Yashovardhan Sinha : They have always been operating here . They have been operating since 2014 here whatever we have achieved, we have achieved along with the competition, so I do not think so that it is going to do anything , dent our growth chart. That is very clear that we have grown 37% since last H1 to this H1.

Vishal Ramchand : That is it from my side. Thank s for this opportunity .

Moderator : Thank you. The next question is from the line of Faisal Hawa from Hawa & Company.

Please go ahead .

Faisal Hawa : Will you get into private label selling under the own brand ?

Yashovardhan Sinha : My answer will be a simple no . We have no plans to sell our p

ivate label .

Moderator : Thank you. As there are no further questions from the participant I now hand the conference over to the management for closing comments.

Yashovardhan Sinha : We trust that we have addressed all your inquiries to your satisfaction . If you have any remaining unanswered questions or I was not able to explain it well to you , please do not hesitate to contact our investor relations agency, Go India Advisors. They will be more than happy to assist you from there . Thank you so very much for sparing your time for this earning call. I thank everyone including the organizer. Thank you very much and very good day ahead.

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Page 17 of 17 Moderator: On behalf of Emkay Global Financial Services that concludes this conference. Thank you for joining us . You may now disconnect your lines.

Call: Feb 2024

R
R Aditya Vision Limited R
R April 28, 2023

Date - February 12, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400 001

SCRIP Code: 540205

Sub: Transcript of Analysts/Investors Call pertaining to the Unaudited Financial Results for the quarter and nine months ended December 31, 2023

Dear Sir

Further to our letter dated February 02, 2024, please find attached herewith a copy of the transcript of the Analysts/Investors Call on the Unaudited Financial Results of the Company "Aditya Vision Limited " for the quarter and nine months ended December 31, 2023 held on Wednesday , February 07, 2024.

The same is also being made available on the Company's website at: www.adityavision.in .

This is for your information and record.

Thanking you

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

130+STORE

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"Aditya Vision Limited
Q3 FY '24 Earnings Conference Call"
February 07 , 2024

MANAGEMENT : MR. YASHOVARDHAN SINHA –CHAIRMAN AND
MANAGING DIRECTOR – ADITYA VISION LIMITED
MRS. YOSHA M VARDHAN – WHOLE TIME DIRECTOR
– ADITYA VISION LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Aditya Vision Limited Q3 FY24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Percy Panthaki from IIFL Securities. Thank you and over to you, sir.

Percy Panthaki: Hello everyone and welcome to Aditya Vision Limited Earnings Con Call for Q3 and 9-months FY24. We have on the call with us today : Mr. Yashovardhan Sinha, Chairman and Managing Director and Mrs. Yosham Vardhan, Whole -time Director of the company.

As a reminder, this discussion on today's call may include certain forward -looking statements and must be viewed in conjunction with the risks that the company may face.

Now I request the management to take us through the company's business and financial highlights post which we can open the floor for Q&A. Thank you and over to you, sir.

Yashovardhan Sinha: Thank you, Percy. Good evening, ladies, and gentlemen. Welcome to our Earnings Conference Call for the Q3 and 9-months FY24. Today we'll be discussing our company's financial performance and strategic decisions. Our investor presentation is available on the exchange and we hope you've had a chance to review it.

We are thrilled to report a strong performance in this festive quarter showcasing consistent results across financial metrics. Our revenues grew from INR317.85 crores in Q3 FY23 to INR413.26 crores in Q3 FY24, a growth of 30.02%. Correspondingly, our profit before tax increased by 21.35% year -on-year to INR28.99 crores compared to INR23.89 crores and our profit after tax grew by 13.58% year -on-year basis to INR22.17 crores compared to INR19.52 crores in Q3 FY23.

Our revenue grew from INR1015.96 crores in nine-month FY23 to INR1367.62 crores in nine-month FY24, a growth of over – to be exact 34.61%. Our profit before tax in nine-month FY24 increased by 26.17% year -on-year to INR90.64 crores compared to INR71.84 crores and our profit after tax grew by 20.68% year -on-year to INR69.22 crores compared to INR57.36 crores in 9M FY23. We are glad to inform you that we have already surpassed our full year FY23 revenue and PAT in nine months itself in this financial year.

Before we proceed towards our strategic update, I would like to take a moment to reflect on 25 years journey of Aditya Vision . While we have been listed for seven years now, we

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began our journey in the year 1999 with a single store in Bihar. In 2016, we successfully raised INR5.8 crores by getting listed on BSE, a significant milestone that marked our first -ever fundraising effort. Today, our company stands at 138 stores across Bihar, Jharkhand, and Uttar Pradesh, showing a remarkable tenfold expansion since 2016, where we had just

14 stores. Our first fundraise of INR5.8 crores not only propelled our journey to where we are today, but also resulted in a substantial value creation for our shareholders and fortifying our position in the market.

We are happy to announce that our board meeting held on January 30, 2024, has approved a preferential issue of shares of approximately INR282 crores to Capital Group, one of the world's largest foreign institutional investors, demonstrating confidence of marquee investors in our company. This is a significant milestone for our company and marks our second fundraising initiative after the first and only fundraise of INR5.8 crores during the IPO. We believe this fundraiser will strengthen our balance sheet, support our growth for

years ahead and help create value for stakeholders. A significant part of the fund raise will be used for working capital requirements, which will in effect reduce our financial costs.

Throughout our journey, we have embraced opportunities and demonstrated resilience during challenging times. With marquee investors on board, we are now steadily progressing towards substantial, sustainable growth. We appreciate the continued support of all stakeholders that has brought us to this point and look forward to the promising future ahead.

As mentioned before, we are at a crucial point in our hyper scaling strategy. Since Q3 was a festive quarter, we put all our efforts and resources in sales promotion and strategically delayed opening of new stores. We opened only two stores in Q3, FY24, one in Uttar Pradesh and one in Jharkhand. In Q4 FY24, the current quarter, so far, we have opened six stores. As of today, we stand at 138 operational stores with 100 stores in Bihar, 22 stores in Jharkhand and 16 stores in Uttar Pradesh. In fact, 100 stores in Bihar is a significant milestone for us. In FY24, we opened 33 stores in 10 months, a significant jump from 26 stores in the whole FY23. Works are in place to open seven more stores in the remaining FY24, taking the store count to 145 stores by the end of FY24, outperforming our initial guidance of 150 stores by FY25.

Further, we have also made significant progress in Uttar Pradesh, which is reflected from an increase in revenue contribution coming from Uttar Pradesh in Q3 FY24. In Q3 FY24, Bihar contributed the most to our revenue with 84%, followed by Jharkhand and UP, contributing 11% and 5% respectively. This revenue growth is a result of both new store additions and sustained growth from our existing stores. Having hyper scaled this year, we plan to open about 24 stores annually and reach a milestone of 200 stores by the end of FY26. We perceive significant growth opportunities in our focused core markets of Hindi Aditya Vision Limited

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Heartland. The positive consumer response in the newer market where we have expanded is particularly encouraging for us.

As highlighted earlier, our operating expenses have been on higher side in this financial year due to the rapid addition of stores over the past 12 months. In calendar year 2023, we opened 39 stores, which is more than double of 18 stores opened in calendar year 2022. Presently, 30% of our stores are less than one year old and quite young. As these recently established stores gain momentum and ramp up in line with our other older stores, we expect to see meaningful positive impact on profitability and top line. The same store sales growth for 9-month FY24 stands at 18% and for Q3, 14%.

In the current quarter, we have allocated a provision of INR2 crores for ESOP in accordance with our previous communication. For the entire FY24, a total ESOP provision of INR8 crores is required with another INR2 crores allocated for Q4 FY24. Looking ahead to the next fiscal year, we anticipate a provision of approximately INR2.5 crores for the entire FY25 compared to INR8 crores in this financial year. It is important to note that this is a notional expense impacting the profit and loss statement without any impact on cash flows. We strongly believe that extending ESOPs to our long-term employees will provide a substantial motivational advantage and loyalty which will benefit the company in both short term and long-term.

Lastly, I would like to say that we are committed to broadening our customer base, retailing innovative products, and ensuring exceptional customer experience while maintaining steady financial growth. This commitment propels us to pursue excellence in every facet of our business as we progress in our expansion journey. With this favourable momentum, we maintain a strong belief in our future and

our capacity to establish new industry standards.

I will now hand over the floor to Mrs. Yosham Vardhan to provide an overview of financial highlights for the quarter. Over to you, Yosham.

Yosham Vardhan: Thank you. Good evening, ladies, and gentlemen. We are pleased to present the robust financial performance of Q3 FY24 and 9 -month FY24. Here is the summary of our financial achievements.

In 9-month FY24 -

- revenue surged by 34.61%, climbing from INR1,015.96 crores in 9-month FY23 to INR1,367.62 crores in 9-month FY24.
- Gross margins were sustained at 15.50% and EBITDA reached INR129.85 crores .

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- PAT exhibited a growth of 20.68%, rising from INR57.36 crores in 9-month FY23 to INR69.22 crores in 9-month FY24.

- SSSG for 9 -month FY24 stood at 18%.

In Q3 FY24 -

- revenues marked a year -on-year increase of 30.02%, reaching INR413.26 crores propelled by operational expansion and robust SSSG.
- Gross margins stood at 16.54%.
- PBT for the quarter stood at INR28.99 crores with PAT reaching INR22.17 crores .

- EBITDA for the quarter stood at INR43.49 crores and EBITDA margins stood at 10.52%.

- SSSG for Q3 FY24 stood at 14%.

- Our store count stood at 138 stores till date.

We can now open the floor for questions.

Moderator: Ladies and gentlemen, we will now begin with the question -and-answer session. We take the first question from the line of Devanshu Bansal from Emkay Global. Please go ahead, sir.

Devanshu Bansal : Hi, sir. Thanks for the opportunity and many congratulations on the preferential issue and entry of marquee investor to Aditya Vision. Sir, you sort of alluded to this, that preferential proceeds will be used for supporting the working capital. So, I wanted to check, will this be used for working capital for new stores that are expected to open or we can see some reduction in our existing debt that is already there on our balance sheet?

Yashovardhan Sinha: We will be using the funds for working capital for existing as well as future expansion. This is what we are proposing. Initially, it can reduce our debt also, but long term it will be used for the growth capital.

Devanshu Bansal: Got it, sir. And we have obviously exceeded expectations on the store addition front. So, can we expect some acceleration in the store additions versus our earlier guidance of 20 - 25 odd stores with a very good balance sheet? Can we sort of expect an increased addition on the store front?

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Yashovardhan Sinha: We are proposing to add 25 stores every year. However, as you know, whenever opportunities will be there to expand more, we can go for that. But right now, our strategy is to open 25 stores per year.

Devanshu Bansal: Got it, sir. Secondly, there is an increasing noise around unsecured credit by lenders. So, I wanted to check, are you also sort of witnessing any such tightness in terms of EMI dispersals by NBFC partners in our area of operations?

Yashovardhan Sinha: No, I don't think so. In fact, it is rapidly increasing in our geography. There is no impact at all.

Devanshu Bansal: Got it, sir. And lastly, sir, we have been successful in onboarding of good institutional investors. From here on, if you could sort of address or provide an outlook on further dilution of promoter shareholding, because this is key feedback from investors' perspective. If you could share your thought process from here on, it will be really helpful?

Yashovardhan Sinha: We have always said that any dilutions by promoter has been always for strategic requirement for the company. And this will be the strategy going forward.

Devanshu Bansal: Got it, sir. Thanks for taking my questions. That's it from me. Thank you so much.

Yashovardhan Sinha: Thank you.

Moderator: Thank you, sir. The next question is from the line of Himanshu

Nayyar from Systematix .

Please go ahead.

Himanshu Nayyar: Good afternoon, Mr. Sinha and Yosham . Thanks for taking my questions. Firstly, if I look at the 9 -month performance, EBITDA margins have come off a little bit. So I just wanted

to understand whether it's on account of the product mix change with your home and entertainment solutions revenue coming off and may be mobile is increasing, or on account of the ESOP costs that have come in on any other reason, which explains this dip in margins?

Yashovardhan Sinha: I'll say broadly that margins are in line with our guidance, what we have been giving. A slight increase or decrease in margin can be attributed to product mix and other things. So there are all aspects that work in tandem.

And we are going into newer territories wherever we find that what is good for the company, we do. And ESOP, I have already in fact narrated that ESOP requirement is there for providing in the balance sheet. So that is also impacting, which will not be that much from next financial year.

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Himanshu Nayyar: Understood. And the second thing which I noticed, I mean looking at the 9 -month numbers, that our retail footprint has increased by 36% while the store count by 42%, which essentially means that the average size of incremental stores is slightly lower. So is that a conscious strategy that we are opening slightly more compact stores or it's more a question of what sort of location we are getting in? We are ready to open even smaller size stores ?

Yashovardhan Sinha: Yes, actually you may be following us, then you will see that we have been opening few smaller stores also. Like what I was telling in last earning call also that we are looking towards sub -divisional headquarte rs also, which are very rewarding for our business. So this is the reason that we have opened a few, I will not say very small, but smaller than our usual typical store size in these places, which is giving us very good response also.

Himanshu Nayyar: Understood. So next would be on the new states. I mean apart from the three current markets that we have, at least for the next couple of years, if you can highlight the new states that we are looking to enter and what would be the timelines if we are look ing to do that?

Yashovardhan Sinha: In fact, we have already covered around 18 districts in Jharkhand out of total 24 districts.

And Bihar, we have already covered 37 districts out of 38 and one is in work in progress .

And UP out of 75, we have covered only 12 districts.

So, we have got a lot of strategic places to expand our reach. And we are looking forward to continue. Our overall strategy as you know is to remain in Hindi heartland. So may be in a couple of years, we may be looking at Chhattisgarh also, part of Madhya Pradesh also. These will be our potential areas that we will look to expand.

Himanshu Nayyar: Understood. And sir, final question will be on the competition. I mean at least in our core markets, have we seen any significant increase in the Pan India guys or brands opening new stores, which is leading to some increase there or its status quo as far as the top three markets are concerned?

Yashovardhan Sinha: I'll say that competition was always there and it remains as I speak. So, competition has been there always. And I think there is plenty of volume growth which takes care of competition . So, competition was always there and people are opening stores, the large format stores are also coming. But we are equally prepared to handle this competition.

Himanshu Nayyar: So no undue increase is what you have seen. I mean no significant increase which structurally impacts our growth.

Yashovardhan Sinha: No, I don't think so.

Himanshu Nayyar: Got it. Great , sir. That will be all from me. Thanks, and all the best.

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Yashovardhan Sinha: Thank you.

Moderator: Thank you , sir. The next question is from the line of Praveen Sahay from Prabhudas Lilladher . Please go ahead.

Praveen Sahay: Hi, sir and many congratulations on a very good set of numbers. So, my first question is related to the growth of 30% of growth on the Y -o-Y side. And also, you had added on the Y-o-Y side 40 -odd stores, which is quite a 40 % odd increase. If you can give some more color on how is the SSG, how is the last year 9 0, 80 stores have performed in the revenue terms?

Yashovardhan Sinha: Our SSG stood at for 9 months it stood at 18%. And for this quarter , it is 14%. And all are contributing . As I said that almost how many stores we have opened , many of our stores have just been opened and they are not even one year old. So we are expecting that these stores are going to ramp up our top line going ahead.

Praveen Sahay: Yes. S ir, second thing on UP. In UP, earlier you had guided, you were more keen to expand

your stores to the Eastern UP, that is around 15 to 20 odd districts. Now you had already reached to 12 -odd districts. So, are you targeting the entire 75 districts of the UP? You also wanted to go beyond the Eastern side?

Yashovardhan Sinha: First of all, we will be looking at the Eastern side of UP, as we have already guided. And going ahead, when we have completed this area and we are present in this area, then of course we'll go beyond, let us say, Central UP like Lucknow, we can go up to Kanpur. So this will remain our strategy of creeping expansion cluster based.

Praveen Sahay: Right, sir. And related to the UP only, how is the stores are ramping up? So, if I just look at your 16 stores, you had -- definitely that's -- not even the year time has been added. The store for revenue is still on the lower side. How is the ramping up? Is that the similar way it's going how you had observed in the Bihar stores and the Jharkhand stores, the similar way it's going, ramping up?

Yashovardhan Sinha: Whatever we have been guiding that on the very first year, we reached a turnover of INR6 crores, which is double in the second year of operation. We still stick with that guidance. And these stores are doing well. And since 30% of our stores are less than one year old, so naturally we expect that going forward, they are going to give us our requisite top line as well as profitability.

Praveen Sahay: Great. Lastly, maybe it's a repetition. How much is the contribution of the financing right now, overall sales?

Yashovardhan Sinha: Contribution of financing will be something around 40%.

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Praveen Sahay: Okay. Great. Thank you for answering my questions. All the best.

Yashovardhan Sinha: Thank you.

Moderator: Thank you, sir. We take the next question from the line of Percy Panthaki from IIFL Securities. Please go ahead, sir.

Percy Panthaki: Hi, sir. Recently you did a fundraise of INR280-odd crores. So, what are your thoughts on the utilization of that? Because you mentioned that your number of store expansion 25 -30 per year is what you are targeting. That is something that you can easily sort of do with internal accruals itself. So now that we have got this funding, why not accelerate the store expansion?

Yashovardhan Sinha: I'm not saying that we are not going to accelerate our store expansion. What we are guiding is that 25 stores definitely we are going to open. And whatever opportunity we are going to get, we are going to take it. This long-term fund will help us in long-term working capital requirements of the company where we will be fortifying our present position also as well as going forward also.

Percy Panthaki: Right. But can you give any kind of guidance at least if not on a one-year, on a three-year basis, how many stores you can open? Because see each store I think including the work

ing

capital that needs to go as the starting inventory in the store, I think you would be able to I think do in approximately INR2 crores per store, right?

So INR280 crores of capital infusion means that almost about 150 stores can be funded through this plus whatever you might do through internal accruals. So, what should we look at if not on a one-year basis, on a three-year basis, what should we look at as your expansion plans?

Yashovardhan Sinha: I very comfortably put it that it will be from 75 stores to 100 stores which can go up to 100 stores. And let us say in three years' time, we will be more than 225 stores altogether. So, this is what I can foresee right now.

Percy Panthaki: Okay. Second question is that if I look at a store which is of similar size, similar vintage, in similar type of socio-economic micro market, but in different states, then is the store economics different or is it the same?

Yashovardhan Sinha: In fact, what do you mean? Which market you are looking at?

Percy Panthaki: So, I will give you an example. So, let's say if you look at a store which is in a 5-lakh population town in Bihar and which has a particular kind of clientele around it in terms of their income levels and propensity to buy, etcetera. And the store is three years old.

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And if a similar three-year-old store is there in, let's say, Eastern UP or Jharkhand in a 5-lakh town with similar kind of people in the vicinity and similar purchasing power, are you seeing a similar throughput for those stores or is it different?

Because in Bihar, you are much better recognized and people gravitate towards your brand name. But in the other states, maybe it is not so well recognized. So just wanted to

understand the difference in the sales throughput for comparable stores across different states.

Yashovardhan Sinha: In fact, this was very encouraging for us. Right now, what we say is that we have become the largest retailer in Jharkhand also from Bihar. And how much time it has taken? It has taken just two years from when we have started. In fact, I would say less than two years.

We started around March '22. So it is not that difficult for us to go to new markets like Jharkhand or UP, and still we are able to perform better. So this is what I can tell you.

Percy Panthaki: You are able to just within two years become a number one and other people, large players like Reliance or Croma, etcetera. They are not able to do that. So what is it that gives you the edge versus the others?

Yashovardhan Sinha: I feel that we are present in different geographies as well, apart from being in, let us say, capital of the state or very big, large cities of that state. This is what is differentiating between us and them.

Percy Panthaki: Okay. And do you see them also sort of copying your strategy? Because see, despite being in small towns, your margins are high, your return ratios are high, you are growing well. So maybe, how much time does it take for these guys also to realize that going into the small towns is actually quite a beneficial strategy for them?

Yashovardhan Sinha: I beg your pardon. What did you say in the last question?

Percy Panthaki: So what I was just asking is that after seeing your success in small towns, how much time do you think they will take to react and say, okay, small towns is also a very profitable and fast-growing area, so why should we focus only on the large towns? Let us also focus on the small towns.

Yashovardhan Sinha: But Percy, we have got the first-movers advantage. Please try to understand. This is what happened in Bihar also. We have been in Bihar, so all large-format stores, they have come in Bihar. But still, we are doing very well. We are growing at 18% SSG. So, our model of business is not impacted by their presence. This is what I can tell you. Yes, of course,

they

may like to copy us. They have been copying us for several years.

But still, what difference I always tell our investors is that we are not a corporate style of

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retailer. We are a very different type of retailer who mixes with the customers, with the society, with the people there. So this is very different and we make our customers will feel much, much relaxed in coming to our stores and going to visit any other store. So these are two factors through which we have come so far, and I do not think there is any change even now.

Percy Panthaki: Okay, sir. That is all from me. Thanks, and all the best.

Yashovardhan Sinha: Thank you.

Moderator: Thank you. The next question is from the line of Amit Jeswani from Stallion Asset. Please go ahead, sir.

Amit Jeswani: Hi, Sinha ji. Good evening. Congratulations on your fund raise. Sinha ji, now we have become net debt free. Our net debt was INR190 crores. With this INR280 crores fundraise, we have become net debt free. And this year, probably, we have done 9 months, we have done INR70 crores PAT. Probably, we will add another INR20 crores next quarter. So about INR90 crores PAT.

And these will be largely free cash flows for us. Because here, we have become debt free, so your interest savings, last year, we paid INR17 crores interest. That will get saved. Next year, there will be INR6.5 crores, like that ESOP cost will be lesser. So just trying to understand, when we think about FY'25, with interest savings, with ESOPs, with large opportunity in UP, how large do you think this UP market will be for us? We are at 20 odd stores now. And you delivered what you promised, north of 140 stores last con call. So, congratulations on that too. How big, Sinha ji, you think that UP will be? The population is 1.5 times that of Bihar. More than that. 1.8 times that of Bihar. You think, can we do a Bihar with 100 stores in UP?

Yashovardhan Sinha: Absolutely. Amit ji. In fact, with good growth capital with us, mostly in working capital, we are looking forward to repeating a Bihar in UP, definitely. And I think, going ahead, it's very exciting times are ahead of us. And what you said, definitely, we are in fact looking at UP as another Bihar state. And that population-wise also, culturally also, I would say, we are in the same league.

Amit Jeswani: Right. And, sir, this 25-store guidance that you have given for next year, would you say that that will also depend on how we perform in, let's say, Varanasi? Like, UP is already 5% of our revenues. And you entered UP 8, 9 months ago. Right. So, sir, how is it? How is the performance coming, Sinha ji, if you can tell us in UP? And what is, like, our decent stores are doing INR6 crores of revenues, like, out of 22 stores. What would you say that,

that is getting done?

Yashovardhan Sinha: Already, in our 16 store actually, many are very young. I mean, they are hardly 2 -3 months old. But whichever store we have already opened in the end of last financial year or beginning of this financial year, we are on course to even exceed that INR6 crores guidance in the very first year guidance. So, I think, it's going well in Varanasi, Amit. We are doing well. And going ahead, we feel that we will do quite well.

And as you can see, the possibilities have increased in UP. We are present in Ayodhya also. Since last, more than 6 months, 7 months, we are present there. So, now we are getting the traction of this new development in Ayodhya. So, the entire region, I think, it is going to grow because of recent development. It will be very good, I think.

Amit Jeswani: Mr. Sinha, the kind of monopoly that we have created in Bihar, that kind of monopoly, you think, is possible in, is the

competition very tough in UP or we are, like in Bihar, there is no number two. We can create that kind of atmosphere. Because as you have seen, no one can beat us in Bihar. Is it possible in UP? Because UP is that main growth driver, sir. And in that, our ROCE will increase very strongly. Because you have opened 40 stores with a lot of hard work this year.

Yashovardhan Sinha: So, Amit, we are present in Bihar, number one. And the market share is very good. Gradually, we are already, we have captured around 15%, 16% of the market share in Jharkhand which is less than 2 years, our age is there. And all stores are not opened on a single day. That means that many stores, if you take 50% of the stores, if you open 18 stores, then only 9 stores will be there that have been opened for a year. Or 10 stores that have been opened for a year.

But despite that, we are getting around 12% of our contribution. And we have already become the number one retailer. And we are going to be the number one retailer in Jharkhand also in time to come, also in the future. Because only modern trade people are now coming in bigger cities. So, whatever competition is there, it is there in the bigger cities where enough opportunities are also there.

And we have become a very well-known brand at the same time. So, when you come to UP, there is no such big established player there in Uttar Pradesh. So, exactly what you are saying, that monopoly. Our monopoly in UP, what I expect is that in another couple of years, we will definitely be monopolizing UP also. Because again, modern trade people will come. Usually, they are present in much bigger cities. Again, demand is very good. Demand is going up at a very rapid pace. So that doesn't disturb us.

Amit Jeswani: Sir, I was looking at one more data point that in UP, the penetration of consumer finance is lesser than Bihar.

Yashovardhan Sinha: Yes.

Amit Jeswani: Sir, that data is right, right?

Yashovardhan Sinha: Absolutely right. This is what I am trying to say. In fact, when you talk of Aditya Vision so Aditya Vision is known for creating the market also. It is not about we just go somewhere, where it has already got the existing market. We go there and we create the market. This is what is all about Aditya Vision. So, even the retail financiers are there, Amit. They are also very excited because there is less retail financing than Bihar in UP. So, it offers a tremendous scope in UP for ramping up sales.

Amit Jeswani: Got it. And sir, I saw a photo of yours on Twitter with the CEO of HDFC. Was it on lines with this that you need lenders with UP? Who is your partner, IDFC and all these four lenders that you have? All four lenders are coming with you in UP also?

Yashovardhan Sinha: Yes, all four lenders are coming. And HDFC is also becoming very aggressive. So, they also want to participate with us. And when the CEO was there, when he was in Patna, he wanted to meet me. We had a very fruitful meeting.

Amit Jeswani: Got it. Done, sir. Thank you. Thank you, Sinha. Best wishes. Keep rocking.

Yashovardhan Sinha: Thank you, Amit. I have done what you had asked me in the last earnings call, you remember?

Amit Jeswani: Yes, sir. We have to go to a new height. The game is just getting started. Thank you. Congratulations.

Yashovardhan Sinha: Thank you very much.

Moderator: Thank you, sir. The next question is from the line of Gaurav from Axis Capital. Please go

ahead.

Gaurav: Thank you for the opportunity, sir. Congratulations on the great performance.

Yashovardhan Sinha: Thank you, Gaurav. Please go ahead.

Gaurav: Sir, my question is with regards to the general slowdown that we are seeing about consumers. Especially a couple of companies have alluded to the fact that there is some slowdown in the belt of UP and Bihar. However, your numbers don't seem to suggest this

same. So, what exactly are you seeing different in the consumer behaviour for these products versus the other staple kind of products that is happening?

Yashovardhan Sinha: What I always -- in fact predict is that this is the sector, which is going to flourish more, Aditya Vision Limited

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whatever be the general economy situation. So, what I foresee is that this will continue to grow. What you said that there is a perception that it will slow down. Then I'll say that maybe because of that only we have grown by 30%. Let that, it become more normal and then we may grow by 35 %-40% as well. So, I'll put it optimistically, I'll put it like this.

Gaurav: Okay. In terms of your store opening process, what are the key metrics that you generally look while opening a store in any catchment or in any area? Do you see the per capita income of that particular geography? Do you see the total population etc etc? What are the key metrics that you generally look for while opening a store?

Yashovardhan Sinha: I've been always telling about this that we foremost see the population. That is our first, in fact, this is the metric. So, population in this side of geography of India is very high. So, it is very less penetrated as well. As a guest -- participant asked me previously that even retail finance is hardly present in entire eastern Uttar Pradesh. So, what we see that we are going to perform very well and I think that is it. What exactly you want to know?

Gaurav: Yes, sure. I mean, sir, is it because population again, you said, while population will be a key metric.

Yashovardhan Sinha: I told you population will be our first metric. And secondly, we see that how under penetrated that market is, how small like similar store, what is their sizes, how much they are catering to the people. These are the factors through which we select a place to open.

Gaurav: Sure. And sir, is there any metric like, for example, if a particular store does a particular level of sales, post which then you decide maybe to open a store in that particular area, maybe say a two or three kilometre far distance. Given that -- so my question in other ways, what is the optimum sale capacity that you think for a store after which you plan to open another store in the same vicinity or geography?

Yashovardhan Sinha: We actually -- sales vary from quarter -to-quarter. So, then the best quarter as always been our Q1. So, if we find that every day, let us say every day sale is surpassing INR20 lakhs or INR25 lakhs, then we understand that there is a need to open another store in that area. So, it depends on all what exactly billing is happening at that place and how comfortable our customer may be there or uncomfortable, I would say.

So, this propels us to go for another store. Like in Bihar, this has been happening very rapidly. In fact, Jharkhand also, now it is happening rapidly. Like in places like in Ranchi, Jamshedpur, Dhanbad, we are ramping up with more stores because there is very good sales. In Bihar, we have already done that and we are in the process of doing that.

Wherever we are getting very good sales, and sales which we think that it will -- it will become uncomfortable for our customers to come to our stores, then they go in for another Aditya Vision Limited

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store. So, this is the way we do.

Gaurav: So, sir, is there any average number that you generally see in peak seasons? If you see that in peak seasons, if you cross X number of sales, probably that is the time maybe that you decide to open?

Yashovardhan Sinha: That is INR18 to INR24 crores of sales. I'll put it, if you want to know exactly where and when we think about it, then it is INR18 to INR24 crores.

Gaurav: Okay, got it sir. Thank you, sir. That's all for me.

Moderator: Thank you, sir. The next question is from the line of O

nkara from Sri Investments. Please go ahead.

Onkar: Hi. I just wanted to know where you think you will achieve a certain level of operating leverage in your business?

Yashovardhan Sinha: I could not get your question. Can you repeat it again?

Onkar: I was asking at what point of time do you think you will be able to achieve operating leverage with your business?

Yashovardhan Sinha: In how much time?

Onkar: Yes.

Yashovardhan Sinha: We typically say that after three years we have a matured store. After full three years of operations, we consider the store to have matured and then normal SSG in segment .

Onkar: Okay, another thing is that you have mentioned that this capital you will be using for long term growth. But if you don't have this kind of capital and even if you want it to grow, so just wanted to know, basically my question is like when you first raised around INR6 crores at the time of IPO, now that you have raised around INR300 crores, so this kind of big amount, what is your long-term plan with this kind of amount apart from working capital? You will be using for debt reduction as well or like how the split is?

Yashovardhan Sinha: The purpose is not exactly for debt reduction. Purpose is for having long term capital for long term growth. So we are looking with a perspective of around five years ahead from now, 10 years ahead from now. So we are not people that we go to capital market again and again. So this has been our endeavour that once we have that capital, we will go all out on growth path.

So this is it. We are looking forward towards let us say next five years, where we think that

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we will be present in entire Uttar Pradesh, entire Jharkhand, entire Chhattisgarh, and may be entire Madhya Pradesh.

Onkar: Okay, so basically this is only for expansion of the new stores and expansion into the new geographies. There won't be any use for capital debt reduction.

Yashovardhan Sinha: No, no, there is there. Long term debt will be discharged. This is not very high. It has been given in our notice, EGM notice.

Onkar: Yes, but every season...

Yashovardhan Sinha: Very small part, a very small part will be used for debt reduction, long term debt reduction.

Onkar: Yes, but like every season the debt goes up. So, you will be using some part of that for that purpose as well or it is not the case?

Yashovardhan Sinha: Yes, yes, of course, that is the purpose that going forward we should have enough capital, our own enough capital, strengthening our balance sheet, delivering it, and going forward all out for expansion and getting business.

Onkar: Okay, another question is that what kind of ROCE and ROE targets you have in your mind for say next three to five years? And another question is on the succession front, what is your strategy on that, those two questions? Thanks.

Yashovardhan Sinha: Well, right now I'll give you the answer of second question. Succession is right now we are not thinking about succession plan. I am still there at the helm of the affairs. And first question was?

Onkar: What kind of ROE and ROC targets you want to achieve in next three to five years given the growth potential you have?

Yashovardhan Sinha: We cannot exactly guide you right now, but it is going to come down slightly. And going forward if you take a look, have an outlook of three to five years, then going forward ROE will be very, very healthy and ROC E will be also healthy as well.

Onkar: What you said your ROE and ROC E will be?

Yashovardhan Sinha: It will be quite healthy going forward if you take a long-term view of three years onward.

Onkar: Okay, all right. Thank you very much. Best of luck.

Yashovardhan Sinha: Thank you.

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Moderator: Thank you, sir. The next question is from the line of Ankush Agrawal from Surge Capital.
Please go ahead, sir.

Ankush Agrawal: Hi, sir. Thank you for taking my question. Firstly, last quarter in Q2 our growth was slightly soft because there was a shift of festival sales from Q2 to Q3 this year. But looking at our performance for the Q3, I don't think we have received a lot of benefit in terms of growth because of that shift. So, can you highlight some points like what is happening over here?

Yashovardhan Sinha: I think any growth above 30%, we have been guiding 20 %-25% growth only. And may be last quarter it was around I think 20% growth had come even in the subdued quarter. So, this quarter 30% growth, I think that it is consummated with whatever brands have grown. Manufacturers are growing by 10 %-12%, whereas we have grown by 30%, over 30%. So,

I think it is quite okay.

Ankush Agrawal: One of the reasons for asking this question was I mean the store addition is quite strong for us. So, I think year-over-year the store growth is around 40%, right?

Yashovardhan Sinha: But having said that I have been telling you that these stores are very young in age. Maybe 30 stores, one-third of our stores are less than eight months old, it's like that. So, these stores, they are not contributing from day one. And that too, mostly they have been opened in Q2 and I think Q4 of last year. So, going ahead, these stores are going to perform well. They have already started performing very well and going forward, they will give a good contribution.

Ankush Agrawal: Secondly, sir, a clarification on the fund raise and use of it. You mentioned that firstly, you will use it to retire the long-term debt and then it will be used for working capital. But the amount of money that you have raised, I mean, I don't think we will need that money for at least next six months to one year.

We can't use that kind of capital in our working capital for next one-two years. So, initially, would we be paying down our working capital also or we would be keeping our working capital intact and keeping the money in treasury and trying to earn other income? What's the thought process about that?

Yashovardhan Sinha: This is very simple. When we are talking about working capital, then working capital comes as a cash credit account for us. So, whatever long-term working capital we will be raising rather, that will be used. Of course, it will reduce the debt also for the time being. But going ahead, for further growth, these funds are going to be used for enhancing and driving rapid growth.

Ankush Agarwal: Got it. This was very helpful. Thank you.

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Yashovardhan Sinha: Thank you.

Moderator: Thank you, sir. We take the next question from the line of Devang Patel from Sameeksha Capital. Please go ahead.

Devang Patel: Hi, sir. A question on the fundraise. Will you be also open to any acquisition opportunities or that is categorically ruled out?

Yashovardhan Sinha: It is categorically ruled out. We are not looking towards any acquisition at the moment.

Devang Patel: Good, sir. Secondly, on the inventory side, for Q3, we are on the lighter side. Right now, it's 60-65 days of inventory versus usually in Q3, we see it higher at 80-85 days.

Is this some one-off or should we expect average inventory to be lower structurally than in the past?

Yashovardhan Sinha: I don't think so. It is going to over this range only, whatever we are achieving in Q3.

Devang Patel: Fine Sir. That's all from my side. Thank you.

Yashovardhan Sinha: Thank you.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Sir, hi. Thanks for the follow-up opportunity. Sir, I just want to check as in what all investments have, we done from an organization point of view, which prepares us for an accelerated store opening.

I

If you could highlight in terms of team investments, tech investments, that will be really helpful.

Yashovardhan Sinha: Everything is going on in tandem, Devanshu. Of course, when you ramp up your store opening count or your business, then everything is required and we are investing in every aspect suitably.

Devanshu Bansal: Got it, sir. But if you could just articulate in terms of team investments, any software investments that we have done in terms of sourcing, any specific details if you can call out?

Yashovardhan Sinha: I will tell you, Devanshu, this is a continuous process. Continuously we are investing in human resources. Continuously we are looking towards more technological non-intervention of manual intervention.

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So these are the things we have been doing. It is in a continuous basis. As per our requirement, we will continue to do so.

Devanshu Bansal: Lastly, you mentioned proceeds will be used for existing stores as well. So I wanted to check, will this be increased for existing categories like AC /REF or there is scope for adding new categories in our existing stores as well?

Yashovardhan Sinha: We are quite open to adding new categories also, provided it justifies our format. So we are quite open to anything. Whatever profitable sector will be there, we will be open to go for that.

Devanshu Bansal: Any categories that you have sort of shortlisted or filtered out which can be added, say, in our mature stores in Patna?

Yashovardhan Sinha : We have been working on kitchen.

Devanshu Bansal: Sorry, sir, I missed you. I couldn't hear you.

Yashovardhan Sinha: We have already added kitchen appliances like chimneys, hobs, and other things. We are planning to have separate showroom for these kitchen appliances as well. So these are all in the process of pipeline.

Definitely, we are going to take it up as it comes and where we find it profitable.

Devanshu Bansal: Got it, sir. Thank you so much.

Yashovardhan Sinha: Thank you.

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investments.

Please go ahead, sir.

Vivek Gautam: Sir, congratulations on yet another consistent performance. I would like to highlight your confidence in the company, sir. When at the peak of the COVID time, you went in for a buyback at INR20 after coming out with an IPO four years back. So that shows the confidence in your company and now it's being exemplified by your constant progress. A few queries I have.

So, is the selling of the promoter's stake has been stopped finally or it will keep on coming up? And second thing was about any of the auditor in Patna still managing our show or are we planning to go for a big four auditor, sir? And lastly, one query which many might not have asked but they are having is that some big names in competition in Great Eastern and other places also are finding it difficult to pay even the salaries, sir.

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And how come our company is doing so well in the same region of Eastern India? Thank you.

Yashovardhan Sinha: On your first point, I have already been communicating that promoter's selling is not on a retail basis. It is very strategic and good for stakeholders only. So, we cannot totally rule out that it will not happen.

But whenever it will happen, it will happen only strategically and for the betterment of the company only. Second, we are very much on the course of appointing one of the top six auditors. Maybe next year we will be doing.

Third, what you said that competitors are not able to give salaries and all that.

Vivek Gautam: The name from Great Eastern should not have been named.

Yashovardhan Sinha: That was quite surprising for me. So in fact, I asked you. I don't think maybe that the policies of company, this is what I can say.

Your company has been profita

ble since inception. What you said that your company takes calculated decisions also, strategic decisions also. At times, as you said that before the pandemic, we did a buyback also when there was no liquidity in our shares. So periodically, these things depend on the policies of the company. And whatever you are seeing in Aditya Vision, we are doing fine.

When you said some issue about salaries, we are very much surprised. That is the first thing we do in the first of the month.

Vivek Gautam: Generally, I wanted to share because basically same sector. Some companies are doing well, some companies are not doing that well. But anyway, sir, it is a fabulous work you have done since coming out with an IPO in 2016.

And great wealth has been created by you. Keep up the good work, sir. Thanks a lot.

Yashovardhan Sinha: Thank you very much for appreciating us.

Moderator: Thank you, sir. The next question is from the line of Mayur Bapoadara , an individual investor. Please go ahead, sir.

Mayur Bapoadara: Hello, sir. Congratulations for the good set of numbers.

Yashovardhan Sinha : Thank you.

Mayur Bapoadara: My question was regarding employee benefit expenses for 9 -month basis from INR29

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crores to INR42 crores incremental. So how much is the proportion of ESOPS in debt?

Yashovardhan Sinha: So far, we have provided INR6 crores for ESOPS .

Mayur Bapodara : 6 crores for 9 months, right?

Yashovardhan Sinha: Yes.

Mayur Bapodara : Okay, sir. And another question is when we are planning to list ourselves on NSE also?

Yashovardhan Sinha: Maybe in this calendar year.

Mayur Bapodara : By 2025 , FY25 right?

Yashovardhan Sinha: By FY25 .

Mayur Bapodara : Okay, sir. Thank you. All other questions are answered. Thank you.

Yashovardhan Sinha: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Yashovardhan Sinha: We trust that we have addressed all your inquiries to your satisfaction. If you have any remaining unanswered questions, please do not hesitate to contact our investor relations agency, Go India Advisor. They will be more than happy to assist you further.

Thank you so much. Take care. All the best to all of you.

Moderator: Thank you, sir. On behalf of IIFL Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

April 28, 2023

Date - May 31, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400 001

SCRIP Code: 540205

Sub: Transcript of Analysts/Investors Call pertaining to the Audited Financial Results for the quarter and year ended March 31, 2024

Dear Sir

Further to our letter dated May 21, 2024, please find attached herewith a copy of the transcript of the Analysts/Investors Call on the Audited Financial Results of the Company " Aditya Vision Limited " for the quarter and year ended March 31, 2024 held on Friday , May 24, 2024.

The same is also being made available on the Company's website at: www.adityavision.in .

This is for your information and record.

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

AKANKSHA
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AKANKSHA ARYA Date: 2024.05.31 15:03:34 +05'30'

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"Aditya Vision Limited Q4 FY-24 Earnings Conference
Call"

May 24, 2024

MANAGEMENT : MR. YASHOVARDHAN SINHA –CHAIRMAN AND
MANAGING DIRECTOR , ADITYA VISION LIMITED .
MRS. YOSHAM VARDHAN – WHOLE TIME DIRECTOR ,
ADITYA VISION LIMITED .
MODERATOR : MR. PERCY PANTHAKI – IIFL SECURITIES .

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Moderator: Ladies and gentlemen, good day and welcome to Aditya Vision Limited Q 4 FY24 Earnings Conference Call hosted by IIFL Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Securities. Thank you and over to you, sir.

Percy Panthaki: Hi everyone , it's our pleasure to host Mr. Yashovardhan Sinha – Chairman and Managing Director and Mrs. Yosham Vardhan – Whole -time Director of Aditya Vision Limited . They will take you through the Results for the Quarter and the full year and then we will open for Q&A. So, over to you sir.

Yashovardhan Sinha: Thank you. Percy. Good evening ladies and gentlemen. Welcome to our Earnings Conference Call for the Q4 and FY24.

Today, we will be discussing our Company 's Financial Performance and Strategic Decision . Our investor presentation is available on the exchange and we hope you have had a chance to review it.

Before we delve deeper into FY 24 financial performance, I would like to briefly touch upon the strategic update of this quarter, as well as major highlights of FY24 and our vision going forward. FY24 has been a milestone year for Aditya Vision . This year, we completed 25 years of our existence. We began our journey in year 1999 with just one store in Patna , Bihar. We haven't looked back since. Today we have hit a century of stores in Bihar, with presence in all districts providing exceptional consumer experience. We have now solidified our presence in Jharkhand in two years and have started making a mark in Uttar Pradesh within one year of operation. We were the first consumer electronics retailer in India to be listed on the stock exchange in the year 2016. We raised just 5.8 crores in IPO . Our expansion to almost 145 stores were through funds raised during IPO and our sustained internal accruals . We knew our dreams were ambitious. , but we were confident in our abilities and vision of catering to the consumer needs in under penetrated Hindi heartland of India .

25 years of Aditya Vision is a testament of not just our upward growth trajectory but also substantial wealth creation for all our stakeholders. To commemorate the Company's 25th year of existence , as a token of gratitude, the management declared a special dividend as an interim dividend of 51% or Rs. 5.10 on face value of Rs.10 each as per equity share for FY 23-24. I am happy to announce that today our Board of Directors have recommended a final dividend of Rs.9 per equity share for FY 24.

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We are pleased to report that our performance has remained consistent in FY24, demonstrating robust results across various financial indicators.

FY24 has been another standout year for us , our revenue in FY24 surged by 32% reaching Rs.1743 crores from Rs.1322 crores in FY23. Our PAT increased by 20% to INR 77.07 crores in FY 24 compared to INR 64.14 crores in FY 23. We have almost doubled our revenue in the past two financial years. This exceptional performance highlights our deep understanding of the region we operate in and unwavering focus on driving sustainable and profitable growth.

Our revenue grew from Rs.306.27 crore in Q4 FY23 to Rs.375.67 crores in Q4 24 a growth of 23%. Our PAT in Q4 FY 24 grew by 16% year-on-year basis to Rs.7.85 crore compared to Rs.6.78 crores in Q 4 FY23. Q4 FY24 experienced good growth despite challenges owing to

extended winters this year .

For the entire FY 24, a total provision of INR 8 crore was made for ESOP granted to our employees

employees which had an impact on P&L. We strongly believe extending ESOPs to our long-term employees will provide a substantial value creation in both short-term and long term for the Company .

During FY24 , the Company for this expansion has entered in to many new and long-term leases, which along with existing leases has resulted in a net charge of INR 8 crores in the PL due to application of IndAS 116 lease accounting principles. These impact will eventually reverse in the future period and does not have any impact on our cash flows . As you are all aware , our business has an element of seasonality with Q1 being traditionally very strong due to growth in demand of ACs, refrigerator , room coolers and other refrigeration products. As such as part of our business strategy, we adopt an aggressive inventory acquisition approach to avoid stock out situations. We start stocking inventory especially compressor products from the beginning of Q4 itself to be well prepared for a sudden summer season demand for our next year Q1.

Also, at the financial year end we get very good deals from OEMs which we are confident to easily liquidate is just the beginning of Q1. Consequently, our inventory remains at the highest level at March end and stood at Rs.433 crore . However, the average inventory for this financial year through the fourth quarter end stood at Rs.316 crores only. In Q4 FY 24, Bihar contributed the most our revenue with 83% followed by Jharkhand and UP contributing 11 % and 6% respectively. In entire FY 24 Bihar contributed 86% followed by Jharkhand contributing 10% and UP contributing 4%.

Our SS SG for Q4 FY24 stood at 6% and for entire FY 24 stood at 15%. Our strategic expansion efforts resulted in the opening of more than 1.5x new stores this year as compared to the previous year. We opened 40 new stores this financial year compared to 26 stores opened in last financial year. Our store count as of 31st March 24 stood at 145 stores with about 30% of our stores being less than a year old. We added 13 new stores in Q4 FY24 alone. As on date our store count is 148, where we are present with 105 stores in all districts of Bihar, 24 stores in Jharkhand and in Aditya Vision Limited

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20 out of 24 districts and 19 stores in UP in 14 out of 75 districts. Now we are present in all together 72 districts in the Hindi heartland .

As you all are aware, we recently raised growth capital to the tune of Rs.282 crores from Capital Group, one of the world's largest FII. This is our first fund raise after our IPO in 2016 . This fund raise has primarily been utilized toward repayment of debt, working capital requirements and other general corporate purposes of the Company . Consequently, we have become a net debt-free Company .

Lastly, with look to the future we are excited about the opportunities that lie ahead in the thriving Indian retail industry. The world is now looking at India for its growth and we are excited about the potential opportunities lying ahead. With our focus on providing superior consumer experience , increased customer satisfaction and geographical imprint , Aditya Vision is well - positioned to consolidate its position as the go to destination for consumer electronics in the underpenetrated Hindi heartland of India.

With each step forward, we remain committed to setting new industry benchmarks and delivering superior value to our stakeholders.

I will now hand over the floor to Mrs. Yosham Vardhan to provide an Overview of the Financial Highlights for the Quarter .

Yosham Vardhan: Thank you sir. Good afternoon , ladies and gentlemen. We are pleased to present the robust financial performance of Q4 FY24 and FY24.

Here is a summary of our financial achievements :

In FY 24 revenue surged by 32% to Rs.1743.29 crore in FY24. Gross margin stood at 15.9% and EBITDA reached Rs. 167.49 crores . PAT executed a growth of 20 %

to Rs. 77.07 crores in FY 24.

SSSG for FY 24 stood at 15%.

In Q4 FY24 revenue marked a Y-o-Y increase of 23% reaching Rs.375.67 crores. Gross margins were efficiently maintained as 17.4%. EBITDA for the quarter stood at Rs. 37.63 crores , EBITDA margin stood at 10%. PAT for the quarter stood at Rs.7.85 crores up 16% Y-o-Y.SSSG for quarter four FY 24 stood at 6%. ESOP provision for the quarter stood at Rs.2 crores . However, it is important to note that this is a notional expense impacting the profit and loss statement without any impact on cash flows.

We can now open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Devanshu Bansal from Emkay Global Financial Services Limited. Please go

ahead.
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Devanshu Bansal: Thanks for the opportunity and congratulations on a healthy network expansion and good SSSG performance for full year FY24 . Sir, I just wanted to check your thoughts on the demand trends for the ongoing quarter , Q1 is typically the biggest quarter for us and there is significant heat waves that have been there across regions this time around. So , if you could just throw some light on the current demand trends in the areas we operate, will be very helpful .

Yashovardhan Sinha: Demand has been very good in the initial month of April. May has also initially done well. But lately there has been rains and all that in various parts of this region. But we expect that we will be doing well.

Devanshu Bansal: Got it sir . And in UP we are currently at 19 stores. So, just if you could share some thoughts because this has been the first season for this geography , are we on track , are we doing better if you could throw some light on our network in UP as well ?

Yashovardhan Sinha: Already , in fact UP is contributing around 6% of sale in last two quarter as I have already spoken. So, we are just hardly one year old there, it's just a little over one year. So , we are doing very well and we will continue to do very well in UP by expansion.

Devanshu Bansal: Right. Sir on gross margins I wanted to ask if the performance has been very good for full year FY24 despite our mix sort of moving from the home entertainment category towards digital and other s mix. So, what are the key drivers for this sustained gross margins if you could throw some light on that ?

Yashovardhan Sinha: Actually most of our revenue comes from the large appliances . So, this is very important and others also contribute , they also carry very good margin when we call top of other products like home appliances, kitchen appliances, small appliances. So, our contribution of mobiles and IT is just over 20% A little over 20% , so that is around 21%. So, this is the key driver because as, we are concentrat e more on our large appliances market and other products which carry more margin.

Devanshu Bansal: Got i t sir. And last question from my end . This 150 odd crore of working capital during the year , is this in anticipation of a strong summer or we have also introduced some new categories at our stores . So, if you can help us understand that ?

Yashovardhan Sinha: You mean to ask me that high level of inventory at March end?

Devanshu Bansal: Yes, ma'am, I want to ask .

Yashovardhan Sinha: I just elaborated in my earning call, but anyway, typically March end, in fact just summer starts by March end . So, we are always looking towards the stock out situation later in the period, let's say April end o r March end. So, typically, we have to have stock in air condition er and other compressor products as well as air coolers which are very bulky in nature. So, we have to store them. And in fact, this has been the trend right throughout our financial . And I also told you that average inventory , if we will look at the average inventory of our C

ompany , then it is just 300
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odd crore . So, year-end we will have to carry because of good deals in immediate very good season, jumps in. So, these are the factors.

Devanshu Bansal: Got it sir. I just wanted to ask if there has been introduction of new categories also at our store ?

Yashovardhan Sinha: No, new categories has been added. Nothing new.

Devanshu Bansal: Got it sir, very helpful. T hanks for taking m y question sir.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset Private Limited . Please go ahead.

Arpit Shah: I had a couple of questions. I will list down all my questions first. Now wanted to understand when will our N SE listing will happen because we have crossed a certain net worth requirement. So, when can the N SE listing can happen ? What are our plans to hire a big four auditor for our audit for FY 25-26? What the ESOP cost will look like for FY 25 given that you have already spent around 8 crores in FY 24? And how the summer of Q1 looking like since some of the brands have already reported 60 % 70% kind of growth rate for the month of April and May. A nd given the kind of store opening that you have already done like about 40 odd stores open ed in last year. So, are we ready to see a big , big jump in Q1 FY25, like can we see that magical four digit number for Q1 FY25 as we are aspiring to do and one, this bookkeeping question Q4 FY24 we saw a very big jump in finance cost. Can you please allude what has happened over there ?

Yashovardhan Sinha: What was your last question? finance cost ?

Arpit Shah: Finance cost in Q 4 FY24?

Yashovardhan Sinha: Okay. Coming to first question about NSE listing, in this quarter or maximum by next quarter we will be definitely getting listed in NSE. BDO from Big Six , they are already doing our IndAS

116 computation . And we are finding out ways how to onboard them as I told you earlier also it is under consideration of the management . ESOP this year , cost of ESOP will be 1.5 crores on our PL and finance charges were higher due to the fact that we were utilizing full credit limit as I told you, we want to keep a high level of inventory comprising of the compressors products and air coolers , so this was the reason .

Arpit Shah: What you think about the summer of Q1?

Yashovardhan Sinha: I beg your pardon?

Arpit Shah: What do you think about the summer of Q1 FY25, how is the quantity ?

Yashovardhan Sinha: April has been extremely well; the beginning of May was also good. But lately in last leg of May in fact it has started raining in many parts of Bihar , Jharkhand. But overall we think that we will be doing quite well in Q1.

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Arpit Shah: You think that you can touch the magical four digit number in Q1 FY25?

Yashovardhan Sinha: We always try for the same thing but , we cannot comment that at this moment.

Arpit Shah: Got it, got it. Best of luck , thank you so much.

Moderator: The next question is from the line of Pritesh Chheda from L ucky Investment . Please go ahead.

Pritesh Chheda: Thank you for the opportunity, sir. Sir, the UP stores which have been open ed in the last one year at what system level sales have they opened at annualized , if you have to give some annualized color and what are they opening at, what is the?

Yashovardhan Sinha: Sir can you speak louder please?

Pritesh Chheda: I said sir the UP stores at what system level sales are they opening at . And what is the performance so far in these UP stores that you open ed?

Yashovardhan Sinha: UP is doing well, we said that we had very good entry in UP and we are doing well there.

Pritesh Chheda: So, are they opening at higher than your usual stores that they open, or they are opening at equal in the year one?

Yashovardhan Sinha: They are doing basically similar performance is there.

Pritesh Chheda: Okay. And my other question is sir, since the last two years we have been on aggressive store expansion. So, the cash flow has obviously been utilized for creating inventory for your new stores. When will you reach a situation where your cash flows will be higher than the store expansions that you do ?

Yashovardhan Sinha: I think b y next year we will be having this situation definitely , if not in half year , in H1 '25, we will definitely be at that level in this financial year, current financial year .

Pritesh Chheda: So, what is your now the store expansion plans for '25 and '26?

Yashovardhan Sinha: 25 and 26, actually we are now gradually moving towards Central UP, where there is a very big opportunity lying ahead. Apart from that, we are now getting our second stores opened in various towns in Jharkhand also where we are doing very well. So, we are taking that opp ortunity also.

Similarly , in financial year 2 5-26 we will be going to Chhattisgarh and Madhya Pradesh also.

Pritesh Chheda: So, then you continue to add what number of stores per annum?

Yashovardhan Sinha: We are looking to add around 25 to 30 stores per year.

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Pritesh Chheda: So, if you add 30 stores per year, which is 3 crore for your inventory at the year end and plus 1 crore for the store. So, you will end up using about 120 crores of cash flow in creating these 30 stores ?

Yashovardhan Sinha: Yes, that means that will be the investment , yes.

Pritesh Chheda: So, till the time you do 30 then there is an cash flow surplus because see last year you did 40 stores, so, your whole entire cash flow went into creation of the se stores ?

Yashovardhan Sinha: But in my opinion cash flows are there that is internal accrual which we must use for the expansion itself .

Pritesh Chheda: Okay. So, your plan is now to enter Central UP, interiors of Jharkhand, Chhattisgarh do you have a presence or you don't have a presence today?

Yashovardhan Sinha: No, we don't have any presence in Chhattisgarh .

Pritesh Chheda: Okay, so Chhattisgarh and MP becomes a newer states of entry ?

Yashovardhan Sinha: Yes, these will be maybe in 25 -26 we are going to take up .

Pritesh Chheda: So, which means we will actually see continued cash flow utilization for store expansions for the next three, four, five years ?

Yashovardhan Sinha: I think so, because if we have free cash flow then why shouldn't we reinvest in the business this is what we have done over the past so many years. And that is the reason we are where we are right now. So, there is no point keeping cash that way , the cash flows should be utilized for growth and expansion.

Pritesh Chheda: Ok, Ok sir. Thank you very much sir and all the best sir.

Moderator: Thank you. The next question is from the line of Mr. Percy Panthaki from IIFL Securities Limited. Please go ahead.

Percy Panthaki: Hi sir, Just continuing the earlier question. So, since you mentioned that whatever store expansion targets that you have, you will be able to fund it through internal accruals, what will be the use of the 280 crore primary infusion from Capital Group, will that just keep lying on the balance sheet?

Yashovardhan Sinha: No, that will not be lying in the balance sheet actually, it is also our working capital right now also, it is mostly the money is for the working capital. So, apart from that, it will make our Company very robust financially. And going ahead, our expansion can be faster.

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Percy Panthaki: Right. So, as of 31st March, what is the net debt or the net cash that you are sitting at including when I am saying net, take all types of borrowing, whether it is for working capital or for long term, whatever it is everyt

hing?

Yashovardhan Sinha: It is just almost around 8, 9 crores net debt. And if you strictly compare only debt to cash lying in the books.

Percy Panthaki: Correct, understood. Secondly, just if you can give some realistic guidance on your gross margin, because you have done around 16% gross margin, but your PPT gives a guidance of 13 to 15 going ahead. So, if I take a midpoint of that, that's 14, so the 200 basis points difference, it will also transfer to the EBITDA line. So, how should investors and analysts realistically sort of forecast your financial, should we actually be taking a 200 bps decline in the EBITDA margin in FY 25 and 26, or you are just sort of erring on the side of caution and you think it is very much more likely that the EBITDA margins that you are doing currently will sort of continue in the foreseeable future?

Yashovardhan Sinha: What exactly happens that, when you are entering into new territories, and when you are expanding in newer states, you just really don't know what you are going to face. And secondly, share of IT products and mobility is bound to increase in time to come. So, we take these things into account to make our projections for the investors, that going ahead, we will have this type of, we can have this type of margin. But actually, when you are entering a new territory, how would you know what type of players are there, how they are going to behave, how your competition is going to do there. So, we definitely, we are slightly protecting the margin. Percy, the main thing you will have to understand that when you let us say when we're in Bihar, so we were knowing that Bihar market, Bihar competitor, how they sell, how we sell and everything is clear about Bihar. Then you enter into Jharkhand, you face new dealers, new competition, then again it behaves differently there it may, but right now, till now we have been managing our gross margins very well.

Percy Panthaki: Sir, right now you are in three states sir, UP, Bihar and Jharkhand as of now, so the gross margin.

Yashovardhan Sinha: One second Percy, I will tell you. UP has just contributed 6% of overall sales. So, it will be too early for us to say anything that we have done, we will be getting that margin in UP also.

Percy Panthaki: No, my question is slightly different. It is not even at EBITDA level, I am saying for these three states as it stands right now, would you say that the gross margin is roughly the same across these three states or is it different?

Yashovardhan Sinha: I will not divulge exactly what margin we are having state wise. But, I can only tell you this that it does differ.

Percy Panthaki: Okay, it differs. Okay understood. And you mentioned that the mobile percentage might go up and that might affect the margin which is very true, but then the benefits should also come in terms of accelerated top line, would that be right to understand because mobile is a high value

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item, it takes up very little space in your store. And if that percentage is increasing, then it should have a tailwind on your sales per store?

Yashovardhan Sinha: Actually, Percy if we want to increase our sales, it is very easy for us to increase our sales while selling mobile because, as you know mobile business you don't have any dearth of sales. But as you said, if we compromise on our margin, then the sale from mobile can grow rapidly and in fact, can drive our top line as well. But then as I told you that we are very conscious about our margins, and our financial so we do not focus on unremunerative sales.

Percy Panthaki: Sure, my question was only in light of the fact that you mentioned that the mobile percentage would go up. And that might have a slight dampening effect on EBITDA. And therefore I just asked that whether it would be offset by sort of tailwind on the sales per store.

Yashov

ardhan Sinha: But margin won't get affected Percy , if your top line grows, but if you are taking lower margins, then overall margin is going to de-grow. Top line may grow but margins will come down.

Percy Panthaki: Ok, Ok sir, thank you understood sir , that all from my side.

Moderator: Thank you . The next question is from the line of Himanshu Nayyar from Systematix Institutional Equity . Please go ahead .

Himanshu Nayyar: Hi good afternoon and congratulations on good performance. So, my first question would be on the same store sales growth , wanted your comments on the premium ization trends that you are witnessing currently, do you think going forward your SSSG will be driven more by a higher ASP, as people might buy more premium products or buy a higher number of units sold, if you can comment on the composition of your SSSG and the guidance from that?

Yashovardhan Sinha: Our SSSG last year was 15% and the quarter was 6%. And traditionally, you will see our financials , you will find that traditionally Q4 is always having lower SSSG, and 15%, I think is a quite healthy SSSG for our stores .

Himanshu Nayyar: So, sir that's what, is that 15% driven more by higher ASP of the product, or by more number of volumes ?

Yashovardhan Sinha: Coming to ASP , actually our ASP is also going up by 5% year-over-year. So, which is , currently , right now it is 22,1 50 to be exact. So, the ASP is growing almost 5% year-over-year. So, ASP is also a factor , yes.

Himanshu Nayyar: Got it. Sir secondly, on this recent reports of so many areas facing power cuts and power deficit, not sure about how the situation is in your market s. But if that becomes an issue, do you think that can impact incremental demand in any manner , for the next couple of years or so or not really?

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Yashovardhan Sinha: I may not be able to comment on this because right now we are not facing anything as such . But what happens in future that can be anybody's guess. But right now, it's not a problem , electricity is there . And it is normal as it was before.

Himanshu Nayyar: And sir finally, just one clarification on the inventory side, if we look at there has been a massive increase in the number of stores that automatically would have led to this increase in inventory.

And if I look at the percentage change, it broadly looks similar the change in either number of stores and the increase in inventory. So , is this inventory buildup in line with past trends or there is some excess that you have done for this season , basically, I wanted to understand if there is a change in the average i nventory per store that you have at this time of the year ?

Yashovardhan Sinha: Of course, at this time of year there is a huge change from average inventory, as I told you average inventory for entire Company is around 3 30 odd crore where as at March end it is around 430 crore odd crore. So, of course, every brand, in fact carries an AC, separately AC's, refrigerator, air coolers, right now commercial refrigeration is also doing very well, in which deep fridges and all that . So, these have to be taken in advance , stocked up , then only you can sell it because otherwise going into Q1, it makes very difficult for you to take choices product from the OEMs.

Himanshu Nayyar: Yes, sir I understand that. My question was more whether that average inventory per store this March, is it higher than the average inventory per store last month, same time because this would be a seasonal thing ?

Yashovardhan Sinha: Yes, with a slightly more than earlier years. The reason being that when we knew that summer had come early in South, and there was a huge demand of ACs in South then we took a decision that maybe there will be a stock out situation very quickly. So, we were a little slightly heavy on inventory this year.

Himanshu Nayyar:

Understood, understood sir. That's all for me sir. I 'll get back in the que. Thanks, and All the best.

Moderator: Thank you. The next question is from the line Shrinidhi from HSBC. Please go ahead.

Shrinidhi: Hi, thank you for the opportunity, Sir just one understanding of the business. So, when you deal with the brand, in a very high commodity inflationary environment, which could be the case few months down the lines given copper is rising. So, do you get to maintain gross margin or do you get to retain absolute gross profit per unit sold?

Yashovardhan Sinha: I could not get your question ?

Shrinidhi: Since the prices of product goes up, so you get to maintain the gross margin or you look for gross profit, like absolute Rs.2000 per unit of AC. How do you deal in general , is it gross profit?

Yashovardhan Sinha: No, we always believe in gross margins.

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Shrinidhi: Okay, understood. And second sir how much of your business comes from the consumer finance and how much that ratio had changed over last one year?

Yashovardhan Sinha: Last one year it has changed by over 300 bps, 400 bps, right now it stands at around 41% of our total business.

Shrinidhi: And last month sir if I may?

Yashovardhan Sinha: Last year it was around 35% in total .

Shrinidhi: Okay, 35 has gone to 40. And sir last one is , do you have a service revenue stream or it will be predominantly product sales as of now ?

Yashovardhan Sinha: It's product sale only but service we sell extended warranties. So, that is for the service . Plus in fact these retail finance rs also, they in fact give us service charges and all that.

Shrinidhi: And sir one consumer finance related question I forgot to ask is , who really bears the subvention cost in most of our cases or it's the sharing between you and the brands ?

Yashovardhan Sinha: No, mostly it is brand . They approve the retail finance rs, and subvention is borne by the manufacturer.

Shrinidhi: Thank you for answering my question and all the very best sir.

Moderator: Thank you. The next question is from the line of Rakesh Wadhvani from Monarch AIF . Please go ahead.

Rakesh Wadhvani: Hello sir, thank you so much for this opportunity, congratulations for good set of numbers and fund raise part. Sir, my first question if you go to the product mix you can see the 66% from the consumer part large appliances. Just wanted to know what is the gross margin each product category if you can give us broader number ?

Yashovardhan Sinha: This I don't think we will be able to divulge this. So, actually, this is the entire mix which makes the difference.

Rakesh Wadhvani: So, the point I am coming because we have communicated in the past , in the high consumer durables space gross margins are higher and in the digital mobile and your laptop space gross margins are lower.

Yashovardhan Sinha: Yes, you are right. This we have already , we have been saying and entire industry knows that gross margin in mobility , in IT product is much lower than consumer durables, large appliances.

Rakesh Wadhvani: No, but in our share of consumer durable is coming down, but gross margin is increasing. So, my question is that, are we getting some very good margin from other categories ?

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Yashovardhan Sinha: No, I will say that our gross margin is stable not increasing , our gross margin is stable last two, three years . So, we have been able to maintain our gross margins. And it's not because of increase in margin, but rather, we are also focusing towards services related products also like we sell insurance also for the products.

Rakesh Wadhvani: Sir it's related to that only , if you look at , you talked about the gross margin remaining constant or the same range in the last three , four quarters,

but I am looking at longer horizon like two , three years. So, if we look at gross margin in FY21, FY 22, FY23 they have jumped from 12% to 16% as on FY 24. So, just want to know what has changed in that period?

Yashovardhan Sinha: Yes, there was a change when it was 12% , our turnover was only Rs.500 crores and margin what we are giving when we reached around Rs. 1000 crores. So, this is what is there in this type of retail , more sale top line will come , more margins will be coming to you through manufacturers.

Rakesh Wadhvani: So, sir if we expand further the margins crossed, there's a further room for improvement also in gross margin?

Yashovardhan Sinha: No, again now, competition is also coming in everywhere. So, we will not say that by increasing our top line from this , this is the threshold on top line I will say, if you are doing more than Rs.1000 or Rs.1 500 crores , your margins will be taken care of by manufacturers also.

Rakesh Wadhvani: Okay . Sir one last question from my side, what is the rent per square feet as on end of 24, rent per square feet?

Yashovardhan Sinha: Per square feet rent we have not calculated .

Rakesh Wadhvani: Ok, Ok, fine sir, thank you, and best wishes sir.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead, sir.

Ankush Agrawal: Hi Sir, thank you for taking my question. Firstly on the performance during the quarter , you did mention that there was extended winter during the quarter. But what is also true is that the summer onset has been early this quarter compared to last year. One of the large national retailers have also commented that the kind of sales that has done in April 1 st week was seen in March this week. But that doesn't seem to be playing out well for us. If we look into (inaudible) that has we have reported during the quarter, plus the store count we have continued to increase at a higher pace. But that is not translating to the kind of growth that one could expect in the last two quarters. So, we wanted to understand , is there anything else that has been playing out maybe say some of the new stores that we are adding in the new states, they are not scaling up as fast as we would have expected , or maybe the stores that we are adding in Bihar, between the districts that you had alluded to some time back, that is cannibalizing some of our sales from the existing

stores if you can highlight something else from that ?
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Yashovardhan Sinha: I don't think that , actually you are comparing with other geographies to us . In fact, March there was a very extended winter in this part of geography , very extended. So, it went up to, let's say 24th, 25th of March. So, but it was very hot outside these territories where we were operating in. So, this was the reason we built up inventory also in anticipation that companies will get exhausted of inventory. And as far as what you are saying that sale is not, you will have to understand that 30% of our stores are less than one years old , 30%. So, they are gradually coming up and giving us the sale . And last quarter sale was muted because of what I said that, sale of ACs were very less in this part of geography.

Ankush Agrawal: Secondly, sir on the finance cost and the other expenses, they have seen sequential quite a big jump. The finance cost specifically given the fact that we had paid down a lot of our debt during the quarter but still finance cost has jumped literally doubled from Q3.

Yashovardhan Sinha: No, actually you are slightly mistaken . Our funds what we raised , it was utilized by end of the quarter, very end maybe on 27th or 28th of March . So, there is no impact of that in finance cost. And as I told you that we have been building our inventory from the beginning of the quarter so the interest cost was high. Operating profit

when you open new stores, then operating cost is going to go up .

Ankush Agrawal: Okay. Lastly sir, just something on the book keeping so if I looked at this quarter tax rate is as high as 50% we have seen something similar last year also within, so the initial we thought that the tax rate is lower and then Q4 we have a higher tax rate. So, wanted to understand this kind of inconsistency in accounting. This is the background that earlier also we had some issues wherein the accounting was not consistent, but we fixed a lot of it but still there are a few things that seems to be inconsistent. So, wanted your thoughts on, why is it still happening like why can't we accelerate our push towards getting a much larger audit or like a big four, why are we trying to delay it?

Yashovardhan Sinha: How auditors are concerned with it , I do not think so because we were consistent , this year our tax has been consistent. And I don't think there was any deviation on that part.

Ankush Agrawal: But tax rate is 50%, something similar paid out last year also when Q 4 tax rate was 50% But in the rest quarter it was lower at 20%, 18%?

Yashovardhan Sinha: I am not talking about that financial year, I am talking about this current financial year, for what we are talking about that is FY24, it has been consistent.

Ankush Agrawal: Okay, I will take it offline, current quarter the tax rate is 50% for some reason, but that is not clear.

Yashovardhan Sinha: What percent you are saying?

Ankush Agrawal: The tax rate of the current quarter is like 50%.

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Yashovardhan Sinha: 50

Ankush Agrawal: Yes, 50.

Moderator: Thank you. The next question is from Percy Panthaki from IIFL Securities Limited . Please go ahead.

Percy Panthaki: Sir, what systems are in place for GST implementation considering the recent issues with the GST , there was some search in UP and so on ?

Yashovardhan Sinha: In fact it was , we have already explained that it was lifted the very next day because I do not know what confusion was there with the GST department there in U P. But actually, as I said that we start building up our inventory for summer season. So, we have had seven temporary godowns, which were not listed in our place of business at that time, because we had one month's time as per GST law. So, this was the only thing they could find out when they made their searches. So, apart from that, I don't think there was any problem. So, next day, when in fact we applied also for listing these go down temporary , they were temporary go downs, exclusively for let us say March & April. So, that was all. Next day we represented and everything was corrected.

Percy Panthaki: Understood. Just a couple of other questions one is , what would be the tax rate we should use for the full year FY25?

Yashovardhan Sinha: Tax rate, when we apply IndAS 116 then tax rate goes up. So, if you will see entire financial year 24 , we are being 2 crore in fact over and above whatever tax rate is applicable to us which is 25.17%. So, when we are dealing in lease business, lease premises and doing your business there primarily , then initially this surge goes up, in fact provision for IndAS, charge for IndAS and even tax rate also, but going forward gradually this starts coming down and in fact it will

come down and that will have a positive impact on the balance sheet.

Percy Panthaki: Right. So, in the P & L your tax line if I divide it by your PBT line as reported in the P&L which is post IndAS, what is the percentage for FY 25 tax divided by PBT ?

Yashovardhan Sinha: Tax rate?

Percy Panthaki: Yes.

Yashovardhan Sinha: Tax rate actually 2 crore is the difference so it will be something around tax rate will be , we can calculate it by, tax will be 28.90 and goes up to 27.1 % almost.

Percy Panthaki: Okay got it sir. And lastly again this has

been asked earlier but any timeline that you can give in

terms of auditor appointment , one of the big four , big five auditor appointment , any timelines on that?

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Yashovardhan Sinha: Right now, I cannot give you any timeline. But we are definitely mulling it . One more thing since you asked about the tax in fact I was looking at the financials. In fact what happens that, there was a loss on sale of assets reported in this operating expenses , so deferred tax was added to it and so because of deferred tax, the tax rate went up to 8%, the previous participant was asking me and actual current tax was only 6.12% , overall 6.12 crores only.

Percy Panthaki: Ok, Ok Got it .

Moderator: Thank you. The next question is from the line of Amit Jeswani from Stallion Asset Private Limited . Please go ahead .

Amit Jeswani: My first question is about , how many leases have we signed already for FY 25, like if lease which are signed, but we have not open stores ?

Yashovardhan Sinha: It is 14 in numbers .

Amit Jeswani: Got it. Second , question Sinha ji is about that we have opened 40 stores new last year and around 6 crore would be our first year revenue and around 240 crores of new revenue we will get from East?

Yashovardhan Sinha: Yes, very right. We do get 5 to 6 crore revenue in first year which goes to 9 to 12 crores in next year. So, it's right.

Amit Jeswani: So, that is already happening right , 6 crores in UP for the new stores?

Yashovardhan Sinha: Yes.

Amit Jeswani: Got it. And you were saying there is difference of margin in different states so are the margins low in other states or high?

Yashovardhan Sinha: It depends on the competition and who are our competitors and who are the peers so it depends on that plus state wise it varies but I won't say that very significantly but small variation is there.

Amit Jeswani: Got it. If 22% revenue growth is not our DNA it's been very weak for last two, three quarters, our revenue growth, is anything changing because our DNA is 30%, 40%?

Yashovardhan Sinha: How you are saying all this . In Q3 it was more than 30%, in Q4 as I said it was due to extended winters, as it got extended till late March. So, because of that compressor sale was affected.

Amit Jeswani: Last year, how much compressor did you sell in this season, last summer would it be like India sold 90 lakh and you sold 1 lakh?

Yashovardhan Sinha: Yes, it was more than 1 lakh.

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Amit Jeswani: Okay. And would it be right to say because if India's growth is 70% then our growth will be more than 70% this quarter and we will be able to do 2 lakhs?

Yashovardhan Sinha: No, saying this will be too premature Amit. We always give a lower guidance, so that is certain period where your sale jumps like that, its not at a uniform level that type of growth comes in, but we did very well in April and in fact in the beginning of May also. Slightly lower right now because of rains and all that, some unseasonal rains have come, but we think that overall this quarter will be good.

Amit Jeswani: Got it. Good as in 40% good, 50% good or 60% good?

Yashovardhan Sinha: We can't say that right now, we still have a month to go so we can't say anything.

Amit Jeswani: Got it, but our focus remains that we will keep expanding 30 stores , is broadly 20% store growth and new geographies you said in Madhya Pradesh , you think, you will be able to finish entire UP this year itself ?

Yashovardhan Sinha: No, not at all. So, this is why I said we can think in 25 -26. Right now in this current financial year, there is so much of opportunity in UP, we have to explore in UP currently.

Amit Jeswani: So, in UP you might have figured out that how much stores you want to be, we are assuming 19 stores, it can be 50, 60 store because we will go to a new

state without finishing UP or we will

do the major expansion in UP and then move to new state?

Yashovardhan Sinha: We will go beyond Lucknow towards Kanpur and later we will think of it. It's a very vast area right now. And when you ask me that whether we will open these many stores there then what actually happens, like if you open a store anywhere and it does well then you think that particular town or city needs another store also. So, you will not like to lose that opportunity as well. So, there are 75 districts in whole UP . We are present in 14 districts currently, so we do have huge scope there.

Amit Jeswani: Because that is the reason that you raised the money also to get into newer territories.

Yashovardhan Sinha: Yes.

Amit Jeswani: Do you change that 30 store , your guidance was a conservative guidance. And we will be able to achieve higher than that ?

Amit Jeswani: 30 is also good. 30 is not bad, but I am just saying that do you think we can do faster in UP?

Yashovardhan Sinha: Last time we performed more than our guidance, but we want to fortify our presence also. So, adding all this we are giving a guidance of 30 stores in this financial year.

Amit Jeswani: Got it, Got it sir, thank you and good luck and best wishes for your summer season .

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Moderator: Thank you . The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Thank you for follow -up question. Just one question. Last year , June was I guess, a bit heavy there was some delayed or postponement in sales during last season. Do you think the base is high for June and for you also, i t is more normal and the growth that we are seeing in April, May can continue in June also ?

Yashovardhan Sinha: No, this is v ery difficult to say right now Devanshu, actually yes, base has been very high in June last year. But it all depends on the season. Even last year also, season was quite hot. June was good for us. So, it's very, I cannot predict that but yes, base was high definitely .

Devanshu Bansal: Ok sir, thank you sir, that's all I want to ask .

Moderator: Thank you . Ladies and gentleman we will take this as the last question and I will hand the conference over to the management for closing comments.

Yashovardhan Sinha: We trust that we have addressed all your inquiries to your satisfaction. If you have any remaining unanswered question, please don't hesitate to contact our investor relations agency, Go India

Advisor, they will be more than happy to assist you further. Thank you very much for participating in this earnings call. T hank you very much.

Moderator: Thank you . On behalf of IIFL S ecurities Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you .

Call: Aug 2024

April 28, 2023

Date - August 05 , 202 4

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400 001

SCRIP Code: 540205

Sub: Transcript of Analysts/Investors Call pertaining to the Unaudited Financial Results for the quarter ended June 30 , 2024

Dear Sir

Further to our letter dated July 23 , 2024, please find attached herewith a copy of the transcript of the Analysts/Investors Call on the Unaudited Financial Results of the Company " Aditya Vision Limited " for the quarter ended June 30, 2024 held on Monday, July 29 , 2024.

The same is also being made available on the Company's website at: www.adityavision.in.

This is for your information and record.

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

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"Aditya Vision Limited Conference Call Q1 FY 2025
Earnings Conference Call "

July 29, 2024

MANAGEMENT : MR. YASHOVARDHAN SINHA – CHAIRMAN AND MANAGING
DIRECTOR , ADITYA VISION LIMITED
MS. YOSHAM VARDHAN – WHOLE -TIME DIRECTOR ,
ADITYA VISION LIMITED
MODERATOR : MR. PERCY PANTHAKI – IIFL SECURITIES LIMITED

Aditya Vision Limited
July 29, 2024

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Moderator: Ladies and gentlemen , good day , and welcome to the Aditya Vision Limited Q1 FY '25 Results Conference Call, hosted by IIFL Securities Limited.

As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Securities Limited. Thank you and over to you , sir.

Percy Panthaki: Hi. Good evening, everyone. It is our pleasure to host the Management of Aditya Vision Limited for its Q1 FY '25 conference Call.

On the call with us we have Mr. Yashovardhan Sinha – Chairman and Managing Director and Ms. Yosham Vardhan , Whole -Time Director.

I will hand over the call to the Management so that they can take you through the Results , and then there'll be a Q&A. Thank you and over to you.

Yashovardhan Sinha: Thank you , Percy. Good evening, ladies and gentlemen. Welcome to our earnings conference call for Q1 FY '25.

Today , we will be discussing our company's financial performance and strategic updates during the quarter. Our investor presentation has been uploaded on the screen and we hope you had the chance to review it.

Aditya Vision has once again delivered an exceptionally strong performance in this quarter, marking a significant milestone in our journey. The quarter witnessed a significant uptick in consumer spending, particularly driven by the summer season. During this period, the summer season led to a significant increase in the sale of compressor products such as ACs, air cooler, refrigerators and commercial refrigerators. As we all know, Q1 is our strongest quarter where we see huge demand for summer products such as ACs and other cooling products .

Before the start of Q1 FY '25 we anticipated strong sale , and we were fully prepared and stocked up for the quarter demand. Due to stocking high inventory of compressor products at the right time, Q1 has seen an exceptional revenue growth of 39%. Sale of air conditioners grew by 56% Y-o-Y.

As mentioned in our previous earnings call, our inventory remains highest on March 31st, every financial year , due to strategic reasons where we adopt an aggressive inventory acquisition approach to be well prepared for peak summer sales , and to avoid stock out situations of compressor products. At the end of this quarter, there is a considerable decrease in inventory

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levels by approximately Rs.66 crores, that is from Rs. 433 crores as on March 31 , 2024, to Rs.367 crores as of June 30, 2024.

Our operational revenue increased by 39% Y-o-Y to Rs.889 crores compared to Rs.641 crores in Q1 FY '24. In line with our revenues, our PAT increased by 42% Y-o-Y to Rs. 53 crores compared to Rs.37 crores in Q1 FY '24. Bihar contributed the most to our top line with 81%, Jharkhand and UP contributing 11% and 8% , respectively. Our SSG for this quarter stood at 21%. This strong growth was fueled by consistent growth from matured stores, increased

contributions from the new stores reaching maturity, and efficient inventory management. Operating leverage improved as our PAT growth this quarter has surpassed our revenue growth. During the quarter, we have hit the 150th mark of the store opening with over 105 stores in Bihar covering all districts, 25 stores in Jharkhand covering 20 out of 24 districts, and 20 stores in UP with just over one year of operation, covering 14 out of 75 districts. We added five new stores in Q1 FY '25 and our store count as on 30th June '24 stood at 150 stores. The recent fund raise has been utilized by the company, and as on date

the company enjoys a net

debt free status. The finance cost includes interest cost of Rs. 2.1 crores as well as lease liabilities in interest owing to application of Ind AS 116, which has gone up significantly due to the rapid store expansion in the past one year.

In Q1, even after stocking significant number of air conditioners as on March 31, 2024, there was a stock shortage in all parts of India, especially East and North West. Summer approaches relatively later. To ensure healthy level of air conditioner inventory, we are constantly buying compressor products which led to utilization of our cash credit facilities with the bank to some extent.

Overall, we had an exceptional quarter and would like to emphasize that the growth of the consumer durable and electronic market in under-penetrated region of India represents a significant opportunity for us, as well for our OEMs. As rural income continues to rise and infrastructure improves, the penetration of consumer durables is expected to further deepen, driving sustained growth in the sector. The increasing disposable income, aspirational living, easy financing options are leading to significant growth in the sector.

Our focus remains on expanding our retail footprints. We will continue to identify and enter new markets in Hindi Heartland that offer growth potential to cater to evolving consumer preferences. We remain focused to our creeping cluster approach of expanding from Eastern UP to Central UP this financial year. We are fully on track to add 25 to 30 stores in the current year and target to reach at 200 stores by FY '26. We are confident in our ability to sustain this momentum and deliver long term value creation for all stakeholders.

Together, we will navigate challenges and seize the opportunities to propel Aditya Vision to new height of success.

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I will now hand over the floor to Ms. Yosham Vardhan to provide an overview of the financial highlights for the quarter. Over to you, Yosham.

Yosham Vardhan: Thank you. Good evening, ladies and gentlemen. We are pleased to present the strong financial performance of Q1 FY '25, and here is a summary of the same:

In quarter one FY '25, revenue surged at a Y-o-Y increase of 39%, reaching Rs.889 crores in Q1 FY '25 compared to Rs. 641 crore in Q1 FY '24.

There is a slight increase in gross margin at 15.2% compared to last year Q1 gross margin which stood at 15.1%. EBITDA for this quarter stood at Rs. 85 crores. We maintained EBITDA margin at 9.6%. PAT for the quarter stood at Rs. 53 crores, up by 42% Y-o-Y, compared to Rs. 37 crores in quarter one FY '24. EPS for the quarter stood at Rs.41.07.

Our store count stands at 150 stores at the end of this quarter, with 105 stores in Bihar, 25 stores in Jharkhand, and 20 stores in Uttar Pradesh. SG for Q1 FY '25 stood at 21%. Inventories stood at Rs. 367 crores as of June 30th, 2024, decreased from Rs. 433 crores as of 31st March 2024.

Now, we can open the floor for questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Congratulations on a very strong quarter and normalization of inventory levels. Sir, my first question is on gross margin. The media reports sort of suggested that there was shortage of compressor products, and the discounting was also relatively lower. However, on a Y-o-Y basis, when we see our gross margin, though there is an improvement, it is relatively on a lesser side. So, just if you could throw some light on this, sir.

Yashovardhan Sinha: Devanshu, actually we are moving in new territories rapidly. So, moving in new territories restricts our option of making more margins. And we are quite comfortable at the current level of margin. So, we try to maintain this margin

even in newer territory. So, this is the reason we have got good sales from UP also as you will find that already has started contributing 8% of our sales in just one year existence. So, I think this is the reason. And, let us not profiteer because of shortage.

Devanshu Bansal: And second half, I guess, there are some incentives related to whatever good amount of sales that we have done, so those should flow in second half, right sir?

Yashovardhan Sinha: No, we take the provisions in the quarter itself. So, that will not flow in the next quarter. Whatever

we will be doing next quarter it will come in next quarter.

Devanshu Bansal : And I was seeing our PPT , gradually over the last two quarters there has been some increase in working capital per store as well as CAPEX per store. Is this largely attributable to inflation or there are some new category additions also that we have done ?

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Yashovardhan Sinha: No, sir. This is largely attributable to inflation directly . Because as you will find even this pollution norm and other thing has kicked in for generators , so prices of generators have gone up, inflation is there of course. So, this is the reason for CAPEX going up. And in working capital also we are facing that the air conditioner prices have gone up by 10 % to 15% across board, it is there for even refrigerators also. So, this is the reason of raising that guidance.

Devanshu Bansal: Got it. Last question from my end. The other expenses have almost doubled on a sequential basis. What is the reason for this? Is there some one-off in this, your thoughts on this , please ?

Yashovardhan Sinha: There is nothing one-off in this, Devanshu. So, actually when you are growing, when you have doubled the sale also, more than doubled your sale from last quarter , then operating expenses are bound to go up because your credit and other expenses go up, your power expenses actually go up. Similarly, employee expenses also go up because of incentive and all.

Devanshu Bansal : I get that, sir, but I just wanted to sort of put more attention to this because our revenues have doubled, but that should flow into our EBITDA margins as well, right , because there must be some operating leverage. Last year we did about Rs. 640 crore s, this time around we did closer to Rs. 900 crore s, but our EBITDA margins have actually dipped by about 30 basis points. So , my question was more from that.

Yashovardhan Sinha: You can attribute it only because of expansion, freshly opened so many stores are there. So, in fact, it is a very slight dip, I do not think that there is a significant dip in margin.

Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Sir, my question is also on the gross margin. So, what I have seen is that in Q1 FY '23 as well as in Q1 FY '24, the margin in Q1 is lower than what it is in the full year at a gross margin level .

And I am surprised to see this because we have always held that compressor products are actually higher gross margin products. And this quarter we had a very good percentage of compressor product sales. So, the gross margin in Q1, why is it actually not higher than the full year basis for the last two years? And is there any change in trend expected this year?

Yashovardhan Sinha: In fact what I told you before also , in the previous conference call, gross margin actually , of course compressor products they give you more volume, more topline . But today is a very competitive market and it has been there, there is , not that that we are working in a non-competitive environment. Secondly, we are moving to new places in Uttar Pradesh or in Jharkhand, where we have to in fact maintain our base at that level at which you are mentioning. When a big party comes in other town , other competitors, they also

lower their prices to us. So, this

is the reason we do not focus on gross margin that much . And since there is very high sale starts kicking in , so this is the reason the gross margin will remain like this only.

Percy Panthaki: Understood. And just wanted to understand at what level of sales or what level of sales growth do we see operating leverage kicking in ? See, what is happening is that your sales per store is continuously going up, right, whereas your cost per store will go up, but should not go up at the

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same rate . So, for example, whether you are selling five units of AC a day or seven units of AC a day, your electricity cost in the store should remain more or less constant. Similarly, your rental will remain more or less constant. So, as your sales per store is going up, why are we not seeing any operating leverage in the EBITDA margin?

Yashovardhan Sinha: We have been giving you guidance that our EBITDA margin will remain like that , from 8 % to 10% we have been giving guidance . And I think that is a good and comfortable level for the company to work in.

Percy Panthaki: Yes, sir, agree. So, you have exactly come , I mean, your guidance has been bang-on and not to say that there is any deviation versus expectation . But just trying to understand the underlying mathematics here , as to why we are not getting operating leverage, or do you think we are getting it and then we want to invest in lower prices. And therefore, the gross margin we will see a slight dip and the EBITDA margin will be maintained because of operating leverage. Is that how it will play out ?

Yashovardhan Sinha: See, what happens that if you are not taking into account when we are expanding , at the same time we are expanding also in newer places. So, let us say advertisement cost , it will go up at that place , when we are going in very recently. So, that will add operating expenses . Otherwise also

we bring so many schemes for customers like giving gifts or something when we are opening a new store. And when you open new store you have got many events lined up. So, these are the factors, this is the reason it will not go up significantly from this level.

Percy Panthaki: Understood. And lastly, sir, any idea when you would consider opening up a new state? So, we are in UP, Jharkhand and Bihar, when do you think we should be expecting venturing into any of the neighboring new states?

Yashovardhan Sinha: Percy, think of UP, we have just in fact hardly covered 14 districts out of more than perhaps 70.

So, there is huge potential in UP. And as we have been guiding that we will not enter into metros or otherwise, we are going to come to the periphery of metros. So, right now we are in the process of crowding Central UP. And after crowding Central UP we have to go further; we will move towards the western part. So, right now we have not decided to enter into any other state, but we are always in fact mulling that whatever good territory is there we should be present.

Moderator: Thank you. The next question is from the line of Bharat Shah from ASK Investment Managers Limited. Please go ahead.

Bharat Shah: Namaskar, Sinha sahib. First thing that I wanted to check was, how has been your experience with Uttar Pradesh? Though it is relatively a shorter period in which we made a foray, what has been your experience? What are the new insights that Uttar Pradesh experience has given to you in your business model? And what are the insights of our success in Bihar have not been able to so far work in Uttar Pradesh? In other words, new insights from Uttar Pradesh and new revelations about Bihar itself, which has been our very successful territory so far.

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Yashovardhan Sinha: I will put it by that Uttar Pradesh is almost similar to Bihar, what we

have found, but it is more

crowded across by population also. And there are many players also present in Uttar Pradesh, local players who are basically distributors but operating as retailers also. We have taken the market by storm definitely, because already now our contribution of UP has jumped to 8% of our turnover in the very first year. And in the first year in which we are continuously opening new stores, in fact many of the stores are not even three months old. This is what we are expecting that we will be doing very well in Uttar Pradesh so far whatever results we have got. And Uttar Pradesh is in the process of in fact a great transformation. So, that also looks quite viable for us and our business going forward.

Bharat Shah: And any ideas which have been a very operational part of business model so far and which have worked really well in Bihar, but you have not seen it working with the same kind of pattern in Uttar Pradesh so far? Anything which you have not been able to replicate in Uttar Pradesh what you have successfully done in Bihar?

Yashovardhan Sinha: Actually, the major difference is in ASP also, average selling price also because it's lower in Uttar Pradesh compared to Bihar. And the second difference I will say is that Bihar is not driven by distributors. Whereas in the UP retail is driven by distributors, so this is the one major difference. And finance is also not that much, penetration of retail finance is also lower in UP than Bihar.

Bharat Shah: Okay. And therefore, should I presume that whatever we have done in Uttar Pradesh so far has met with our expectations or exceeded? Or are there concerns in terms of how the experiment is unfolding into the newer states?

Yashovardhan Sinha: Actually, we are very much happy and in fact it has exceeded our expectations. And in fact, we are very excited to open more and more stores there. Because we are finding that, as I told you, the distributor-driven market is always selling lower ASP product. Whereas we at Aditya Vision, we can tell you that we have got 60% share of 5-star AC among our entire sale of AC, which is the highest in India. If you find from OEMs also, nowhere in India they sell their contribution of 5-star ACs with 60% in overall sales, whereas we are doing it here in Bihar. And this is what we are bringing in UP also. So, we are trying to enhance the ASP, and retail also we are taking along with us, retail financing also. So, I think the future is looking quite good and exciting.

Bharat Shah: Which means clearly we are not destined to be one state wonder which is Bihar? Clearly our territory is expected to be larger and expanding.

Yashovardhan Sinha: Yes. Bharat bhai, in fact, we will be going in entire Hindi Heartland soon, slowly, steadily. Jharkhand has been doing very well already contributing 12% of our sales, which is not as densely populated as Uttar Pradesh or Bihar. But still we have become the leading retailer, biggest retailer in the entire Jharkhand state. We are expecting to in fact do the same in UP also over the next one to two years.

Bharat Shah: Then last questions, Sinha sir. One of the key reasons as I have understood so far behind Aditya Vision's success has been nimble footed decision making, entrepreneurial culture, and ability to,

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despite being a smaller players than likes of Jio and other s, yet we have remained on the right note, both in terms of our growth as well as profitability because of the institutionalization of an entrepreneurial culture of the firm. Do you worry that the ability to maintain that key success sector intake as we moving to newer geographies and if the size happens , we also make it a bit more satiated or satisfied . And therefore, that entrepreneurial culture, which is the key reason behind the success , as I have understood ,

can be affected ?

Yashovardhan Sinha: I do not think that Bharat Bhai, it is going to affect us or our vision or our sales is going to get some wrong. The reason being that , as I told you , all the time I have been telling our stakeholders that we believe that the Hindi Heartland is the biggest story right now in India . Where the penetrations of our products, what we deal is lowest amongst all and as you must have seen from the budget, so much of the money is going to come to Bihar. So, again ,Bihar will be highly here. UP has not done well for the ruling party , so believe that they are going to invest more and bring some more schemes to UP. So, I think this entire Hindi Heartland, which will comprise later on Madhya Pradesh and Chhattisgarh also, and borders of Bihar, West Bengal , so I think it is going to continue the same way because the entire Hindi Heartland behaves the same, largely .

Moderator: Thank you. The next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda : Sir, I just have one question , in the states that we are, what is the store opening potential?

Yashovardhan Sinha: In which state you mean to say?

Pritesh Chheda : In UP, Jharkhand ,Bihar , that we are what is the share of the potential, the count possible as on date that you can see?

Yashovardhan Sinha: We are looking forward to opening more stores in Bihar in cities like in fact Purnia , and big cities like Purnia, Motihari , Arrah . These are very big cities where we only have one branch and which are doing very well. So, we are now in the process of putting up another store in these places wherever the sale is quite high. And secondly, we have to cover a lot of ground and still lot of ground in Jharkhand also because Jharkhand has been doing well. We are going for a second store in Deogarh also, Deogarh has done exceedingly well. Similarly, when we see Uttar Pradesh there's a lot of potential because if we concentrate on let us say Varanasi, we have already opened six stores there , in fact, seven stores are in Varanasi. Such a huge , big market. And if you see Lucknow, then the potential goes up to even 15 to 20 stores in Lucknow , it is of that size. So, there are lot of opportunities and there also wherever we will be doing very well in district headquarters , in future we will start thinking of opening another store there to cater the needs of the customer. So, I think there is a lot of potentiality right now available for opening a store.

Pritesh Chheda : Have we expanded our horizon beyond Eastern UP in UP?

Yashovardhan Sinha: Yes, we are looking towards the Central UP right now in this financial year. We will be providing Central UP right now and then we will further move towards the west .

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Pritesh Chheda : So, if you just take Eastern UP , plus Bihar, plus Jharkhand and Chhattisgarh, if you just take these states and Eastern UP , the total store count that is possible in your business potential will be how much ? You are at 150 today , where you can go up to?

Yashovardhan Sinha: We have given the guidance that definitely in FY ' 26 we will be 200 -plus stores . And we will be expanding , let us say, over 25 -30 store every year. And still, I think overall if you will see , long time horizon, we will be opening around 500 stores , it is very much achievable.

Pritesh Chheda : And my last question is, what is the progress on those smaller format stores which you are thinking putting between two districts ? In a smaller 1 lakh type smaller town , so what is the progress there? Have we put anything and what is the progress ?

Yashovardhan Sinha: These stores are doing very well , let me tell you first of all this, that these stores are doing very well and we are still in process of opening few stores. But because we are getting very good business in UP also, so

we are concentrating on UP market as well at the same time. So, these are all doing well , and we are always assessing the market potential for these places.

Moderator: Thank you. The next question is from the line of Srinidhi Karlekar from HSBC. Please go ahead.

Srinidhi Karlekar : Sir, may I ask how has been the growth rate for non -compressor products ? And have you seen some improvement in the growth rate of non -compressor product in this quarter versus the previous quarter?

Yashovardhan Sinha: See, 15% growth is there for non -compressor products also.

Srinidhi Karlekar: And has that improved versus last quarter?

Yashovardhan Sinha: Yes, it has increased .

Srinidhi Karlekar: Second question is , sir, are you seeing consumer financing companies become stricter in lending

these consumer durable loans?

Yashovardhan Sinha: I do not think it has come to any level which is hurting us or hurting our business . It is not like that. It is part of India where the recoveries are good , and so retailfinances are doing whatever they were doing before.

Srinidhi Karlekar: And the last one is , also can you elaborate how much has been the price increases that have happened in recent months for the compressor products ? And do you see this can impact the demand because of the pricing increases ?

Yashovardhan Sinha: Actually, we do not think that the price is going to impact the demand , because I have been telling that the penetration is very, v ery low. In fact , around 3% of penetration is there and people prefer buying goods , what I said that , we are selling, 60% of ACs which are 5-star. So, in fact the people , despite trying to invest in those products , so we do not think that the price hike is going to dampen the demand.

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Srinidhi Karlekar: And sir, can you elaborate how much has been the price increases, for example , refrigerator and AC in recent few months?

Yashovardhan Sinha: It's not like that, when there was a huge shortage of new product then at that time it was just around 10%.

Srinidhi Karlekar: And has that continued? Or they have corrected ?

Yashovardhan Sinha: No, it is continuing.It was also because of higher copper prices and all that.

Moderator: Thank you. The next question is on the line of Chirag from Ratna Traya Capital. Please go ahead.

Chirag Fialoke : Good Evening sir, Congratulations on a very strong set of numbers and the continued execution.

Three quick questions , Sinha sir. C an you help us with the number within other expenses? I am sure there is some expense for the buy and win ,the program that we run , or marketing related expenses . Could you broadly notexactly car veout what that was in June '23 and what was in June '24 quarter , so the same quarter last year and this quarter , just that n umber ?

Yashovardhan Sinha: That is n ear to that only , it's not any abnormal figure.

Chirag Fialoke : But it would have increased a lot more from last year, right sir? I am just trying to understand that Rs. 30crores increase that we have in other expenses, how much of that is attributable directly to marketing costs or marketing expenses?

Yashovardhan Sinha: Some 20%.

Chirag Fialoke : So, 20% of Rs. 30 crores, so Rs. 6 crores -odd you are saying is attribut ed to marketing , is that correct ?

Yashovardhan Sinha: Yes, that will be something like that.

Chirag Fialoke : Okay, maybe I can take that offline also. The second question sir I want to understand is , typically we talk about Rs. 6crores sales in the first year, Rs. 12 crores in 2year, and Rs. 18 crores and so on for the third yearfor full year of operation s. All the new stores that we have had , are they broadly operating in the same format ? Is there any update or any change from this general guidance?

Yashovardhan Sinha: No, broadly they are doing the same what we havebeen guiding. In fact, t

hey are doing much

better also.

Chirag Fialoke : Okay, some of the earlier stores are doing better than this ?

Yashovardhan Sinha: Yes. None of these stores are doing worse than what we have guided. But many stores are doing better than what we have guided.

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Chirag Fialoke : And the last question I had was on the finance component of sales, for this quarter what was the proportion of sales that was done through sort of so me kind of financing , either through a partner or otherwise ?

Yashovardhan Sinha: Around 44%.

Chirag Fialoke : I have one suggestion , Sinha sir, if that's okay I will make it , and if it's possible . Sinha s ir, I understand you have been saying that there has been operating leverage also , and I guess a couple of participants on the call have also asked this question , though that is not showing up right now because we have certain operating losses also from the new store s, right? They are just ramping up,they're doing good salesbut still it takes time to sort of for them to be able to get there . So, at any point in timeif you can just carve out what kind of operating losses we are seeing or investments we are seeing in new businesses every quarter, that would be helpful for everyone participating to understand that operating leverage in the rest of the stores is paying out.

Yashovardhan Sinha: We cannot give you guidance on that because all stores will behave differently. So, it's not that they are doing consisten t in giving us any branches , giving operating losses. There are many branches who are doing much better since inception. So, that will not be possible for me to give

you that.

Chirag Fialoke : Not guidance , Sinha sir. I just want to know, if it's possible , I understand it's difficult, no problem. But basically, for this quarter what was the cumulative loss from new stores? So, that one can understand that if that loss would have not been there then the profit would have been that much higher, other expenses would have been that much lower or something in that tune for us to understand that operating leverage is actually paying out on the old stores . Which obviously it would be , right, I mean , old store same store sales growth is coming at 20% , they will be doing phenomenally well in terms of operating leverage, is that correct?

Yashovardhan Sinha: What you are saying is correct, but giving any figure for that , that will not be possible for me.

Moderator: Thank you. The next question is from the line of Rohan Mehta from Ficom Family Office . Please go ahead.

Rohan Mehta : Thank you so much for taking my question and many congratulations on a great set of number. So, in the past, sir, we have had plans for testing the markets of Chhattisgarh and Madhya Pradesh. So , on that specific point , what is your right to win in the competitive landscape of these two states? And who are your main competitors here ? And what sort of edge do you have over them? That's my first question.

Yashovardhan Sinha: Sir, you are only asking for Chhattisgarh and Madhya Pradesh ?

Rohan Mehta : Yes.

Yashovardhan Sinha: Actually, we are what I told you that in this financial year we are going to expand Central Uttar Pradesh.

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Rohan Mehta : So, my question was, in these two states, sir, Chhattisgarh and Madhya Pradesh, what is your right-to-win? And who are your main competitors over here ? And what is your edge?

Yashovardhan Sinha: Actually, we have not explored those markets , but as per our policy of expansion we will definitely ,not in this finance year, maybe in next finance years we will foray into those areas . And there are regional competition is everywhere there , it's not that it's not present in UP or Bihar or in Jharkhand . But then our presence, our brand building exercise, our expertise in retailing , this i

s

the way we will win heart with our buyers. So, that does not matter , that will not make any difference to us. What I am trying to tell you is that it's not Reliance Digital or Croma or other big groups, they are not present in these markets . In these markets all the big retailers are present , but still, we are doing well. So, why we should bother about competition in Chhattisgarh or Madhya Pradesh, rather our policy is to look towards in Hindi Heartland.

Rohan Mehta : And just a follow-up question on that. Have you, sir, done any study to assess the brand recall for Aditya Vision in newer markets? This is inclusive of your strategy to expand in Central UP? So, basically what support are the OEMs offering you in this regard ? And how are they encouraging you to enter into newer states?

Yashovardhan Sinha: Regarding your first question, actually what we know about our survey is that 85% of buyers are again coming back to Aditya Vision. The recall value is as high as 85% for the buyers . And we are a household name in Bihar , and we have very quickly in the last two and a half years have become a very big name in Jharkhand, which is fully reflected by the sales and all , in such a short period of time. So, brand recall is very good.

Moderator: Thank you. The next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla : Thank you for the opportunity and congratulations on a great set of numbers. So, I just wanted to understand the UP market a little better. You mentioned earlier that the ASP in UP is slightly lower than in Bihar . And since it is a new market that we are entering, we are also being slightly competitive, which is why we are not seeing the gross margin expansion or operating levers playing out. So, are these stores matching our Bihar stores in terms of payback period or breakeven ? Or will that now change a little bit as the number of UP stores increase?

Yashovardhan Sinha: I think that they will be the same , because it's not that actually we try to increase the ASP through our innovative marketing strategy, like display of premium products and all that. It's not that ASP becomes high and by chance it does not happen. In fact, you have to do that through marketing effort for that purpose. So, when we enter UP, we found that ASP was low there. But right now we have been maintaining our ASP there also in U P.

Alisha Mahawla : So, we will still be able to achieve a three-year payback period on the newer stores that are opening in UP also ?

Yashovardhan Sinha: Yes, certainly , I think that is achievable.

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Alisha Mahawla : And just one last question, what is the ESOP cost for the quarter and expected for the full year?

Yashovardhan Sinha: ESOP cost is around Rs. 50 lakhs.

Alisha Mahawla : For the quarter , and for the full year ?

Yashovardhan Sinha: It will be Rs. 2 crores.

Alisha Mahawla : Then the jump in employee expenses ex of ESOP is very high on Y-o-Y basis. What would the reason for that be?

Yashovardhan Sinha: The reason for that is that they have done exceedingly well , our employees have won so many schemes , and they will get very good incentives. So, this is the reason of the employee cost. New branches have been added , so you require more staff also , when sale is very high you require temporary staff also at many places , so this is the reason.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal : Sir, just one question. Can you share the gross debt and gross cash number for the quarter end Q1?

Yashovardhan Sinha: Gross debt, there is no gross debt I suppose.

Ankush Agrawal : And how much is the cash?

Yashovardhan Sinha: On the books I will say cash is around Rs. 10 crores will be there, Rs. 3 crores cash , and the bank balance

will be around Rs. 8 crores to Rs. 10 crores.

Ankush Agrawal : So, you are saying about Rs. 10 crores, 15 crores cash and no debt?

Yashovardhan Sinha: Yes, no debt . The debt is in the form of when we go for buying aggressively, then we have to utilize the working capital , which is temporary in nature.

Ankush Agrawal : But sir broadly, I mean , that means you have used the entire cash that you have raised recently ? Given the kind of quarter that we had, we would have got ten a lot of cash as well. So, ideally the cash balance should be higher ?

Yashovardhan Sinha: What makes you think like that?

Ankush Agrawal : Because I think at the end of last quarter Q4, we had about Rs. 300 crores of cash and about Rs. 125 crores of debt, right?

Yashovardhan Sinha: That is kept in form of fixed deposit.

Ankush Agrawal : So, how much would be that, sir ?

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Yashovardhan Sinha: How much?

Ankush Agrawal : How much would be that, like including the fixed deposit, how much would be the total cash?

Yashovardhan Sinha: It will be a little over Rs. 100 crores.

Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare : My question was regarding the planned NSE listing. Now you have approved it , what would be the approximate timeline for all process and when could we see the listing?

Yashovardhan Sinha: I think we will be applying after the AGM and after split , because there has to be a gap of 30 days between the two record dates , so we are expecting we will be approaching them by end of August.

Onkar Ghugardare : So, by end of August you would be listed on NSE? .

Yashovardhan Sinha: No, we will apply for that , and subsequently we will get listed , maybe in one month time or something.

Onkar Ghugardare : So, what is the conversation with your team regarding this? How much time it takes generally ?

Yashovardhan Sinha: Around one month , this is what we have been told.

Onkar Ghugardare : Another question is on so far this season , was it as per your expectation , below expectation , more than expectation?

Yashovardhan Sinha: It was a normal season , I would say. We will put it like that it should be warm in summer, so that was it , there was not much disturbance in the quarter one .

Onkar Ghugardare : It was a normal quarter, no one-off on any side , no surprises ?

Yashovardhan Sinha: I think it was a normal quarter, yes.

Onkar Ghugardare : One more question is on the product mix. So, in the next two, three years , in your PPT you have mentioned that you would be gradually moving towards high margin products. So , can you talk more about that, what kind of products these are and how much they can contribute in the next two or three years?

Yashovardhan Sinha: We do not guide in that way that we will be focusing on that . Actually, market is like that , and what happens is that everybody knows that the margins are higher in the appliances and the other products rather than in IT or mobility . So, this is the fact. And we did not guide that we will be focusing towards that , only on the higher margin products. Actually, everything becomes a basket of categories and so that entire basket gives us that return.

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Onkar Ghugardare : So, basically what would be the product mix say two, three years down the line, it would remain the same, as it is, or there would be a change?

Yashovardhan Sinha: We are expecting a gradual increase of IT and mobility related products, and it will be gradual.

Onkar Ghugardare : You are saying that you will be gradually moving towards IT related products?

Yashovardhan Sinha: No, we will not be moving. What I am saying is that what we have seen in the market, so we are giving you the guidance that it will be increasing gradually.

radually.

Onkar Ghugardare : Can the fundraise which you have done, can you just give the bifurcation how you have deployed that cash?

Yashovardhan Sinha: It has been used as per whatever we have given in guidance, that has been used. You can go through monitoring agency report.

Onkar Ghugardare : The entire capital has been used for working capital requirement for this season?

Yashovardhan Sinha: The amount what we had earmarked for working capital, it has been used for working capital.

Onkar Ghugardare : Growth as well, right, that's what I am asking. So, apart from working capital what you have used it for?

Yashovardhan Sinha: We have used only Rs. 8 crores for general corporate purposes, which we still have not utilized it fully.

Moderator: Thank you. The next question is on the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal : I just wanted to come back to this other expense that has been there. Sorry for extending on this.

Sir, last year for full year our other expense as a percentage of sales were about 3.1%, this time

around it is 3.3%. And typically for full year FY '25, they should remain in the range of 3%

because if we extrapolate this Rs. 29 crores, Rs. 30 crores that we have done in Q1 for the next

three quarters, that number will be significantly higher. So, just wanted your views on that.

Yashovardhan Sinha: No, it will come down. The operating expenses directly related to sales, the top line. So, whatever if sale is like that, if you expect sales of Q1 for rest of the year then let it be like that the operating expenses. So, actually it is directly related to sales.

Devanshu Bansal : So, entire expense is variable, there's nothing like fixed component in this, right?

Yashovardhan Sinha: No, there's nothing because the rent is not there, the salaries are not there, interest is not there. All variable expenses are there in other expenses.

Devanshu Bansal : And secondly, from a base perspective, last time around we indicated --

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Yashovardhan Sinha: Otherwise also you will have to understand one more thing, I think that which is haunting you. Actually, in fact when your sales are going up, so your credit card commission also goes up, your financing cost also goes up. So, these are all there in operating expenses.

Devanshu Bansal : Sir, I wanted to check on the base for the September quarter, which is the ongoing quarter. Last time around I remember that July was a weak month for us, right, because June was very strong.

So, how have been the trends for Q2? As in, are they in line with what we have delivered in Q1?

Yashovardhan Sinha: So, far it is very encouraging.

Moderator: Thank you. The next question is from the line of Aryan Oswal from Finterest Capital. Please go ahead.

Aryan Oswal : Sir, congratulations on the good quarter. Sir my question was that, previously you mentioned that your focus is to conquer Central and Western UP, but now you mentioned that you are planning to foray into Chhattisgarh and MP markets by the next financial year. So, sir, does this mean that we will be able to conquer Western and Central UP by this financial year? And if not, can you please guide us precisely on our plans for the next three to five years?

Yashovardhan Sinha: Three to five years will be a very long period, but still, I can give you guidance up to FY '27, for next three years. This financial year we will be operating and expanding in UP only, in Central UP, in this financial year. It's a very huge state, Uttar Pradesh, so we will be fully occupied capturing around the Central UP. And by next year we will be going towards the Western UP, as well as exploring the newer areas like Madhya Pradesh or Chhattisgarh.

Moderator: Thank you. The next question is from the line of Nitin Gupta, who's an individual investor. Please go ahead.

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Nitin Gupta : Actually most of my questions are answered. I have one suggestion with respect to the reporting of some of the details, like SS G growth, bill cuts, ASP. So, those things in the quarterly results are not included. So, is it possible to include them?

Yashovardhan Sinha: But it is there in the investor presentation? We do it half yearly. The policy of the company is to give half yearly figures. Quarterly, we are updating the financials.

Nitin Gupta : That's what I what I was saying if it is possible?

Yashovardhan Sinha: No, we will be only doing it half yearly because that will give a good proper, in fact reflect a

proper picture of financials and other MIS.

Nitin Gupta : I mean, I am asking like, do we do the sales only via stores that we have opened or are we present online also?

Yashovardhan Sinha: No, we are not present online.

Nitin Gupta : And any such plans in future or not?

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Yashovardhan Sinha: No, not as of now.

Nitin Gupta : The same store sales growth has been indicated to be around 20% I think for this quarter. So, can you divide it into the volume and the valuable?

Yashovardhan Sinha: No, that we cannot.

Moderator: Thank you. The next question is from the line of Anshuman Srivastav, who's an individual investor. Please go ahead.

Anshuman Srivastav : Sir, last year we had store count growth of approximately 40%. We are saying that we had the same store sales growth of approximately 21%. We have other expense growth of roughly 50% for Q1 FY '25 over Q1 FY '24, and there was also a surge in demand from compressor products in the economy. Yet in our Q1 of FY '25 we had a sales growth of only 39%. This is first question.

Second question is, we have Aditya Suraksha insurance policy for the customers, how is that performing? And how much deposit have we been able to generate through it? And what is the profitability of that insurance policy?

Yashovardhan Sinha: That we cannot give you right now. We cannot give you that figure that how much has come from Aditya Suraksha? And what was your first question?

Anshuman Srivastav : About the same.

Yashovardhan Sinha: It's very correct, if we have grown by 39% and around 20%, 21% has come from same store sales, we have got out of around Rs. 900 crores we have got around 18% from new stores.

Anshuman Srivastav : From new stores we got only 18%?

Yashovardhan Sinha: Yes. Same store sales growth had been at 21% and we have grown by 39%. So, the gap between 39% and 21%, 18% has come from the new stores.

Anshuman Srivastav : So, 40% stores contributed only 18% because they were new stores, but they will contribute more going ahead?

Yashovardhan Sinha: Yes, maybe stores are only one month old or two months or three months old, yes.

Anshuman Srivastav : No, for the Q1 they should have been larger. Because for the entire Q1, all of these stores were available, but these stores are very recent, so they did not contribute there.

Yashovardhan Sinha: It's not that we have been opening stores and it goes in the same way. I think we have done well in that.

Anshuman Srivastav : And for Q1 we opened only five stores, what is the target of opening stores for the rest of the year?

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Yashovardhan Sinha: We have given our guidance, we will be opening around 25-30 stores in this financial year.

Anshuman Srivastav : And final question is, just which is also --

Moderator: Sorry to interrupt. Due to time constraints, that was the last question for the day. I now hand the conference over to the management for closing comments.

Yashovardhan Sinha: We trust that we have addressed all your inquiries to your satisfaction. If you have any remaining unanswered questions, please do not hesitate to contact our Investor Relations agency Go India

Advisor

s. They will be more than happy to assist you further. Thank you so much. Goodbye.

Moderator: On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

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"Aditya Vision Limited
2Q FY25 Earnings Conference Call"
November 12, 2024

MANAGEMENT : MR. YASHOVARDHAN SINHA –CHAIRMAN AND
MANAGING DIRECTOR – ADITYA VISION LIMITED
MS. YOSHA M VARDHAN – WHOLE TIME DIRECTOR –
ADITYA VISION LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL SECURITIES LTD

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Moderator: Ladies and gentlemen, good day and welcome to Aditya Vision Ltd. 2QF Y25 earnings conference call hosted by IIFL Securities Ltd. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Securities Ltd. Thank you and over to you, sir.

Percy Panthaki: Hi everyone, good evening and welcome to the quarterly call for Aditya Vision Ltd. I have on call with me Mr. Yashovardhan Sinha , Chairman and Managing Director and Ms. Yosham Vardhan , Whole Time Director. I'll hand over the call to the management for their initial comments and then we'll open up for Q&A. Over to you, sir.

Yashovardhan Sinha: Hi Percy, thank you. Good evening, everyone. We are delighted to welcome you to our earnings call for Q2 and H1 FY25, where we will review the company's financial performance and strategic decisions. Our investor presentation has been uploaded to the screen and we hope you've had a chance to review it. We are pleased to report a strong performance in typically seasonally weak quarters, showing consistency across all financial metrics. As mentioned previously, seasonality plays a significant role in our operations, with Q2 being our weakest quarter due to the monsoon and Shradh period. Despite these challenges, we achieved good revenue and profit growth. Sales in Q2 remained modest due to heavy rainfall and flooding in most parts of northern Bihar and UP, followed by a Shradh period, leading to a blended year -on-year revenue growth of 20.03% in Q2 FY25. We opened 6 new stores during this quarter, 1 in Bihar, 2 in Jharkhand and 3 in Uttar Pradesh, bringing our total store count to 156.

We added 11 stores in H1 FY25 and in line with our guidance, we are in the process of opening another 15 to 18 stores in H2 FY25. As of date, 18 stores are in the work -in-process, which hopefully should be functional by January -February 25. As of September 30, 2024 , our inventory stood at INR439 crores. Our inventory is on the higher side due to pre-stocking for the festive season, which were most part of the festivities, including Durga Puja, Dussehra , Dhanteras and Diwali, fell in a single month of October and hence urgent quarter -end stocking was required.

The finance cost during the quarter includes interest cost of INR4.68 crores as leased liability interest owing to application of IND AS 116 . As announced in our last earnings call. We are happy to inform you that we have completed stock split in 10 :1 ratio. Consequently, with paid -up value of shares of INR10 each has been split into 10 shares of

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INR1 each and also, our shares have now been listed on NSE for Trading as well as giving investors more liquidity and trading options. In line with our strategy, we have established our presence in most part of Eastern UP and are now poised to expand into Central UP in H2 FY25.

Our focus remains on expanding our retail footprints through fortification of existing locations and exploring new markets. We will continue to identify and enter new markets in Hindi Heartland that offers huge growth potential. We are on track to add 25 -30 stores in current financial year and target to reach around 200 stores by FY26.

I will now hand over the floor to Ms. Yosham Vardhan to provide an overview of the financial highlights for the quarter and half year ended. Over to you, Yosham.

Yosham Vardhan: Thank you, sir. Good evening, ladies and gentlemen. We are delighted to showcase the strong financial performance

of Q2 FY25 and H1 FY25. Here's a snapshot of our financial outcomes. During H1 FY25, our revenue increased by 32.51% from INR954.40 crores in H1 FY24 to INR1,264.60 crores in H1 FY25 driven by expansion and strong SSG. Gross Margin stood at 15.28% and EBITDA stood at INR9.11 amounting to INR115.2 crores. PAT grew by 38.77% from INR47.05 crores in H1 FY24 to INR65.29 crores in H1 FY25. SSSG in H1 FY25 stood at 17%.

In H1 FY25, Bihar contributed the most to our revenues with 82% followed by Jharkhand and UP contributing 11% and 7% respectively. In Q2 FY25, our revenue recorded a YoY increase of 20.03% reaching INR375.85 crores in Q2 FY25 from INR313.13 crores in Q2 FY24. Our Gross Margin stood at 15.42% driven by optimal product mix. EBITDA for this quarter stood at INR30.06 crores against INR23.06 crores in Q2 FY24 and EBITDA margins for this quarter stood at 8% as compared to 7.36% in Q2 FY24. The Profit Before Tax for this quarter stood at INR15.98 crores up 29.71% from INR12.32 crores in Q2 FY24 and the Profit After Tax for the quarter stood at INR12.21 crores up by 26.79% from INR9.63 crores in Q2 FY24. We can now open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Devanshu Bansal from Emkay Global Financial Services.

Please go ahead.

Devanshu Bansal: Hi sir, good evening. Thanks for taking my question and congratulations on a good H1 performance. Sir, you mentioned that Q2 is a seasonally weaker quarter and there was a good amount of festivals in Q3 till date. So, any outlook that you can provide as in how have been the trends in Q3 till date? Maybe like to like festive comparison for 30 days between Navratri and Diwali?

Yashovardhan Sinha: It has been good. We have done good in this period.

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Devanshu Bansal: And qualitatively, growth is in like better than Q2? Has it improved? If you don't want to sort of provide some quantitative, qualitatively if you could sort of suggest?

Yashovardhan Sinha: That won't be proper but we have done well.

Devanshu Bansal: Understood sir. And this time around specifically for Q3, wedding dates etc. are relatively higher versus last year. So, are you optimistic of a continuation of this strong trend in the rest of Q3 as well?

Yashovardhan Sinha: Definitely, because most of the weddings are lined up in this quarter itself. So, we are definitely very much hopeful that this quarter is going to be very strong.

Devanshu Bansal: Understood sir. Second question is specific to some of the industry trends. There are players like higher Voltas sort of doing much better versus the Korean heavyweights. So, what does this actually mean for players like us in terms of average selling price, margin negotiation etc.? So, if you could just throw some comments on this please.

Yashovardhan Sinha: When you have got very good and high competition, you can derive better margins. That's for sure. And it's good that many companies have established themselves in this market.

Devanshu Bansal: Understood. And is this the reason for flat ASP also? Because I guess the Korean heavyweights may be at higher ASP and since the other competition is gaining ground. So, is this sort of leading to a flattish kind of ASP for us in H1? Is this the right way to look at it?

Yashovardhan Sinha: I won't put it like this. But the decline in ASP is because of, in fact, drop in prices. And prices have dropped this time. Like ASP has gone down due to decrease in most of the categories, especially AC, refrigerator, washers. It has gone down by 2%. Mobiles and laptops, it has gone down by 3%. And even, as you must be aware, even brands like Apple, they have come with new launch, Apple 16, which is 10,000 cheaper than launch of Apple 15 Pro Max. So, we are not having any effect of it

nfl ation on our revenue growth in H1
FY24 .

Devanshu Bansal: Understood. Sir, one last question from my end. This is not specific to the consumer durables industry. But from automobiles perspective, at least the area of operations that we operate in, there is a general commentary that the NBFC financing is sort of reducing in those areas. Because the loan to values etc. were relatively higher and there are some levels of defaults that have happened. So, are you seeing some challenge in the consumer durables space as well , in terms of financing?

Yashovardhan Sinha: In fact, they have become more aggressive, I will say, for consumer durables. More competition has also come in. And I think, just opposite to what you are saying, for

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automobile industry, consumer durables are very good. And they are very aggressive, these consumer finance companies.

Devanshu Bansal: Fair enough, sir. Thanks for taking my questions. I will come back in the queue for follow - ups.

Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL Securities Ltd . Please go ahead.

Percy Panthaki: Hi, sir. Couple of questions on the accounting front. So, one is, on a Y oY basis, your number of stores have increased by about 20 %-25%. But your depreciation for the quarter YoY increased by more than 50%. So, what is the reason for that? That's question one.

Second question is that, if I look at your capex for the first half and divide that by the number of stores that you have opened up, it comes to about INR1.2 crores per store, which is like double of what we typically do . We typically do about INR60 lakhs per store. So, these two questions, if we can just throw some light on, please.

Yashovardhan Sinha: Depreciation, I don't think it has gone up by 50%. It is only because of application of wind, air, amortization. So, this is the reason, whatever is the depreciation, has increased. And what was your second question? You asked that per store, you are dividing our capex to the stores, right? But we are not factoring in that, we are at the same time, we are renovating our stores as well. You are aware that we are a 25 years old company. So, more and more stores are being renovated as well as we are opening new stores. You strictly cannot divide my capex with store count.

Percy Panthaki: Got it, got it. On the first part, on the depreciation, I understand it is the IND AS effect . But the IND AS effect will also be sort of in line with the growth in the square feet or the growth in the stores, right? So, if that is like 25%, why is the depreciation including the IND AS number going up by 50%? We can take this offline also in case you don't have the...

Yashovardhan Sinha: But our increase in store is 26 Y oY. Right. So, why it will not go up? Our rent expenses will come in amortization and depreciation. Our capex has also gone up. So, I think it has been calculated by experts.

Percy Panthaki: Okay. Got it, sir. Secondly, just wanted to understand in terms of margins, we have done somewhere around 9.1 %-9.2% margin for the first half of the year. Should we take increase in the second half given that it's a festive season and we would get some operating leverage or even the gross margin might be better? What are your thoughts on that, sir?

Yashovardhan Sinha: It all depends on how the market behaves from now onwards. Because as you are also

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telling us, we are also guiding that especially this marriage season is lined up in this quarter. It all depends on how it behaves. Right now, it will be premature to tell me anything or give any guidance for that.

Percy Panthaki: Okay, sir. That's all from me. Thanks, and all the best.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities Limit

ed. Please go ahead.

Aniruddha Joshi: Yes, thanks for the opportunity and congrats for a really great set of numbers. Sir, the question is one of the durable companies has also posted such strong growth rates. And in fact, in general, in consumption, we are hearing in a way commentary from the companies , that there is a massive slowdown. So, have we materially gained market share during the quarter from the other retail companies or how should we read about the numbers? And that is question number one.

And question number two, at least in the western market s, we are seeing various companies including Apple or other laptop companies, etc. They are setting up their own stores also. So, do you see that kind of a trade happening in the eastern part of India? And what will

be our strategy in that case?

Yashovardhan Sinha: Sir, for your question number one, actually, you said that there is a slowdown. Yes, there is a slowdown definitely. Because had that slowdown not been there, we would have grown by 30 %-35%. I'll put it like this. So, we are doing extremely well in whatever slowdown has come. And slowdown is there, of course. But we have been trying not to lose our market.

And second, when you say that any brand store will come, actually, brand store, I think in the geography where we are operating, it will be the last thing that these brand stores are going to come. In our discussion with them, they say that they will be present only in metros, big cities, not small cities. Like Apple store or anything, whatever you are thinking about. So, we will be totally insulated in this part of geography of India.

Aniruddha Joshi: Okay. Sure, sir. Understood. And lastly, third question. We are also seeing that there is an online component also growing. For example, one of the gears like, let's say, Croma is also presenting in a way online sales also. So, I guess regarding our policies to get into that market. Or in a way, we are seeing quick commerce. At least in products like kitchen appliances, we have seen quick commerce is doing very well in a city like Mumbai also. So, obviously, it may not be now, but in a period of, let's say, 1 year-2 years, it may spread to the cities in eastern India also. So, what will be our strategy in that case? Or whether Aditya Vision has any plans to get into online business model too?

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Yashovardhan Sinha: Not at the moment. Aditya Vision is not thinking about having online market as a whole. But as far as Croma, as you said, we don't quote any brands. But as far as other competitors are concerned, who are present online also, we don't think that we have been saying all the time that in this part of India, people prefer seeing goods and feeling it. And it is like a family affair going to a store and buying. In fact, it is not going to impact us. And actually, it's not that these big brands are not present in the areas where we are operating, they are. But because of our strategy, we have been able to give continuous growth.

Aniruddha Joshi: Okay. Sure, sir. Understood. Very helpful. Thank you.

Moderator: Thank you. The next question is from the line of Manoj Gori from Equirus Capital. Please go ahead.

Manoj Gori: Yes. Hi. Good evening, everyone. Thanks for the opportunity. I have one question. So, like you just highlighted, sir, that there has been some slowdown. But obviously, because we have been taking number of efforts and initiatives in terms of store openings and various other things, we have been relatively doing better versus the industry. Now, obviously, even you highlighted on Q3 that festive season and also the marriage season seems encouraging.

But from a medium-term point of view, when we say that this year monsoons have been good, obviously, we just want to understand that what's the seasonality part with regards to good monsoons leading to

higher incomes for farmers? What kind of seasonality have

we seen in the past? Because obviously, you are in this market for more than 25 years. So, just want to understand because that can accelerate our growth even like more on an SSG point of view, from a medium to long-term point of view.

Yashovardhan Sinha: Manoj, it is our good fortune that monsoons have been very good in last so many years in this part also. And as a whole in most of the part of India. So, monsoons, of course, they play a big role because, as you know, mostly we are present in Tier 2, Tier 3 and even Tier 4 cities, towns. So, we definitely believe that we are going to do very well in future. And these totally unpenetrated areas are going to give us very good results going forward.

Manoj Gori: Right. So secondly, one last question on the profitability or probably on the performance of stores in UP. Internally, obviously, we would have some expectations how the stores would be operating. How that is panning out versus our expectation and probably has there been renewed or increased confidence behind store aggression into those markets? That would be helpful.

Yashovardhan Sinha: Yes, we are very much bullish on UP operations. Our UP operations are doing very well.

And in fact, we are already present in around 15 districts out of 75 districts. And most of our 18 stores where work is in progress, most of the stores are from UP itself. Like we are

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now capturing entire central UP as well. Lucknow being first where we are going to open 6 stores at one time. And then, Bahraich and other, Gonda, these districts we are covering. So, in fact, by end of this financial year, we will be covering entire central UP as well. So,

we are doing very well and we are very bullish also. And there is a lot of potential in UP, which we think that we are getting good response.

Manoj Gori: Thanks, sir. That was very helpful and wish you all the best.

Moderator: Thank you. The next question is from the line of Richa from Equity Master Research. Please go ahead.

Richa: Thank you for the opportunity, sir. Sir, my question is, I just wanted to ask, what was the ESOP related expense in the first half of the year? And what does the trajectory look like this year and next?

Yashovardhan Sinha: ESOP related expenses was 2 years YoY, in Q2 FY24. Whereas, ESOP expense is only around INR50 lakhs in this quarter.

Richa: And how do you see it for the entire year and FY26?

Yashovardhan Sinha: So, it will, of course, be divided in the quarter. So, it will be INR50 lakhs to INR60 lakhs each quarter.

Richa: Okay. And, sir, what is your outlook on ASPs considering that, you know, the premiumization trend is there, but, you know, new categories perhaps you are adding. So, what kind of product mix do you envisage and at what rate our ASPs can grow, if at all?

Yashovardhan Sinha: I have already spoken on ASPs that because most of the prices have come down, most of the categories, their prices have come down. So, our ASP has dipped by 1.3%. But we are very much hopeful that the new premium product is going to have better ASP going forward. So, definitely, we are continuously trying to increase our ASP.

Richa: Okay. And, sir, we are, I think, already number one in Jharkhand, right? Just wanted to understand what kind of market shares have we captured in the new geography, in the states of Jharkhand and Bihar so far?

Yashovardhan Sinha: Bihar, we have already, as per manufacturers, we have already captured around 60% of markets. And in Jharkhand, in only 2 years of operation, we have captured nearly 15%.

Richa: Okay. I'll come back in the queue.

Moderator: Thank you. The next question is from the line of Amit Jeswani from Stallion Asset. Please go ahead.

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Amit Jeswani: Sinhaji, decen

t set, given the consumer slowdown. If the consumer is fine, then would you say that 30% kind of growth would be a structural growth in our business, if you keep opening 20% stores, Sinhaji? Because it looks like our 20% store growth will continue every year. That is the new normal, I think.

Yashovardhan Sinha: So, Amit, you are absolutely right. We are looking forward to such type of growth. In fact, we have been doing in past 10 years to 15 years. So, we will look forward to growth of 30%, 35% continuously. And we hope that we are going to achieve it as well.

Amit Jeswani: Because, sir, I see, Sinhaji, that our SSG is now the highest in the retail pack, if you see. I mean, even in bad consumer sentiment, if we can do 15%, 17% SSG in the first half, that means that is a normal thing for us, that 15%, 17%. Do you think, Sinhaji, this kind of SSG is sustainable?

Yashovardhan Sinha: Amit, I can explain it to you like this. What we are saying again and again. Earlier, in the earnings call, we said that we are operating in a very under-penetrated market. That is why SSG will remain high. Because it is not that we are in a very crowded market, where the demand is already exhausted. So, demand will continue to come here. This is the reason our SSG is very good. And we think that going forward, our SSG will remain like this.

Amit Jeswani: Got it. And Sinhaji, how many stores are you opening in UP out of 18?

Yashovardhan Sinha: Out of 18, we don't have an exact number. Out of 18, 10 stores are in UP.

Amit Jeswani: And the square feet, the revenue per square feet, Sinhaji, like it is our first year in UP. But the revenue per square feet, like we are doing 45,000 on the overall Aditya Vision level. In UP, have we been able to reach that kind of 30,000, 20,000? Like we have 6 crores, 12 crores, 18 crores. Year 1, 6 crores.

Yashovardhan Sinha: So, we are bang on, on whatever our guidance is. And in fact, we are exceeding those numbers. So, it will be good. And I think you will get that in the investor presentation, the range for UP.

Amit Jeswani: Right. And the 6 stores that we are opening in Lucknow, do you think we were in the blue ocean market till now and now we are in red? How is the competitive scenario like in UP that we are facing?

Yashovardhan Sinha: Because I will always tell you, Amit, that that is the same ocean where we were operating. It is about our thinking that it is a red ocean and this is a blue ocean. I will say, everything is similar to Bihar.

Amit Jeswani: Right. Because I am seeing Varanasi and all this, you have done very well, which our data

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tells. Now, it's about the market and the rentals will change, right , in Lucknow and all these kinds of things. But revenues will also change .

Yashovardhan Sinha: Rentals are definitely slightly higher in Lucknow as it is the capital of course. And it's a very big, huge city also. And the population is also very big. So, market is also, I think, quite large. And again, penetration level is low even in UP and even in Lucknow also compared to the population. So, I think we are opening 6 stores only with this expectation that we must be known immediately, quickly. And our strategy slightly shifted as I can tell you that we are opening more stores in H2. And this is as per our strategy only. Because when we open more stores in H1, we are adding opex with no great addition in revenue and footfall remains low in Q2. But if we open more stores in H2, all branches opened will be ready to enter into Q1, which remains our best quarter and with best busiest footprints as well. So, not only our new customers will come to know about us very quickly, but also our new branches will start breaking even more quickly due to this shift in policy. But anyway, we are not saying that we can try to push opening ahead. But we will keep opening st

ores as per opportunity in H1 also.

Amit Jeswani: Got it. So, now basically going forward, we will open more stores in H2 and less in H1.

Yashovardhan Sinha: Yes, and I have shared its strategic reason.

Amit Jeswani: Very clear. One more thing, Mr. Sinha. So, 18 stores you said will be opened by January. Will more stores open after that or will they stop at 18 , this year?

Yashovardhan Sinha: No, they will not stop anywhere. But you always exceed my expectations. So, yes, by January, February, these are already work in progress. So, maybe we will be opening more stores also. But right now, this is the situation. And these stores will be functional by latest by February. But our strategy of continuously opening may exceed whatever I have been saying.

Amit Jeswani: Got it. Good luck, Mr. Sinha. I feel good and happy when I listen to you. Good luck to you also.

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investments. Please go ahead.

Vivek Gautam: Congratulations, sir, for good performance in a n otherwise slow quarter . And seeing the competition for us, the competition companies, we have our performance really good, sir. Sir, my question is about the penetration level in India. I was reading somewhere that the penetration level of ACs, especially in compressors and related products is hardly 7% in India versus 62% for China. And then, thanks to this, even in our geography, it might be Aditya Vision Limited

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even lower.

And what about this? So, our potential to grow, I just wanted to have an idea. And how are you finding the situation on the ground level from the cooler to AC movement? Thanks to the financing and other things, are people really in the lower class, even lower middle class, they are all opting for ACs?

Yashovardhan Sinha: I will not say exactly , more and more people are from cooler, they are shifting to ACs. Because cooler has got a different category altogether. But it is true that because of easy financing, the marginal people who decide between cooler and AC, they go for AC. So, this market is bound to increase manifold. And as you said, that penetration level is extremely low, around 2% in this side. So, plenty of potential is there.

Vivek Gautam: I would also like to congratulate you on establishing Aditya Vision as a big brand. And I believe now the different OEMs must be having a fight amongst themselves to have a better display and relationship with Aditya Vision. So, the effort which you have put in, how is it acting as a differentiating factor for us, even in Bihar and especially in the new geographies like Jharkhand and UP, the Aditya Vision as a brand?

Yashovardhan Sinha: Your previous, whatever you have been doing, actually manufacturers are very important in this format of retailing. So, manufacturers, they keep on supporting you. And because of your long history, like your company, Aditya Vision is 25 years old. So, they have been having this relationship for 25 years. So, they know our potential. They understand how we work. They understand how we can achieve results. So, they are very much in line with whatever we do.

Vivek Gautam: Also, congratulations on the NSE listing. You are walking the talk. And as such, many of our pledging and other facilities are also available . So far, many of the brokerages and other people don't provide loan against our shares. So, it's pretty simple. Congratulations once again, sir. Keep up the good work, sir.

Yashovardhan Sinha: This is always our endeavour; we try to give more and more and create more and more investor's value.

Vivek Gautam: Yes, sir. Absolutely. Fantastic, sir. I've been tracking your company since semi-listing. And the journey you have created is fantastic for the whole host of your investors. And especially the employees also. It's really remarkable. The first big succe

ss story from Bihar

and employees are also getting the ESOP, sir. Thanks a lot.

Yashovardhan Sinha: Thank you, Vivek. Thank you so much for your good comments.

Moderator: Thank you. The next follow-up question is from the line of Devanshu Bansal from Emkay

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Global Financial Services. Please go ahead.

Devanshu Bansal: Yes, sir. Hi. Thanks for the follow-up opportunity. Few bookkeeping questions, sir. In Q2, what is our SSG? H1, we have declared. We know the Q1 number. What is the SSG for Q2 specifically?

Yashovardhan Sinha: SSG for Q2, you are asking, isn't it? SSG for Q1 or Q2?

Devanshu Bansal: Q2.

Yashovardhan Sinha: Q2 has been 10%. And for half year, H1 FY25, it has been 17%.

Devanshu Bansal: Yes, sir. Yes. And secondly, I wanted to check, AC specifically as a category has done very well. You shared 56% growth for ACs in Q1. How has been the trend in Q2, sir?

Yashovardhan Sinha: It has been very good. In fact, a similar trend has been observed in Q2 also.

Devanshu Bansal: Understood, sir. And last question from my end. We are planning to add quite a few number of stores as well as March ending typically sees an increase in inventory due to seasonal fluctuations. Do you foresee increase in debt? And what are your expectations on closing debt levels by year end?

Yashovardhan Sinha: Actually, as you will find that we are clearly, still we are net debt free sitting on this inventory also. These are cash resources. We are still net debt free company. Even on this size of inventory. So, we don't foresee any unrealistic use of working capital.

Devanshu Bansal: Okay. So, if I understood, my question was more from FY25 ending debt level.

Yashovardhan Sinha: Yes, FY25 March. I can understand that you are asking and that time we will be having requirement of more and more inventory. So, you are asking about the short-term debt. So, it will be of use actually, most of our working capital limits are still intact. If at all we are going to require any additional funds, we are going to use it.

Devanshu Bansal: Understood. Thanks for taking my questions.

Moderator: Thank you. The next question is from the line of Sakhi Pratap from Pratap Securities. Please go ahead.

Sakhi Pratap: Hello. Hi. Thank you for the opportunity. Sir, I just wanted to understand the inter-segmental performance. So, basically amongst all the consumer durable products, if you could just highlight in detail how air conditioners performed, washing machines, refrigerators and other digital devices. If you could just go into the depth, how was Q2 for all these different devices, that would be very helpful.

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Yashovardhan Sinha: I will tell you. Large appliances contributed to around H1 FY25. Or you just want to know this.

Sakhi Pratap: In Q2.

Yashovardhan Sinha: In Q2. Right now, I am having figures for category contribution for entire H1. So, large appliances have contributed 65%. Digital gadgets came down by 2% to 18% due to decrease in prices of mobile and laptop. And extended summer persuaded people to delay their purchases of mobile and other products. And other 17% rise of 2% against last year due to rise in sale of seasonal products such as coolers, batteries, inverters, etc. So, H1 FY24, LY was almost same. Large appliances 65%, digital gadgets were 20% compared to 18% this year. And others were 17% and 15% last year.

Sakhi Pratap: Got it. This was helpful. But, if we just put aside the numbers, if you could qualitatively explain, how did the quarter look like? Like, on a general level, did you see more air conditioners flowing out? Or, because it was monsoons, more cooktops and soundbars did well? Did washing machines?

Yashovardhan Sinha: ACs have continued to do well. And, followed by refrigerators and washers. And washers wer

e a very good category.

Sakhi Pratap: Sorry, ACs continued to do well, followed by?

Yashovardhan Sinha: Followed by refrigerators. And televisions and followed by lastly washers.

Sakhi Pratap : Any other trend that you observed around the inter-segmental products?

Yashovardhan Sinha: One very good trend which we are observing is that, sale of ACs is very steadily, steadily spreading to the entire financial year. Which previously, it was very much concentrated in Q1. Now, we are seeing that it is spreading to entire financial year. This is the trend we are observing.

Sakhi Pratap : Okay. Got it. Thank you so much, sir. And congratulations on the great set of numbers.

Moderator: Thank you. Ladies and gentlemen, we will take this. We will take our next question from the line of Lakshmi Narayan Mishra from Baroda BNP Paribas. Please go ahead.

Lakshmi Narayan Mishra: Congratulations, sir, on good set of numbers. Sir, I have one question. If you see, last 2 -3 years, there have been very good credit cycle period in terms of asset quality. And because of that, we saw aggressive lending by NBFC, Fintechs , and banks , for that matter, in under - served banking or credit areas, which typically was rural or Tier 2- Tier 3 cities. So now, given that RBI has pressed the button on retail loans or credit cards due to the stress which

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is building there, are you seeing any sales getting rejected because of credit not being available? Any insights on that which you are seeing on ground?

Yashovardhan Sinha: Mr. Lakshmi, actually, there is no impact here in this part of the country, I mean, where we are operating, the areas in which we are operating. So, in fact, they have become very aggressive, these NBFCs or retail financiers. And many players have also come in. In fact, a new player, TVS, they have gotten. So, they are all, in fact, eying for market. And I don't think that there is any problem in their lending or credit is any problem.

Lakshmi Narayan Mishra: Okay. So, this quarter was bad purely due to demand situation. So, no issues on credit side. So, credit is still available. This is what you are saying.

Yashovardhan Sinha: Our quarter was not bad. We gave 20% growth. But anyway, yes.

Lakshmi Narayan Mishra: Based on our standards. So, I am not comparing.

Yashovardhan Sinha: I am really happy. But yes, of course, we would be striving to do much better. Yes.

Lakshmi Narayan Mishra: Okay. All the best. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take these as the last question . I now hand the conference over to the management for closing comments.

Yashovardhan Sinha: Okay. Thank you. We trust that we have addressed all your inquiries to your satisfaction.

If you have any remaining unanswered questions, please do not hesitate to contact our investor relation agency , Go India Advisor s. They will be more than happy to assist you further. Thank you so much. Take care. Bye -bye.

Moderator: Thank you. On behalf of I IFL Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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February 06, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra Kurla Complex, Bandra (East)
Mumbai -400001 Mumbai - 400051

Scrip Code: 540205 Symbol -AVL

Sub: Transcript of Analysts/Investors Call pertaining to the Unaudited Financial Results for the quarter ended December 31, 2024

Dear Sir(s)

Further to our letter dated January 24, 2025 , please find attached herewith a copy of the transcript of the Analysts/Investors Call on the Unaudited Financial Results of the Company "Aditya Vision Limited " for the quarter ended December 31 , 2024 held on Thursday, January 30, 2025.

The same is also being made available on the Company's website at: www.adityavision.in.

This is for your information and record.

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

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"Aditya Vision Limited
Q3 FY '25 Earnings Conference Call "
January 30 , 2025

MANAGEMENT : MR. YASHOVARDHAN SINHA –CHAIRMAN AND
MANAGING DIRECTOR – ADITYA VISION LIMITED
MS. YOSHA M VARDHAN – WHOLE TIME DIRECTOR –
ADITYA VISION LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL SECURITIES LTD

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Aditya Vision Limited hosted by IIFL Securities Limited. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Securities Limited. Thank you, and over to you.

Percy Panthaki : Good afternoon, everyone. It's our pleasure to host the management of Aditya Vision Limited. With me, I have Mr. Yashovardhan Sinha, Chairman and Managing Director; and Ms. Yosham Vardhan , Whole Time Director. To take you through the results, I will hand over now to the management. Over to you, sir.

Yashovardhan Sinha : Thank you, Percy. Good afternoon, ladies and gentlemen. And welcome to our earnings conference call for Q3 and 9 months for FY '25. Today, we will be discussing our company's financial performance and a strategic decision. Our investor presentation is available on the exchange, and we trust you have had an opportunity to review it.

We are happy to report a strong performance in the first 9 months of FY '25 with consistent results across all key financial metrics. For the first 9 months of FY '25, our revenues grew from INR1,367 crores in 9 months FY '24, to INR1,773 crores, an increase of 30%, and our PAT grew from INR69.22 crores in 9 months FY '24 , to INR89.51 crores, an increase of 29%.

In 9 months FY '25, we have already surpassed the entire revenue in PAT of FY '24. While EBITDA and PAT margins have remained stable due to our deliberate focus on scaling the business, we continue to remain committed to driving operational efficiencies and sustaining long -term growth.

We have reported a good performance in third quarter as well despite overall subdued consumption and sluggish demand. Our revenues grew from INR413 crores in Q3 FY '24 to INR508 crores in Q3 FY '25, reflecting a growth of 23%. Our EBITDA margin stood at 9.16% for the quarter. Profit after tax grew by 9.25% year -on-year to INR24.22 crores.

We successfully opened 5 stores in Q3 FY '25, taking our store count to 161 by end of Q3 FY '25. We are on track to scale up our business and open stores strategically. As on date, we have 167 operational stores. We are now present with 29 stores in 18 districts of UP out of total 75 districts.

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This financial year, we have started expanding our operations in UP beyond Purvanchal , eastern UP. And now I have around 8 stores operational in central UP, including 4 stores operational in the state capital Lucknow. In Purvanchal, Eastern UP, we have established a strong presence in key cities such as Varanasi, Prayagraj and Gorakhpur .

In this financial FY '25 we have already opened 22 stores and surpassing our guidance , we are on track to open 8 to 10 additional stores by the end of financial year '25.

We have made significant progress in Jharkhand and Uttar Pradesh , which is reflected in the increasing revenue contribution coming from these regions in Q3 FY '25. In Q3 FY

'25, Bihar was the largest contributor to our revenue at 79%, followed by Jharkhand at 13% and Uttar Pradesh at 9%. In 9 months FY '24, Bihar 's contribution stands at 81%, followed by Jharkhand and UP at 11% and 8%, respectively.

Our focus remains on expanding our retail footprint by strengthening existing locations and entering new markets in Hindi Heartland, which represents substantial growth potential.

We are confident to surpass the target of 200 stores by FY '26.

The same -store sales growth for 9 months FY '25 stands

at impressive 15%.

Finally, I would like to emphasize that we continue to invest in future growth as long -term tailwinds are very strong in consumer durable industry as well as geograph ies where we have chosen to operate. We remain confident in our future and our ability to set new industry standards and records.

I will now hand over the floor to Mrs. Yosham Vardhan to provide an overview of the financial highlights for this quarter. Over to you, Yosham.

Yosham Vardhan : Thank you, sir. Good afternoon, ladies and gentlemen. We are pleased to present the robust financial performance of Q3 FY '25 and 9 months FY '25. Here is a summary of our financial achievements.

In 9 months FY '25, revenues surged by 30% from INR1,367.62 crores in 9 months FY '24 to INR1,773.08 crores in 9 months FY '25. Gross margins were maintained at 15.37% with EBITDA reaching INR161.75 crores. EBITDA margin stood strong at 9.12% during the period. PAT grew by 29%, rising from INR69.22 crores in 9 months FY '24 to INR89.51 crores in 9-month FY '25. SSSG for 9 months FY '25 stood impressive at 15%.

In Q3 FY '25, revenue saw a Y -o-Y increase of 23%, reaching INR508.45 crores compared to INR413.26 crores in Q3 FY '24 , driven by operational expansion and strong same -store sales growth. Gross margin s stood at 15.58%. EBITDA for quarter was INR46.5 crores with EBITDA margin at 9.16%. PBT for the quarter stood at INR31.20 crores, and PAT

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grew by 9.25% year -on-year to INR24.22 crores. Our store count stood at 161 as on 31st December and 167 stores as on date.

We can now open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Devanshu Bansal from Emkay Global Financial Services.

Please go ahead.

Devanshu Bansal : Thanks for taking my question. Sir, our Q3 performance is strong given that the industry growth in terms of volumes for large appliances, has modulated sharply to single digits now, right, after a strong H1. In your assessment, sir, what are the key reasons for this moderation? And what are the key figures also that you are watching, which should catalyze the demand again in the industry?

Yashovardhan Sinha : In my opinion, in fact, there has been a sluggish demand. This is only because of the macroeconomic in nature. In the sense with high inflation and high interest, this is the main factor. And I think in coming months, I think it is going to ease off.

Devanshu Bansal : Understood. And some other peers are also indicating tighter liquidity as a reason. So, is that still not a challenge for us? Or how should we see that?

Yashovardhan Sinha : Our liquidity is not a challenge for us, absolutely not.

Devanshu Bansal : Understood . Second, sir, I wanted to understand what is the revenue salience of Korean majors for us vis -a-vis non-Korean brands in our business. So, if you could just help me understand that.

Yashovardhan Sinha : They are maintaining their level of share of the store. In fact, it is stable.

Devanshu Bansal : Okay. So, PAN India, I guess there is some moderation in the market share. So, is that not visible in our area of operations ?

Yashovardhan Sinha : No. It's not that visible. I will say that it is steady.

Devanshu Bansal : Understood. And just if you could also highlight other leading brands apart from Korean majors across AC, refrigerat or and washing machine categories for us. Just 1 or 2 top brands for us across the other ...

Yashovardhan Sinha : Of course, Whirlpool is there and Godrej is there.

Devanshu Bansal : Whirlpool and Godrej will be in the

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Yashovardhan Sinha : Haier is also there very much. Now the IF B is also catching up.

Devanshu Bansal : Understood. Okay. Sir, last question from my end. I wanted to understand the

reason for

drop in gross margin this quarter. So, is it like higher discounting in the wake of being weak demand environment? Or it is something related to the revenue mix for the quarter?

Yashovardhan Sinha : I will put in them that it was the sluggish demand, which brought it down a little bit. And the reason was also because every entire festive season was in the single month of October.

And after that, the market became very sluggish . Even in festive season was quite good but then after that, after October , market was very sluggish. So of course, when all of a sudden you are with stock and market becomes flat , then gross margin will come down by a few bps.

Devanshu Bansal : Understood. Just a continuation to this. So typically, Q4 is an inventory buildup quarter for us, right, sir ? So, what kind of growth are we projecting for the upcoming season? So Q1 typically like 35% of our mix, and we typically prepare towards Q4 build up inventory in Q4. So, what are your initial thoughts around expected demand in the upcoming season?

Yashovardhan Sinha : We are very bullish on this aspect Devanshu. In fact, we have already started building up our inventory because, as you know, approaching the summer, of course, it becomes very difficult for you to build on the inventories for air condition, refrigerators and other cooling products. So, we have already started building on inventories and it will be our constant impact exercise up to going through March.

Devanshu Bansal : Understood. So that interest expense that typically

Moderator: The line of speaker has been disconnected. We will move to the next question, which is from the line of Chirag from HDFC Mutual Fund. Please go ahead.

Chirag: Sir, just a few questions. One is this quarter, what was SSG?

Yashovardhan Sinha : SSG in this quarter was 13%.

Chirag: All right. Sir, second question was , you mentioned that while demand has been sluggish, you are hoping for a recovery and you are also entering the next season with some optimism. So, if you could sort of highlight the reasons behind that, what gives you this optimism considering that post festive , demand has been sluggish ?

Yashovardhan Sinha : Because, in fact, our presence in the entire heat prone area is now quite a lot . In the sense that we are now present in -- we have got 25 stores in 17 districts in UP, which is always typically has a very harsh summer. And the second , the biggest thing is that even we cannot discount the fact or of Kumbh mela , which will bring a lot of crores and crores of money

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to UP. And UP and now even Varanasi is also flooded with tourists, Ayodhya is flooded with tourists, we all..everybody knows. So, the entire money, we are expecting that with this summer, it will be a very, very good Q1 for our company .

Chirag: Sure. And have you seen any recovery in the first part of this quarter, which means in January, have you seen any kind of improvement? Or does it continue to be ...

Yashovardhan Sinha : Generally , it has been flat flattish. So, it has been flattish. Of course, we are in growth, but I'll say, I'll put it as flattish only. But we are expecting growth in coming February to March.

Chirag: Thank you so much.

Moderator: Thank you. The next question is from the line of Manoj Gori from Equirus Capital. Please go ahead.

Manoj Gori : Thanks for the opportunity, sir. Sir my question here is on the gross margin. So, if you look at gross margins contracted by 96 basis points. So, was it that we offered higher promotional schemes and offers to the consumer and probably versus one -off? Or should we expect that to continue in the coming quarters as well, given that there has been sluggish demand environment ? So, any read on this and probably any outlook on the gross margins for the coming quarters?

Yashovardhan Sinha : As I told you earlier that gr

oss margin has come down due to sluggish demand and the other macroeconomic challenges faced by -- and as I told you that after festive season market became very sluggish. So, this is the reason for the contraction of gross margins.

But we expect that we are going to again maintain this gross margin in coming quarters.

Manoj Gori : Okay. So, from fourth quarter onwards, one should largely expect stable gross margins from YoY basis? Is that understanding, correct?

Yashovardhan Sinha : I may say so. At the moment, we are just in the very first month of the quarter. So, any projection will not be right. But we do expect.

Manoj Gori : Yes. And sir, lastly, if we look at recently, there has been a lot of noise on the supply challenges for the room AC brands. Whatever you are planning to stop for the upcoming summer season. Are there any uncertainties or probably whatever stock you desire or you would have budgeted for? Is there easy availability on the stocking side?

Yashovardhan Sinha : I'll say that this is for the first come first serve basis only. And so, all manufacturers are aware what was our contribution to the sales. So actually, what I've already told that we

happens is that when you will start building your inventory early, then you get the desired type of models and in fact, your desired inventories.

Manoj Gori : Correct sir, thanks and all the best.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICIC I Securities. Please go ahead.

Aniruddha Joshi : Sir, the question on the store count because we are already have reached to 167. So where do you see the count reaching at the end of FY '25 and at the end of FY '26 also?

Yashovardhan Sinha : We will be, in fact, stated in my statement that we'll be definitely crossing 200 stores by the next financial year. And this financial year, we are hoping to add another 8 stores.

Aniruddha Joshi : Okay. And all the stores will be in UP. That's right?

Yashovardhan Sinha : Not all. There are a few in Bihar also in such district s where we are getting very good response, we are trying to open another store there. Previously, we were a single store company showroom in that district. So, a few will be there, mostly it's, of course , UP is the story .

Aniruddha Joshi : Okay. Sure, sir, understood. And overall, if you can indicate the SSG in volumes also, is there a change in revenue mix as well because the gross margin has contracted. So, is there any change in revenue mix towards the low end of the product portfolio?

Yashovardhan Sinha : Yes. That has been because whenever there is a sluggish demand then the IT and mobility, they have their share of counters will get bigger.

Aniruddha Joshi : Sure, sir. That's helpful. Thank you.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: In terms of the numbers from the company , just wanted to understand , are we taking our store count to 180 store s by end of FY '25 or 175? Just wanted the numbers.

Yashovardhan Sinha : 175 will be a definite possibility. And we are trying, in fact, so many stores are going under work in progress. So, 175, we are definitely going to achieve, and we are trying to, in fact, open more stores even more than 175 stores.

Arpit Shah: Just given the Kumbh mela going on in UP, and we have a large -- decently large presence in UP, do you think you will be able to turn around the seasonality in the business? Whereas

Q4 this year could be possibly higher than Q3 given the Kumbh mela and what kind of

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income that is going to bring to the population?

Yashovardhan Sinha : It can, in fact, we are very much hopeful and bullish about it. K

umbh Mela has been very

well generated not only in terms of as everybody is aware, entire world is aware that the kind of response it has been and mostly people are now visiting Ayodhya and Varanasi and all that.

So, the entire impact - right now it is disturbed also since Kumbh has started. Our, in fact, showrooms are also disturbed, but we have -- we expect a very good turnaround in the second half of next month.

Arpit Shah: Got it. And if you can just put some insights on our operating expenses which has gone higher this quarter?

Yashovardhan Sinha : Yes, because of we have opened around the 30 stores between last quarter and this quarter. And so that has gone up. I think since we have opened many stores which have -- which

are yet to mature. So, it is -- I think it is temporary in nature, opex getting up.

Arpit Shah: Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investments . Please go ahead.

Onkar Ghugardare : Yes. My question was regarding, firstly, you mentioned that many of the stores have not reached maturity state. So, like in percentage terms, can you quantify at what stages they are?

Yashovardhan Sinha : Actually, you can see our growth rate the past record of growth, then you will find that we have added around 40 and 30 -- around 70 stores in 1 year or 1.5 year's time. So, these are typically -- as we have already told in several earnings calls that typi cally all our stores are matured by end of 3 years of opening.

But not that they don't start contributing, they start contributing. But as you are opening new stores again and again then operating cost, it is going to go up. And with time in my opinion that temporary nature because in coming quarters this quarter also , the current

quarter also, current quarter also in next quarter Q1 of FY '26 also it's going to do much better.

Onkar Ghugardare : Okay. The second thing is you had raised around INR282 crores. And so out of that how much you have utilized? And because of that, the interest component should have gone down, but we can see year-on-year increase in terms of interest component as well. So, what's the reason for that? And how is the utilization for INR282 crores?

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Yashovardhan Sinha : We have already utilized INR282 crores and we have already filed all the details, you can find it from there. And as regarding interest cost, we are a growing company. We are not idle company who's sitting there with the cash. We are utilizing the cash; we are making new investment capex investments.

So, inventory is also needed. In fact, we are going into summer season which is supposed to be a very good one. So, we are fully invested in our stocks also inventories also. So, interest cost, of course, is this is something -- it is a strategic in nature also when you have to stock build-up of your stock according to the quarter-to-quarter.

Onkar Ghugardare : Okay. So, like, for example, what is the sustainable kind of EBITDA margin we can model when we model your company?

Yashovardhan Sinha : We have already uploaded on our investor presentation. Sustainable margin will be around 8% to 10%.

Onkar Ghugardare : 8% to 10% of EBITDA margin, right?

Yashovardhan Sinha : Okay.

Onkar Ghugardare : Okay. And as far as you mentioned that you have used the entire proceeds from the fund raise. So that has mostly utilized for inventory or like store expansion or a combination of both?

Yashovardhan Sinha : Combination of both. We cannot invest it down only on the working capital. Otherwise, we have to make capex also. So, it is a mix of both things.

Onkar Ghugardare : Okay. Just last one thing. You have recorded around 23% revenue growth 30% here in Q3 and 9 months respectively. I mean, when can we see operating leverage coming in?

Yashovardhan Sinha : There is the operating le

verage in 9 months, if you'll see there. Overall, 9 months of FY

'25, our operating leverage has been quite good because our profits are as much as our sale has gone.

Onkar Ghugardare : Yes, correct. But this has -- this quarter this has declined because of the sluggish demand you are seeing?

Yashovardhan Sinha : Yes, in fact, entire our manufacturers were also reeling under this. So, it has been a sluggish quarter.

Onkar Ghugardare : So, if you are basically seeing 8% to 10% EBITDA margins are sustainable. So, you are targeting around 20% to 25% revenue growth. So, can we expect around similar 20%, 25% growth on the profitability?

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Yashovardhan Sinha : Yes, you can assume that, but we give our guidance that you can find our guidance in our investor presentation where we are very clear about it. We have been always surpassing our guidance.

Onkar Ghugardare : Yes, this 20%, 25% kind of growth it's from your investor presentation only I'm talking about that only?

Yashovardhan Sinha : So, we have repeatedly we have, in fact, exceeded the guidance.

Onkar Ghugardare : Okay. All right. Thank you.

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investment.

Please go ahead.

Vivek Gautam: Thanks for the update and the opportunity. So, I just wanted to know, sir, why the -- our top line growth is quite good, but why the PAT growth is on the slower side?

Yashovardhan Sinha : Because operating costs are there because of many new stores.

Vivek Gautam: Because now only operating leverage should come in because our number of stores is also quite high. So, the 7, 8 stores 9 stores the operating leverage should come out?

Yashovardhan Sinha : In time to come it is going to happen, but right now, of course, we have been opening stores and they will start contributing to our top line. And that will ease off our operating costs.

Vivek Gautam: Okay, sir. And how is the future looking like, sir, slowdown is there, but our Bihar state, Jharkhand states, UP states potential is also quite large. So, we are much better than the other market?

Yashovardhan Sinha : Yes, we have much better place in view of manufacturers also. In fact, this geography is doing very well. And yes, we do expect that even that very worst deal also we have been doing well at a 23% growth of top line. And we can expect that there is some turnaround. And this area is going to do very well. And I told you the big factor is of UP where such a big event is happening.

Vivek Gautam: The OEMs are quite happy with our performance versus other geographies ?

Yashovardhan Sinha : Yes.

Vivek Gautam: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities.

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Please go ahead.

Aniruddha Joshi: Sir, sorry, just one follow -up question on ly.

Yashovardhan Sinha : Yes, please go ahead Aniruddha

Aniruddha Joshi : Yes. Sir, now obviously, we have done good amount of work already in UP. So, is the margin in UP, Bihar and Jharkhand, all three are different? I mean, essentially the question is now we are expanding aggressively in UP and there is a slight margin impact. So, is it the margins in UP are relative to growth that the margins that we are generating in Bihar and Jharkhand?

Yashovardhan Sinha : It's a basket, in fact, you have to understand it's not about state, it's about basket in, let us say, even in UP there can be several stores, we can -- where -- in fact where there can be a very big competition and somewhere there is no competition. So, it's a mix of margin is a mix of locations. So, it's not about only UP or Bihar or Jharkhand. So, there's a management strategy there how you manage your margins. I hope it is clear to you.

Aniruddha Joshi : Yes, sure. It is clear. Thanks.

Moderator: Thank you. The next question is from the line of Varun Singh from AlfAccurate Advisors .

Please go ahead.

Varun Singh: Thank you for the opportunity. Sir my question is regarding Maha Kumbh Mela which has started from 13th of January. So we are already maybe more than two weeks down into this event. And as you pointed out that the maybe this month has been relatively subdued and the second half is expected to be much better driven by whatever impact on disposable income of the local population out there.

But considering that our exposure to that city itself or maybe UP at a large won't be -- I mean, I don't know that number maybe 15%, 20% and given that this is -- this event is going to last till 26th of February. So, on account of general disruption, et cetera, don't you think that maybe the fourth quarter numbers are likely to be more impacted than getting benefited. I mean just led by the analogy of disposable income improvement ; I mean how would you think about this?

Yashovardhan Sinha : No, I'll put it like this actually impact when such big events happen it's not only invigorated that area only. In fact, it drips to other areas, catering to let us say 8 crores, 4 crores, 2 crores people. It is not only people of Prayagraj can only handle that type of business, the people from other districts they also come in to handle the business there.

So, it is about the whole area. In fact, it benefits the whole area. So, what we are seeing is

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that already we are doing well in the UP. And what I -- what we see that let us say before Maha Kumbh will end. I think money will be there with everyone and that money has to come to such aspirational things what we are selling.

Varun Singh: Sorry. Yes. So basically, you are saying that -- I mean, I get your point that so many people will be positively impacted from the income side of it. But given that so much of crowd is also there, I think our store level operations would also be getting disrupted I mean I was thinking from that point of view over and above the positive side as you highlighted?

Yashovardhan Sinha : But I'll tell you like we are having 25 stores in UP out of that, 3 stores are in Prayagraj. Yes, they are impacted because of huge rush and all that, but other stores start performing well because of that.

Varun Singh: Understood, sir. And just secondly, I just wanted to understand, given that 70 stores as we pointed in 1.5-year-old compared to the total store that we have as on today is roughly 40% of other stores are very, very young. So like the same -store sales growth number which is currently a reflection of these maybe non -new stores.

So do you think that when the total number of new store addition or the new age store that ratio comes down from 40% to let say 20%. If pressure on SSG will start mounting I mean, how would you think about this ?

Yashovardhan Sinha : I have been repeatedly saying that in this geographic population is very large, penetration is very low. And this is even our very old stores are also having a double -digit SSG growth.

So this is the old factor we have to take into account.

Varun Singh: Understood, sir. And sir in our definition of same -store sales growth, we will consider more than 1 year old store in both numerator denominator ?

Yashovardhan Sinha : Yes. I think so. It must be given in investor presentation also.

Varun Singh: Okay. Understood, sir. And the top in our store and please pardon my ignorance, I'm tracking this company relatively new. Would you also be selling private labels meaning your own brand of AC and fridges or it's all branded stuff?

Yashovardhan Sinha : No. As per our policy, we won't be selling any private label.

Varun Singh: It's all branded. And when you called out about Whirlpool being the top brand, what would be the revenue contribution of this brand maybe

in any one particular segment, if you can give us some sense out of?

Yashovardhan Sinha : For whirlpool you're asking.

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Varun Singh: Yes. I mean Whirlpool and Godrej as you said that today's the top two brands in the AC category?

Yashovardhan Sinha : I didn't say that were the two brands . I said that after Korea there were other big brands. And they contribute around the - we do not, in fact, divulge how much they contribute because of manufacturers' reluctance.

Varun Singh: Okay. And sir, maybe I mean any sense if you can give us, it will be helpful with regards to the number one player, Voltas or the maybe number two player in Blue Star, et cetera, their revenue contribution or you don't think it will be appropriate to share ?

Yashovardhan Sinha : That will not be appropriate to share with you, but definitely they're doing very well.

Varun Singh: Okay sir. Thank you very much and wish you all the best.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global Financial Services.

Devanshu Bansal : Thanks for the follow up opportunity, just one bookkeeping question. I wanted to know about the contribution of category -wise in-home appliances, digital and others, what is the revenue in 9 months for these categories?

Yashovardhan Sinha : I think it must be given on the investor presentation, it must be updated.

Devanshu Bansal : It's not there and that's the reason I'm asking.

Yashovardhan Sinha : We disclose it only half yearly, so that will be there in the next quarter.

Devanshu Bansal: Okay Yashovardhan .

Moderator: Thank you. The next question is from the line of Dagash Shah an Individual Investor. Please go ahead.

Dagash Shah : Just one question, sir. On the product side, how do we look at seasonality in terms of different product categories per se if you can help us understand a bit?

Yashovardhan Sinha : I could not understand your question. Can you please repeat it and speak clearly?

Dagash Shah: Sure. So, my question is, sir, for the different product categories, what sort of seasonality do we see? So, for example, AC will be higher in the summers. So, for the other if you can just help us understand a bit on that aspect?

Yashovardhan Sinha : Yes, it is mixed a part from summer cooling products it is always mixed categories. In the

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sense that, yes, like washing machines will do very well in during monsoons or during winter, in winter heating products, heating products have a better sale like geyser and all that. But mostly, it is mixed only.

Dagash Shah: Okay. So is the understanding correct, sir, then that there were washing machines sorry, the air conditioners would have a higher share of revenue?

Yashovardhan Sinha : Definitely, yes, their contribution is highest.

Dagash Shah : Okay sir. Thank you. That's all from my side.

Moderator: Thank you. Ladies and gentlemen, due to time constraints that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Management: We trust that we have addressed all your queries to your satisfaction. If you have any remaining questions, please do not hesitate to reach out to our Investor Relations agency Go India Advisors. We will be more than happy to assist you further. Thank you for your time and we look forward to continuing our growth journey together. Thank you.

Management: Thank you.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

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May 16, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra Kurla Complex, Bandra (East)
Mumbai -400001 Mumbai - 400051

Scrip Code: 540205 Symbol -AVL

Sub: Transcript of Analysts/Investors Call pertaining to the Audited Financial Results for the quarter and year ended March 31, 2025

Dear Sir(s)

Further to our letter dated May 02, 2025, please find attached herewith a copy of the transcript of the Analysts/Investors Call on the Audited Financial Results of the Company "Aditya Vision Limited " for the quarter and year ended March 31, 2025 held on Friday, May 09, 2025.

The same is also being made available on the Company's website at: www.adityavision.in.

This is for your information and record.

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

Akanksh
a AryaDigitally signed
by Akanksha Arya Date: 2025.05.16 22:34:19 +05'30'
Page1of12
"AdityaVisionLimitedQ4FY'25Earnings
ConferenceCall"
May09,2025
MANAGEMENT:MR.YASHOVARDHANSINHA-CHAIRMAN&
MANAGINGDIRECTOR,ADITYAVISIONLIMITED
MR.YOSHAMVARDHAN-WHOLE-TIMEDIRECTOR,
ADITYAVISIONLIMITED
MODERATOR:MR.PERCYPANTHAKI-IIFLCAPITALSERVICES
LIMITED
AdityaVisionLimited
May09,2025

Page2of12Moderator: Ladiesandgentlemen,gooddayandwelcometotheQ4andFY'25EarningsConferenceCall
ofAdityaVisionLimitedhostedbyIIFLCapitalServicesLimited.
Asareminder,allparticipantlineswillbeinthelistenonlymodeandtherewillbean

opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Capital Services Limited.

Thank you and over to you, sir.

Percy Panthaki: Hi, everyone. Good evening. We are pleased to host the management of Aditya Vision Limited for their Q4 Conference Call.

I have with me on the line Mr. Yashovardhan Sinha - Chairman and Managing Director and Ms. Yosham Vardhan - Whole-Time Director. I will hand over the call to the management now and then we will have a Q&A session. Over to you, sir.

Yashovardhan Sinha: Well, Thank you, Percy. Good evening, ladies and gentlemen. Thank you for joining us for our Q4 and FY'25 Earnings Conference Call.

Today, we will walk you through the key highlights of our Financial Performance, Strategic Initiatives and Business Outlook. Our Investor Presentation has been shared on the Stock Exchange, and we hope you've had an opportunity to review it.

It gives me great pleasure to share that Q4 has been an exceptional quarter for us, in fact, best Q4 in AVL's entire history. We recorded a strong 30% growth in revenues, surpassing our guidance despite all macro challenges. While January saw a brief slowdown, February and March witnessed a sharp rebound with strong consumer demand driving remarkable growth. The early onset of summer further supported the momentum, helping us close the quarter on a high note.

For the full year, we have achieved the resounding 30% revenue growth, continuing our consistent track record of maintaining a 30% CAGR revenue growth for the past 10 years. This speaks volumes about the strength of our business model and execution.

On the expansion front, we opened 30 stores in FY'25 where most of our new stores came in Uttar Pradesh. With that, we have now reached a total of 175 stores, a significant milestone as we continue to scale with purpose. Out of 175 stores, 112 stores are in Bihar across all 38 districts, 29 stores in Jharkhand, covering 21 out of 24 districts and 34 stores in UP covering 20 out of 75 districts. We have recently expanded to Central UP where we have opened about 10 stores including 6 stores in Lucknow in the later part of FY'25. With this expansion, we are present in the 3 state capitals of 3 states where we are currently operating.

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Page 3 of 12 We are proud to share that our strong and consistent performance has continued into FY25, delivering robust growth across all key financial indicators.

Our revenues surged by 30%, reaching Rs. 2,260 crores in FY25, up from Rs. 1,743 crores in FY'24. In this fast growth period also, we maintained EBITDA margin at 9%. Profit after tax grew by 37% to Rs. 105 crores compared to Rs. 77 crores in the previous year, a clear reflection of our deep understanding of the market we serve and relentless focus on driving sustainable yet profitable growth.

In Q4 FY'25, we continue to deliver strong performance with revenues growing from Rs. 376 crores in Q4 FY'24 to Rs. 487 crores, reflecting a solid year-on-year growth of 30%. Our profit after tax also saw a healthy increase of 104% over the same period, rising to Rs. 16 crores from Rs. 8 crores.

As you are aware, our business experiences clear seasonality with Q1 traditionally seasonal being the strongest quarter driven by heightened demand for air conditioner, refrigerators, air coolers and related cooling product. To stay ahead of these seasonal demand curve, we follow a strategic approach of building inventory proactively, particularly starting in Q4.

This year, in addition to our usual planning, we took a more cautious approach and built up more inventory due to uncertainty surrounding compressor supply. As a result, we accelerated inventory accumulation to safeguard against any potential disruption and stockout situations and ensure readiness for a strong start in the ensuing Q1. Moreover, the end of the financial year typically presents favorable buying opportunities from OEM's, which we leverage to secure products at attractive terms. We are confident that these high-velocity items will be liquidated quickly as Q1 demand kicks in. Consequently, our inventory peaked at Rs. 698 crores as of March end. However, when viewed across the year, the average inventory level for FY'25 stood at less than Rs. 500 crores, that is Rs. 494 crores on a quarterly basis, offering a more accurate and normalized reflection of our inventory position throughout FY'25. This strategic build up of inventory ahead of busy season resulted in negative cash flow, which historically gets into positive territory at the end of the summer season when the strategic high inventory gets liquidated. Moreover, as highlighted in my several learning calls in our electronic retail up front payment carry substantial discounts, which is important for achieving higher trading margins and avoiding stockout situations. As such, payable days are kept less to boost profitability.

In Q4 FY'25, Bihar remained our largest revenue contributor at 77%, followed by Jharkhand

at 13% and Uttar Pradesh at 10%. For the full year, FY'25, Bihar accounted for 80% of our total revenue, with Jharkhand and Uttar Pradesh contributing 12% and 8% respectively. Our same-store sales growth stood at 19% for Q4 FY'25 and 15% for the entire full year, reflecting continued strength in core markets and solid customer traction.

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Page 4 of 12 Looking forward, we are committed to our growth strategy and are confident in our ability to sustain momentum. We plan to add 25-30 stores annually with a sharp focus on expanding our presence in Uttar Pradesh, where we see significant potential. At the same time, we will continue to deepen our reach across Bihar and Jharkhand, further strengthening our leadership in the region and fortifying it. With these efforts, we are well positioned to achieve significant growth over the medium term, driven by our disciplined execution, strong regional insight and customer-centric approach.

I will now hand over the floor to Mrs. Yosham Vardhan to provide an overview of the financial highlights for the quarter. Over to you, Yosham.

Yosham Vardhan: Thank you, sir. Good evening, ladies and gentlemen. We are pleased to present the robust financial performance for Q4 FY'25 and FY'25. Here is the summary of our key financial achievements.

In FY'25:

Revenue surged by 30%, reaching Rs. 2,260 crore. Gross margins stood at 15.7%. EBITDA reached Rs. 204 crores with an EBITDA margin at 9%. PAT exhibited a growth of 37% totaling to Rs. 105 crores. SSSG for FY'25 stood impressive at 15%.

In Q4 FY'25:

Revenue marked the 30% Y-o-Y increase, reaching Rs. 487 crores. Gross margins stood at 17%. EBITDA for the quarter stood at Rs. 42 crores with EBITDA margin at 8.7%. PAT for the quarter stood at Rs. 16 crores, up 104% Y-o-Y.

Our store count stands at 175 stores with 112 stores in Bihar, 29 stores in Jharkhand and 34 stores in Uttar Pradesh. SSSG for Q4 FY'25 stood at 19%.

We can now open the floor

for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Hi, sir. Congratulations on good execution. Sir, I wanted to check that there are reports of unseasonal rains across various parts of the country and last year, Q1 base is also specifically on the higher side. So, I wanted to check what's your outlook for growth in the current quarter as this quarter is critical because of higher sales in our overall annual numbers, so I wanted to check your thoughts on that?

Yashovardhan Sinha: Yes, you are very right, Devanshu. There has been unseasonal rains so far, but market has been slow. But despite that we are in growth and a major part of the quarter is still around there and we hope that we are going to recover whatever growth, which company is looking forward to.

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Page 5 of 12 Devanshu Bansal: Fair enough, sir. I also wanted to better understand this increase in working capital. So last year on the per-store level, a year-end inventory was about Rs. 3 crore per store and now this has increased to Rs. 4 crore per store, right. So last year also there must have been some pent-up stocking ahead of the season. Now, this 35% increase in inventory per store, so are you also sort of expecting similar kind of growth on a same-store level this time around because just to sort of maintain stock terms that were there last year?

Yashovardhan Sinha: There is one more thing that was there in this Q4. Actually, we were, in fact, manufacturer was short of compressors and there were some restrictions for compressors from the government as well as there was definitely, industry was facing shortage ahead of it. So we were slightly more proactive in acquiring inventories, which we as you know will be selling it out in Q1. So this has been the reason for slightly increase in inventory and these increase in inventory is very temporary in nature as you know. It does reflect on our books on 31st March, but later on, within a month or so it becomes very reasonable.

Devanshu Bansal: So what I understand is, sir, your inventory position vis-a-vis competition is in a much better shape this time around, which should help you gain relatively better traction, right, in the ongoing summer season, is this the right understanding?

Yashovardhan Sinha: Absolutely, Devanshu. You can in fact see this from behind also, from past also that we have been doing well in Q1 just because we have been better placed in inventory level.

Devanshu Bansal: And sir, last question from my end, this is on gross margin. Last couple of quarters, there has been a dip, in Q3 there was 100 basis points dip and this time around, it's 50 basis points. I wanted to check because UP contributes only about 10% of your revenue, right? So that particular state should not lead to this quantum of gross margin decline for you. So wanted to check if this is entirely related to that particular state or there are some other reasons also for the dropping gross margin?

YashovardhanSinha: I have always been talking that we don't talk about any region or any state or as such. Actually, we believe in a basket way of gross margins and gross margin in this Financial Year has gone down by 22bps. And we think that for the quarter it has come down by slightly more, but please do understand that most of four, in fact, around about I will tell you the exact figure, 14 out of 30 stores that has been opened in Q4. So entire almost 50% of four new stores has started in Q4, so most of the operating expenses have come in for these stores. However, these stores were started in this quarter itself. So it has come down, but still we will maintain that our EBITDA margin will be something between 8% and 10%.

Devanshu Bansal: Fair enough, sir. Thank you for taking my questions. This is really helpful.

YashovardhanSinha: Thank you.

Moderator: Thank you. We will take our next question from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

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Page 6 of 12 Aniruddha Joshi: Thanks for the opportunity. Sir, in terms of staff cost, it has materially gone up in this quarter, 4.3% and in fact it is high in multiple quarters. So any particular reason, any additional investment that you would have done, let us say, for UP or anything that how should we read this number, point number one? And secondly, the tax rate in every Q4 seems to be on the materially higher side, even if I look at FY'23, FY'24, FY'25 also, so any reason for such a sharp increase in tax rate, let us say, in the 4th quarter itself, logically the tax rates should remain around 25% and it is around 25% in the

9 months, in earlier years also, so why the tax rate is so high in Q4?

YashovardhanSinha: Earlier years, we have already given our explanation. For this year, there is no material change in tax rate, it is similar and above all, Q4 figures are always balancing figures, when you get your accounts audited and then these are balancing figures. So this year, there are no material changes, I suppose. And coming to your first question, staff cost going up, as I told you just now that almost 50% of four store addition was in Q4. So obviously operating cost, employee cost, all the costs were coming in quarter 4. So that was the reason for rise in staff cost.

Aniruddha Joshi: Sure, sir. And last question from my side, in terms of the store addition guidance, so we will stick to around 25 odd stores in 25?

YashovardhanSinha: No, our guidance will be definitely from 25-30 stores. But looking into the very bright picture around, we may like to increase. Later on, in later quarters, we will update you.

Aniruddha Joshi: So we may increase the guidance upwards, around 30-35 types?

YashovardhanSinha: Yes, it can go upward, which we will keep you updated after another quarter or so.

Aniruddha Joshi: Sure. Thank you. That is it from my side.

YashovardhanSinha: Thank you, Aniruddha.

Moderator: Thank you. The next question is from the line of Swathi Jhunjhunwala from JM Financial. Please go ahead.

Swathi Jhunjhunwala: Thanks for taking my question. My first question is more on the demand side.

YashovardhanSinha: Swathi, can you speak louder, please?

Swathi Jhunjhunwala: Yes. Is it audible now?

YashovardhanSinha: Yes.

Swathi Jhunjhunwala: So the first question is on demand overall. Many consumer durables players are saying that April has not gone so well because of a delayed summer, rather should I say plus monsoon. So how do you see April, how has April gone and how do you see May and June performing?

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Page 7 of 12 YashovardhanSinha: I have already told that demand has been slow, but despite that Aditya Vision is in growth, our company and we are seeing that, yes, this thing happens once in a while, most of the years in fact past year. When summer starts slowly, it again builds up later in the quarter. So we are quite bullish about this second-half of May and the full next month.

Swathi Jhunjhunwala: And second is, on the guidance that you have given 2025 revenue CAGR, just two things I want to understand in this, number one, what states are you targeting apart from Uttar Pradesh and number two, what categories are you more focusing on?

YashovardhanSinha: As far as the state is concerned, right now, we are focusing in Uttar Pradesh only and we will keep you updated. As I told you in another quarter or so, maybe end of H1, I will further update you on what other territories we are looking at. And as far as categories are concerned in fact, right now, we are focusing on compressor products in this quarter.

Swathi Jhunjhunwala: Alright. Thanks.

YashovardhanSinha: Thank you, Swathi.

Moderator: Thank you. We will take our next question from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Hi, sir. My question is on the inventory, so you did mention that in anticipation of good summer and because of deals we have done, some advanced purchase and that is the reason why the inventory has gone up. If I recollect correctly, the same thing had happened in last

year Q4 also. So having already done that last year with the base being reset upwards, if we do the same thing this year, that should not result in disproportionate increase, but the number of days of inventory has gone up for 2 years in a row, so just wanted to understand the reason for that?

Yashovardhan Sinha: In fact, both the years, we will find that there was some, in fact confusion regarding supply side and this year, if you will remember, there was even more supply side issues that were coming, being reported by manufacturers. There were restrictions from government and the tariff position was also being discussed, so many, in fact export were diverted to USA from China, so our manufacturers, yes, they were anticipating that they will get less number of compressors. So, there were so many, it was rather more uncertain, in fact, entire world is so uncertain due to USA tariff and all that. So this year, for Q1, it was even more uncertainty we were facing. I don't think it is going to go up again disproportionately in future, but this year was definitely an exceptional one.

Percy Panthaki: Got it, Sir, second question is on UP, if you can give some idea what is the average sales per store for the entire number of stores that you have in UP?

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Page 8 of 12 Yashovardhan Sinha: We will not give you average store sale, but we can only say that we have given you the hard figures that this is the contribution coming from Q4, this is the contribution coming from UP in that Q4 sale.

Percy Panthaki: Got it. Just from point of view of some investors, they might want to just evaluate whether you are getting similar kind of response to the UP expansion as you get normally in your hometown?

Yashovardhan Sinha: If you are referring to Bihar, then Bihar, we have already in fact we are present at almost all locations. So if we go out of Bihar, then UP is just like same, just like in Jharkhand, there is no difference. We have been telling this in every earning call.

Percy Panthaki: So the throughput in UP versus Jharkhand, is it similar, on a per store basis, the kind of throughput then you generate or per square feet whatever way you measure, is it similar in UP and Jharkhand?

Yashovardhan Sinha: It is almost similar. It is not very significantly different.

Percy Panthaki: That is all from me. Thank you.

Yashovardhan Sinha: Thank you, Percy.

Moderator: Thank you. We will take our next question from the line of Varun Singh from Alf Accurate Advisors. Please go ahead.

Varun Singh: Thank you for the opportunity. Sir, my question is typically between April, May and June, April would be how much percentage of the total revenue for the quarter? That is my first question?

Yashovardhan Sinha: It depends. It is not the same for year-on-year. So your question, in fact sometimes April is slightly cooler, then less sales will come in April, more sales will come in May or June.

Similarly sometimes with early onset of summer is there, so April is very high compared to May. So it will not give you accurate picture, Varun.

Varun Singh: Understood. But still in ballpark, what is the typical range considering the fluctuations, which is fine?

Yashovardhan Sinha: Typical range is it slightly of course peaks out in May and June, of course and April it gains momentum, I will say.

Varun Singh: Sorry, you said April momentum is high.

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Page 9 of 12 Yashovardhan Sinha: In April, it gains momentum. It takes momentum summer sales, which in fact peaks out in May and throughout June. So safely, you can think that 25% of entire quarter sale, you can think about that, but it is not strictly that. So 25% sale will come from April.

Varun Singh: Understood. And then secondly, in the first quarter, typically Room AC is what percentage of overall revenue? That is my second question?

Yashovardhan Sinha: It is about around 45%-50%.

Varun Singh: Understood, sir. And like given your all-past experience, of like April being relatively moderate and then growth picking up in May and June, if you can help us understand that historically this kind of fluctuation in weather because of sporadic rain etc., how frequently you would have observed that despite April being moderate, May and June has picked up significantly? That is my last question, sir?

Yashovardhan Sinha: It is so difficult for me to answer your question, but still it happens and it happens a lot. I just in my last earning call I told you that January was very bad in Q4. But then February and March picked up and that brought us to 30% growth. So, these are just the matter of summer kicking in and I think people have already, they make their mind how much money they are going to spend on air conditioner or coolers, or compressor products and it is only within season only happens. This is what our observation is.

VarunSingh: Sure,sir.Understoodandsir,onelastquestionifImaysqueezein?

YashovardhanSinha: Becauseyouareaskingaveryimportantquestionpeoplegetinamoodtobuybutwhen actuallyhardsummerkicksin,thenthesalegetsclosedatthattime.Butmoney,peoplemake theirbudgetthaththissummerwearegoingtogetthisroomairconditionedalso,wearegoing togetthisairconditionerchanged,soitisonlywhenitisnotveryhot,peoplejustpostponedit forfewdaysandthemomentitcomes,wejusthavetohave,letussay,15-20days,25daysof goodsummerandIthinkthatisall,everybodywilllikejustcometoyourstoretobuyair conditionerorcoolingproducts.

VarunSingh: Right,sir.Andsir,onelastquestionifImay.AsyoucalledoutthatdespiteAprilbeing shockedwehavebeeningrowth,whichisquitepositive.Butstillwhenwesaythatwearein growth,socomparedtoexpectationforexampleifwewouldhaveexpectedmaybe20% growth,isitfairtosaythatagainsttheexpectationof20%inourcase,growthwouldbemaybe 10%-12%,whichisstillsignificantlybetter?

YashovardhanSinha: Thatwillbenotproperformetosayexactlywhattyp

eofgrowthwehavegotinAprilbecause

wehavenotdisclosedit.TheonlythingIcantellyouisthat,yes,growthisthere,ofcoursein singledigits,growthisinsingledigits.

VarunSingh: Understood.Sure.Thankyouverymuch,sirandwishyouallthebestforfutureperformance.

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Page10of12YashovardhanSinha: Thankyou,Varun.

Moderator: Thankyou.WewilltakeournextquestionfromthelineofVijayChauhanfromRight HorizonsPMS.Pleasegoahead.

VijayChauhan: Thankyoufortheopportunity.Sir,Iwouldliketounderstandwhatwillbethesustainable SSSGgoingaheadorletussayifyouarelookingfromthenext3-4-yearperspective?

YashovardhanSinha: IthinkourSSSGwillbeindoubledigits.ThisistheallIcansay,Vijay,veryfirmlythatSSSG willbeindoubledigitsbecausewhatwehaveeseeninpastandwhatweareinfact,whatishappeningrightnowiswearehavinghighdoubledigitSSSG.Soifyouwillaskme,thenI willtellyouthatitwillbedefinitelyindoubledigits.

VijayChauhan: AndmysecondquestionwouldbeonthetotalpotentialintermsofstorecountforUP.Sois thereanylikeguessoranalysisyouhavedone,likeletussay,recentlywehaveenteredinthe UPSide,soisthereanyroughrangeornumberofstoresyouthinkthaththisiswherethe maturitywillhitinUPoranyanalysisyouwouldhavedone.Soanybroadlightwillbegood onUPmarketyouhavedone?

YashovardhanSinha: IfBiharcanaaccommodate112stores,Vijay,sowecanfairlywellassumethatinnext,letus say,2-3yearsthenwecanhave200storesinUP,thesizeandthekindofpopulationitis,we willdefinitelyaimtohavetwiceourstorecountinUPcomparedtoBiharbecausehatisthe potentialforUP.

VijayChauhan: Right.Andanymarketingplan,likewhenweentertothenewgeography,isthereanychange orwearemainlyfocusingonregionalmarketing,orwearealsotryingtobecomeorprojectus asanationalbrand.Isthereany,ifyoucanshedsomelightonthemarketingside?Thatwillbe fine?

YashovardhanSinha: Wewillnotliketospendourmoneyinvain, stakeholder'smoneythatway.Infact, rightnow, ifnational,thereisnoneedforany nationalmarketingstrategy.WeareinBihar,Jharkhand andUPasIhavebeentellingallthetimetthatculturally,thesearealmostsameinnature.So ourmarketingstrategyalsoremainsooriginalinnature.Asyouknowitisveryexpensivegoing nationalcampaignformarketingandIdon'tthinkthereisanyneedrightnowtospendthat kindofmoneyonmarketing.

VijayChauhan: Thatanswersmyquestions.Thankyou.

YashovardhanSinha: Thankyou,Vijay.

Moderator: Thankyou.ThenextquestioncomesfromthelineofDevanshuBansalfromEmkayGlobal. Pleasegoahead.

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Page11of12DevanshuBansal: Sir,hi,thanksforthefollowup.Sir,inthePPT,thereissomeincreaseinourexpectationsfor CAPEX,workingcapitalaswellaspaybackperiod,right,soisitlargelyduetocostinflation ortherearesomenewcategoryadditionsthatweareplanningtointroduceinstores?

YashovardhanSinha: Therearesomanyfactors,Devanshu.Soinfactwhatyousaidthatthebiggestcontributoris thatweareopeninglargerformatstores.Sostores havenow,averagestoresizehasbecome 4500,whichwas4000previously.Soo obviouslymoreCAPEXisrequired,moreproductson displayisrequired,soworkingcapitalisalsorequiredinthat.Sothisisthereasonforthatrise. Andofcourseinflationisthere,ofcourse.Sotheseareallbecauseofwhichweare.Butthe majorreasonwillbethatourformatofstorehasincreased.

DevanshuBansal: Yes,Yash,thiswasmyssecondfollowuppart.So,inthisyearthatwenoticedthattheaverage storesizeofnewstoresthatwhatwehaveopenedislike5,500thathastaken theoverall companylevelto4,500andmostofthestores havehappenedinUP,right,sowhatisthe

strategic thought process for opening larger stores in the new area which we are entering? So, what is it like we are offering much better assortment or what different are we trying to do strategically in this new state versus our earlier operations?

Yashovardhan Sinha: This is in fact optimism, rather, Devanshu that these places are going to do very well because of the population. And again, when we are going to a new state, we are going to a new city, we want to give that experience to our customer which no others show room is able to give. So this is our primary strategy.

Devanshu Bansal: Understood. Sir, why I was sort of stressing upon this was because UP, earlier we had indicated that at least we are sort of leaving some margins just to gain good traction with new consumers, right,

and now on the capital investment perspective, we are investing higher, so I wanted to check will the unit metrics be broadly similar versus our earlier operation that can happen naturally because as the stores mature, we may hit relatively higher revenue per stores, etc., so the purpose of asking that question was that because margins are lower and then investor capital is higher, so?

Yashovardhan Sinha: No, this is your assumption, Devanshu that margins are lower. I told you that is very strategic. These are some things which I cannot discuss on an earnings call, but this is what I can say that this is not in fact norm that margins are less. It is not about that. It is about so many other things, which customers want to see on the floor of the showroom and everything included, we believe that experience or what is our competition, we see the competition around. Of course, we believe that a lot of room is there to co-exist with big competitors also, but then you will have to have the same type of experience what others are seeing or may see in future. It is for the future also, but above all, all included, these are very high-density population areas where we must have bigger stores.

Devanshu Bansal: Fair enough, sir. Lastly, I wanted to also check on increasing payables, right? So over time, we have always maintained that the model pursued is Cash 'n' Carry model, but this time around

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Page 12 of 12 there is some Rs. 90 crores in increasing payables as well, so was it like a timing thing or how should we read that?

Yashovardhan Sinha: No, you can read it very straightforward, Devanshu, so that as I have told you before also that even when you are on Cash 'n' Carry basis, you get sufficient time from the manufacturer to get the products delivered to your store. So that is the gap which reflects on the date of the balance sheet. It is not about going up because we were high on inventory, so higher was the sundry creditors. But these are reflected only because since now GST is there. So most of the products we are in fact buying from manufacturer on IGST basis, so these products are built from the company and it takes some time to reach our stores and our payable time kicks in from the time we receive our products.

Devanshu Bansal: Understood, sir. Thanks for taking my question.

Yashovardhan Sinha: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take this as our last question. I would now like to hand the conference over to the management for closing comments.

Yashovardhan Sinha: We trust that we have addressed all your inquiries to your satisfaction. If you have any remaining unanswered questions, please don't hesitate to contact our Investor Relations Agency, Go India Advisors. They will be more than happy to assist you further. Thank you so very much and goodbye.

Moderator: Thank you. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

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August 08, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra Kurla Complex, Bandra (East)
Mumbai -400001 Mumbai - 400051

Scrip Code: 540205 Symbol -AVL

Sub: Transcript of Analysts/Investors Call pertaining to the Unaudited Financial Results for the quarter ended June 30, 2025

Dear Sir(s)

Please find attached herewith a copy of the transcript of the Analysts/Investors Call on the Unaudited Financial Results of the Company "Aditya Vision Limited" for the quarter ended June 30, 2025 held on Friday, August 01, 2025.

The same is also being made available on the Company's website at: www.adityavision.in.

This is for your information and record.

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

Akanksha
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Akanksha Arya
Date: 2025.08.08
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"Aditya Vision Limited
Q1 FY '26 Earnings Conference Call"
August 01, 2025

MANAGEMENT : MR. YASHOVARDHAN SINHA –CHAIRMAN AND
MANAGING DIRECTOR – ADITYA VISION LIMITED
MRS. YOSHAM VARDHAN – WHOLE TIME DIRECTOR
– ADITYA VISION LIMITED

MODERATOR : MR. DEVANSHU BANSAL – EMKAY GLOBAL
FINANCIAL SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Aditya Vision Limited Earnings Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Devanshu Bansal from Emkay Global Financial Services Limited. Thank you, and over to you, sir.

Devanshu Bansal: Yes. Good evening, everyone. I would like to welcome everyone on the call and thank AVL's management team for giving us this opportunity. We have with us today Mr. Yashovardhan Sinha, Chairman and Managing Director; and Mrs. Yosham Vardhan, Whole-Time Director. I shall now hand over the call to the management team for the opening remarks. Over to you, sir.

Yashovardhan Sinha: Thank you, Devanshu. Good evening, ladies and gentlemen. Welcome to Aditya Vision's Q1 FY '26 Earnings Conference Call. Our earnings presentation and financial results for the quarter have been uploaded to the stock exchanges. We trust you've had the opportunity to review them.

This quarter, witnessed one of the most unusual summers in entire history of 26 years of Aditya Vision with unusual rains continuing throughout Q1 with no heat waves in our core markets of Bihar, Jharkhand and Uttar Pradesh.

May -- in fact, May '25 was the coldest in over 6 decades across India. You may like to compare the rain and temperature as mentioned in investor presentation, which will show the tough conditions as encountered by the sector. In fact, to tell you, rainfall during March to June was 198 mm compared to average of 145 mm in UP. In Bihar, it was 223 mm compared to 157 mm average. And Jharkhand, it was 215 mm compared to 155 mm average. So you can see the difference in this period.

Similarly, temperature during March and June in current year in UP, it was 35.1 degrees Celsius as compared to 37.6 degrees Celsius. In Bihar, it was 34.8 degrees Celsius in current year compared to 37 degree centigrade average. And in Jharkhand, current year, it was near 34.5 degrees Celsius, whereas its average was 36.4 degrees Celsius.

As a result, demand for the seasonal cooling products plummeted in line with the broader industry trends for retailers and OEMs. Leading OEMs in the cooling category reported a 15% to 30% decline in primary sales due to sharp buildup of channel inventory,

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particularly across India on start of summer season.

However, even under these circumstances and challenges beyond our or anyone's control, I'm happy to inform our shareholders that our revenue grew 6% year-on-year over a strong Q1 FY '25 base to INR940 crores, highlighting our strength of execution and adaptability to adverse situations.

Despite elevated fixed costs associated with the 29 new stores launched in trailing 12 months, which are expected to normalize as they mature, I'm really happy to report that we have maintained EBITDA margins at 9.5% and our profit after tax grew by 4% to INR55 crores compared to INR53 crores Y-o-Y. Our gross margins improved from 15.22% to 15.33% Y-o-Y. This was a result of our proactive steps to manage profitability.

We rationalized noncritical operating expenses, including advertisement, promotional spending, warehousing, freight and security expenses while preserving front-end service quality. This measured focus and precise cost control ensured operational stability throughout this peak season.

Amid external softness, internal discipline played a decisive role, anticipating a strong summer air conditioner sales, as you are

aware, we proactively stocked inventory at the end of Q4 FY '25 to mitigate potential compressor shortages and benefit from early season OEM discounts.

However, as demand softened, our teams responded swiftly driving selective sales through targeted promotions and engaging OEMs early to provide enough support in liquidation of

excess inventory. This agile approach helped reduce our inventory levels by INR 150 crores in Q1 FY '26 compared to March '25. And your company remains comfortable on stocks of AC, which has now come to company's historically normal levels.

We also saw a meaningful improvement in our capital position. Due to effective inventory liquidation, robust receivable management and disciplined procurement, the short-term borrowings declined sharply from INR278 crores in March '25 to approximately INR115 crores as of June 30, '25.

Our retail footprint continues to expand in line with our long-term strategy. We opened 4 new stores during Q1, consistent with our strategic quarterly pace. I'm pleased to share that we have added 3 more stores in July '25, taking our store count to 182 as on date. We remain on track to add 25 to 30 new stores in FY '26, aiming to cross the 200-plus store milestone by year-end. Our presence in Central Uttar Pradesh, including Lucknow, has deepened further, strengthening our reach across key cities of UP.

Looking ahead, we remain optimistic. India's economy is expected to grow by 6.4% in FY

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'26, supported by rising rural incomes, public capex momentum and improving consumer confidence. The Union Budget 2025 personal tax relief is expected to release INR1 lakh crores into consumers' hands should provide a strong tailwind for discretionary retail during the festive quarters.

In Bihar, as I speak, effective today, the 125 unit free electricity scheme has been launched by the government, which will boost consumer durable and electronic demand and support overall consumption. It will further enhance the disposable income in hands of consumers and will psychologically lead them to buy products driven by electricity.

While Q1 brought unforeseen external challenges, our fundamentals remain solid, a reflection of Aditya Vision maturity, resilience, resurgence and consistent execution. And we hope that this pent-up demand is -- we are going to reap the harvest in next FY Q1.

So now, I'll hand over the floor to Mrs. Yosham Vardhan to provide an overview of the financial highlights for the quarter. Over to you, Yosham.

Yosham Vardhan: Thank you, sir, and good evening, ladies and gentlemen. We are pleased to report a stable financial performance for the Q1 of FY '26. Let me take you through the key highlights.

Revenue for Q1 FY '26 stood at INR940 crores, reflecting a year-on-year growth of 6% compared to INR889 crores in Q1 FY '25.

Gross margin saw improvement at 15.3%, up from 15.2% in the same quarter last year. EBITDA for the quarter stood at INR90 crores with EBITDA margin maintained at a healthy 9.5%. Profit after tax came in at INR55 crores, registering a 3.9% increase over INR53 crores in Q1 FY '25.

Our retail footprint continues to expand. As of June 30, 2025, we operate 179 stores, 113 in Bihar present across all 38 districts, 30 in Jharkhand, covering 21 of 24 districts, 36 in Uttar Pradesh, where our brand continues to gain strong traction.

In Q1 FY '26, Bihar remained our largest revenue contributor at 76%, followed by UP at 13% and Jharkhand at 11%. Same-store sales growth for Q1 FY '26 stood at minus 4%.

We also witnessed a reduction in inventory by INR150 crores compared to March 2025 and reduction of short-term borrowing from INR278 crores in March to approximately INR115 crores as of June 30, 2025.

Thank you for your continued trust and support. We now open the floor for questions.

Moderator: Thank you very much. We will now begin

the question and answer session. The first

question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

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Aniruddha Joshi: Sir, regarding the air conditioner, essentially air conditioner, refrigerator, air cooler and fans. So all the summer products, what will be the inventory? And what will be the plan to, in a way, reduce the more than normal inventory? Also, whether the brands are offering any support to us. We heard that the air conditioner market offering free installation also or like number 2, number 3 players are also offering discounts, some discounts. So how are we on that front? So that is question number one.

And then question number two is the BEE norms will change in air conditioner in January, means rather from January. So we will have to finish off all the inventory, I guess, by end of December itself. So considering only 5-odd months left, so which are any way monsoon and winter months. So what will be the strategy of the company to work towards the reduction in the inventory?

Yashovardhan Sinha: Thank you for the question. As far as inventory is concerned, I have already spoken in my earning call that we have reduced our inventory to the tune of INR150 crores. And on the

AC front also, we are at a very normal level, which is a historical level for our Aditya Vision with so many stores. So we are quite comfortable with our stocking of AC. And it's not a cause of concern at all.

As per our strategy, we -- in fact, from mid-May, we started destocking. And right now, again, what you said that whatever stock left, your question number second is that BEE will be applicable from January next year. So actually, we are not barred from selling whatever we will be carrying at that period. The only manufacturer OEMs cannot -- they cannot manufacture product, which is not BEE as per government guidelines.

So we are not stuck up with any product, even if -- otherwise, also, you are not going to sell all the ACs even placed on display on your showrooms. And when you are having, let us say, 180-plus showrooms, so everywhere, you have to keep the AC, whether it is -- even if it is a winter or something because when customers, they see it, then only they come to buy it when the season arrives.

So that way, we are -- I don't think there will be any challenge. And as you said that OEMs are very flexible in this regard. In fact, they were very supportive. It will not be proper for the company to divulge what support we actually get from OEMs. But I will say that substantial support has been provided by all OEMs to us so that we can liquidate our AC inventories, and we are quite satisfied on that front.

Aniruddha Joshi: Okay. Sure, sir. Just in terms of the stores, now we have rolled out only 4 stores in Q1, but I guess we have rolled out 3 stores in July month itself. That's right?

Yashovardhan Sinha: Absolutely. So as you know -- you must be aware, strategically, we opened less stores in Aditya Vision Limited

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Q1 because of lean season -- entry into lean season. And then we start building up our store count.

Aniruddha Joshi: No, just wanted to reconfirm.

Moderator: The next question is from the line of Rehan Saiyyed from Trinetra Asset Managers.

Rehan Saiyyed: I have a couple of questions.

Yashovardhan Sinha: Hello, I am not getting your voice.

Rehan Saiyyed: My question is focused towards the upcoming festive season. So how do you view quarter 2 demand given the upcoming festive season has strong monsoon so far?

Yashovardhan Sinha: Again, I'm not able to hear you.

Rehan Saiyyed: Okay, sir, I will speak a bit slower.

Yashovardhan Sinha: Speak on the microphone or you speak slightly loudly.

Rehan Saiyyed: Okay. Sir, how do you view quarter 2 demand given the upcoming festive season and monsoon so far, are you seeing

any early pickup in the pre-festive order for foot fall trials in stores?

Yashovardhan Sinha: It is -- in fact, I'll say it is too early for us to comment on that. Festive season will start in late September. This is very early this year. Festive season is going to come. I think Mahalaya will be in September itself. So we'll be preparing ourselves by end of this -- before the end of this quarter for that. And as far as demand is concerned, I'm very optimistic that because of good rains, as you have seen, very good rains and probably 10% more crop has been so far.

So I think that bumper harvesting will be there in entire geography where we are operating.

So I think given that Q1 was not that good, so people will be having so much of disposable income with them. And I think festive season should go really well.

Rehan Saiyyed: Okay, sir. Okay. And my second question is around your seen sharp jump in revenue quarter-on-quarter. So could you highlight how much of this was sharp jump in revenue in quarter-on-quarter basis. So could you highlight how much of this was driven by volume growth versus price hike or average selling price increase?

Yashovardhan Sinha: You are aware that in Q1, this is the summer season and AC contributes higher. So our contribution for AC in '26 was around 42% of our entire revenue.

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Rehan Saiyyed: Okay. And sir, one more question is around -- like lastly, what are the 2, 3 focus areas for the management team in the second half of FY '26 for sustainable growth?

Yashovardhan Sinha: What are the focus areas?

Rehan Saiyyed: Two to three focus areas that management is focusing internally.

Yashovardhan Sinha: Our focus area will be to how to enhance our presence everywhere and boost sales. This will be our primary focus.

Rehan Saiyyed: No sir. If I clarify more like apart from Bihar, are you focusing towards any other geography or any other state?

Yashovardhan Sinha: No, no. We are expanding. Right now, we are -- our focus is Uttar Pradesh, and we are not

right now focusing any other state.

Rehan Saiyyed: Okay, sir. Can you clarify the capex guidance regarding for this year?

Yashovardhan Sinha: You are not audible. Capex for what you said, repeat it?

Rehan Saiyyed: For this year, for this year, FY '26.

Yashovardhan Sinha: We have already guided that we'll be opening around 25, 30 stores in this financial year.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global Financial Services.

Devanshu Bansal: Just wanted to better understand the steps that have gone or initiatives that have gone behind the stable EBITDA margins. As you mentioned that, obviously, retail comes with higher fixed costs and there were new store additions over the last 12 months as well. So if you could just throw some light on the key initiatives that we have taken? And are these sort of sustainable or with the return of sales growth, these expenses should also sort of come back to the previous levels?

Yashovardhan Sinha: Actually, I've already spoken in my earnings call that we -- when our top line was -- we could understand that top line cannot improve because of the weather. So we were very much focused on our expenses, operating expenses. So we try to keep it as minimum as possible. As you know, if sale is not there, so there are so many bonuses and incentives, these are also not there for employees. So that has also cut down on our expenses. And more so when the sale is not like -- we are used to grow at a 30% level. But we have not grown at that level in this quarter. So our entire cost on freight, security expenses,

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warehousing, sale promotion, everything has come down. So these things have been effectively managed by us and keeping in view that we have to see the bottom line as well. And if we

are not able to increase the top line, at least our bottom line should remain stable.

So these are the key factors. And once we are on our track of high growth, then again, these expenses are going to go up.

Devanshu Bansal: Understood. Fair enough, Mr. Sinha. Secondly, sir, you did provide that gross debt is around INR115 crores. Can you also highlight what is the cash level at Q1 end, that will be really helpful.

Yashovardhan Sinha: In fact, if you take entire equity and cash -- whatever cash and cash equivalent is with the company, it's at INR141 crores.

Devanshu Bansal: Okay. Okay. Fair enough. So whatever cash inventory reduction has happened has helped to sort of lower down our debt levels, right? So that is the right understanding.

Yashovardhan Sinha: And there has been -- positive cash flow

Moderator: The next question is from the line of Madhur Rathie from Counter Cyclical Investments.

Madhur Rathie: Sir, I wanted to understand the inventory that we have as of Q1 FY '26 end versus what it was in Q1 FY '25.

Yashovardhan Sinha: I may not be able to tell you about last year's inventory level. But what I remember, it must be around , it must be around INR380-odd crores. And in this year, it will be, if you subtract INR698 crores and minus INR150 crores. So it will be around INR548 crores.

Madhur Rathie: Got it. Sir, do we like foresee -- sir, we mentioned that we focus on discounting to get our AC stocks to normalized levels. So do we -- sir, I wanted to understand 2 things regarding that. Sir, do we expect any further discounting over the next 3, 4 quarters or interest cost burden that we can expect? And the second question was, sir -- yes, sir, that was my question, sir.

Yashovardhan Sinha: I'm afraid, Madhur, you will have to repeat the question.

Madhur Rathie: Yes, sir, I wanted to understand regarding this inventory level.

Yashovardhan Sinha: Can you speak slightly louder, please?

Madhur Rathie: Yes, sir. Sir, I wanted to understand, you mentioned that we focused on a little higher discounting to get our AC stocks to normalized levels. So what was the impact of that on our margins? So was at 0.5%, 1% on our margins?

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And the second question was, sir, this inventory that we have currently, sir, do we expect some kind of either discounting cost or interest cost burden over the next few quarters to hit our books? Or we expect we are fairly comfortable with that?

Yashovardhan Sinha: But I think I never -- Madhu, I never said that we've resorted to discounting. I do not know where you have got this word from. But we never resorted this to any discounting. We -- in fact, we took all the support from OEMs like, as you know, how they support, they give free installations and they give various other facilities to the customers, so these are the things.

But discounting is not -- by discounting, there was no need for it to give any discount that

way. And secondly, in future also, when I'm telling you that we are at a comfortable level of stock in air conditioner, so we need not go for discounting or -- we are very comfortable. We aren't desperate to liquidate our stock.

Moderator: The next question is from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund.

Renjith Sivaram: Congrats on a decent performance despite the headwinds. Sir, I just wanted to know what was your same -store sales growth if you can -- if you have that number?

Yashovardhan Sinha: Yes. Yes, I'm having that number. Same store sales growth has been negative 4% in Q1 FY '26, which was at 21% last year Q1 FY '25. So it is a negative figure of 4% SSG.

Renjith Sivaram: Okay. So despite having a v ery bad AC sales , the same store sales growth is only negative 4% means like we were able to sell other products apart from air conditioners? How were we able to manage that? I wanted to understand

because AC category would have fallen much higher than this, right?

Yashovardhan Sinha: No, no, AC has not fallen as such. I told you AC contributed around 42% of our entire turnover, and there was a degrowth of only 2%.

Renjith Sivaram: Okay. Despite a bad summer in the same store sales growth in summer.

Yashovardhan Sinha: Yes, sir, despite the bad summer. So our negative SSG, just denote that the other branches also performed, which opened after that period in trailing 12 months.

Renjith Sivaram: Okay. And sir, for the full year, how do you see the same -store sales growth for FY '26?

Yashovardhan Sinha: Definitely, I believe that we will be in positive territory. And given that we have got another 3 quarters with us and this all festive season, everything is coming very quickly.

So we are quite confident and optimistic that the remaining period will be go od.

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Renjith Sivaram: Okay. And overall sales growth guidance, have you given any number or any color?

Yashovardhan Sinha: I don't think any guidance can be given on the top line as of now.

Renjith Sivaram: Okay. Okay. But you are confident that it can be better than last year?

Yashovardhan Sinha: This is what I believe, Renjith, and I don't think you will d iffer with that. If rainfall has been very good across these states, so that has been -- there will be a bumper crop, which is to come. And as you know, that mostly it is agrarian society entire this area.

So I think that, there will be considerable money left with the customers. And given I told you that in Bihar also, this is a unique, in fact, scheme, 125 units free. It has been kicked off from today. So that will also give a psychological effect to peopl e that, yes, let us go and buy, we are getting free electricity. So these things, I think these will act as a tailwind. And of course, considering that even personal income tax has been lowered. So these I think this will be giving us good traction.

Moderator: The next question is from the line of Rajiv Bharati from Nuvama.

Rajiv Bharati: Sir, in terms of inventory, volumes sold in Q1 this year versus last year -- this quarter, and similarly last quarter last year. And then in the remaining part of last year, what was the volumes sold? And what is the inventory in -- AC inventory in particu lar, which we are carrying right now?

Yashovardhan Sinha: I have already spoken, Rajiv, that we are at a comfortable level, like you have to have at least even in smaller showrooms, you must have AC on display as well as you must have keep in your warehouse also, minimum 1 plus 1. So whatever our requirement is t here with 180 branches and coupled with around 12 brands we are, in fact, selling. So these altogether, we are quite comfortable in that. So I don't think there is any problem in any liquidation orwe'll be desperately looking for any su pport.

Rajiv Bharati: So why I'm asking is, if I heard you correctly, you said INR548 crores is the inventory which is sitting in the system right now versus INR380 crores and this you're talking about across the brands, right? If I attribute that -- this is a 44% growth. The network is not expanding by a similar amount. And this AC's , I was thinking that in terms of ASP also wouldn't cover for the delta. So there is some inventory which will get stuck if we attribute that the proportion of inventory.

Yashovardhan Sinha: You should calculate by adding 29 stores in trailing 12 months as well as another 7 stores -- another 5, 6 stores are to be opened. So we have to have inventory for those stores also.

These things you will miss from the finer print, but this is what will b e required. So if you will add all the branches altogether and given th at- in fact,this is not end of the season for

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AC.

This is just -- we have just started in August.

If we are comfortable in July, in August, also we -- AC sale is there in August. Of course, around about not less than 10,000 ACs are sold in August also. So I don't think there will be any problem. And we have to keep that bit of stock to see through August and September.

And in these -- in modern times, AC has not become product for only summer season. In fact, these days, ACs are selling around the year. Of course, peak comes in Q1 and -- but -- and it gradually peaks out in July, August, September. So this is it. I don't think that is a matter of concern.

Rajiv Bharati: So sorry to harp on this. If you can just specify Q1 versus full year volume, what is the ratio usually? I mean, historically, what is the ratio of AC volumes?

Yashovardhan Sinha: Entire AC, it will be around 65%.

Rajiv Bharati: In Q1, right, of the entire thing?

Yashovardhan Sinha: Yes

Rajiv Bharati: Okay. Got it. Sir, the other part is your Western UP foray. One, how is the initial ramp-up has been in, let's say, year 1 performance versus how we have been in Eastern UP? And also, what is the right to win in Western UP because there are other guys also entering that micro market from Western side?

Yashovardhan Sinha: So you must have seen from the investor presentation that we have already -- UP has surpassed Jharkhand as a percentage of sales coming to Aditya Vision. So of course, this corroborates our statement that UP is doing very well. So I can only say that, yes, UP has been doing well. And now that we have expanded to Central UP and further we are going to expand beyond Central UP towards West, we are getting good business.

Moderator: The next question is from the line of Onkar Ghugardare from Shree Investment.

Onkar Ghugardare : So generally, normally, the 40% business of yours like the revenue and 50% profitability comes in the first quarter itself. So given that situation, currently, how the situation has been for the quarter 1? How do you think the year could pan out as 40% revenue and 50% profitability comes in Q1?

Yashovardhan Sinha: Yes, that -- I think, of course, it is going to have -- take it to Q1 because Q1, we have been growing at the rate of not less than 30% in past years. And this year, as I said, that this was totally different. It was a freak year Q1 altogether. So that will have its impact on our entire

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year's performance.

But we are quite confident that with added branches network of around new 45 branches, we'll be able to do much better than what growth we have got in last year's Q2, Q3 and Q4. So I think these are going to help us in getting our top line right. But it is too early for me to tell you and give you any guidance.

Onkar Ghugardare : Okay. So what has been the contribution of the mature store and newly opened store in Q1?

Yashovardhan Sinha: That figure I'm not having.

Onkar Ghugardare : So like tentative figure, if you can give like how much they are contributing?

Yashovardhan Sinha: Onkar, actually, it is an ongoing thing. Since we are a rapidly expanding company, so every, let us say, new stores are coming up regularly. So it's very difficult for us to tell you that exactly the whole year, we can say, but some stores have opened in the last month, some opened stores in February, some in March, some in January. So it will not be a right comparison.

Onkar Ghugardare : Why I'm asking this question is because like I just wanted to know how much the new stores have contributed so far in the top line? And how much potential they have to?

Yashovardhan Sinha: You can find from the what figures I have given you. In fact, if our -- overall, we have -- our sale has increased by 6%. But our SSG has come down by minus 4%. So you can easily calculate what contribution they have given.

Onkar Ghugardare : And you have guided for 200-plus stores

in FY '26,. So just wanted to know beyond that, do you have any target in mind for this division? How much stores can be added every year?

Yashovardhan Sinha: We are quite confident of adding 25, 30 stores, but we are -- in fact, we want to add even more stores because we are getting very good responses in new areas. But these are -- as always, we have guided conservatively, and we always say that it was there in the investor presentation also that we'll be adding minimum 25 stores every year.

Onkar Ghugardare : Okay. In the earlier presentations, you had mentioned about what kind of growth rate you will be growing at. I don't see that kind of target given in this presentation.

Yashovardhan Sinha: As you know that we have been going, what do you expect? What you take the past for the future. But if something goes wrong, sometimes it's not in your hand. So this was the quarter I've been telling all, -- I gave you the figures also that how weather behaved

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strangely in this quarter. So maybe we may not be achieving our, let us say, guidance. But we have always been guiding about 20%, 25% of the growth in sales, which even now our team remains confident of achieving.

Moderator: The next question is from the line of Yash Sonthaliya from Edelweiss Public Alternatives.

Yash Sonthaliya: Yes. So my questions are related to our UP market. So 2 questions over there. First, going ahead, when we are saying we are going to open 20, 25 stores and maybe 18 -plus stores in this year. So what would be the proportion of Tier 2 and below and Tier 1 and above cities in this store expansion?

Yashovardhan Sinha: We are -- right now, we have been focusing on Tier 2 cities only, and that's it. We are already present in Lucknow. And we are focusing in -- I would rather not like to divulge what we are intending to -- where we are intending to open. That will not be in company's interest. But mostly now this Western UP will be our next place where we are going to open new stores.

Yash Sonthaliya: Understood, sir. And while you already alluded about the performance in UP, right now, are we giving any extra discounts or anything extra gifts or offers to the customers, which are impacting our margins in UP?

Yashovardhan Sinha: Not at all, Yash, not at all. It is a basket. The margin comes in basket and UP behaves similarly as Jharkhand or similarly, almost similarly as Bihar.

Moderator: The last question is from the line of Manoj Gori from Equirus Capital.

Manoj Gori: I think the overall performance has been somewhat assuring in the current environment, especially on the inventory side. So my question is, if I look at probably we have been guiding roughly around 20%, 25% growth. So obviously, keeping aside our 1Q performance, which is now gone, and is behind us. Should we expect similar kind of growth probably from 2Q onwards for the rest of the year because now probably summers largely are done? And should we expect similar kind of momentum from 2Q onwards?

Yashovardhan Sinha: Yes, Manoj, definitely. What you are saying is right, Q1 is behind us. And of course, Q1 was impacted by weather and AC was the key reason. And for Q2, Q3 and Q4, it will not be that dominant in our category sale, the ACs. So we are quite very confident of achieving that.

Manoj Gori: Right, sir. Sir, secondly, what I was also observing, if you look at now we are opening more stores in non-Bihar markets. So -- and when we -- when I look at the Q1 margins as well on Y-o-Y basis, gross as well as EBITDA margin have been flattish. So especially on the gross margin being flattish, all the markets, key markets like UP, Bihar and Jharkhand

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operate probably the product mix is largely similar, similar kind of pricing. This is the trend should we assume in the coming years?

Yashovardhan Sinha:

I think so, yes. And it is quite similar. This is what is the story all about for Aditya Vision. Whatever we are -- in fact, it is going to remain stable till all -- this area of geography, they behave in the similar pattern. So I think going forward, in future also, we are going to have the same category sales.

Manoj Gori: Sir, lastly, if I look at probably a few quarters back, we were talking about Chhattisgarh as a new market opportunity for us. And somewhere we were targeting to get into this market in FY '26 or probably later into FY '26. So currently, at least for FY '26, we are not getting into this market. And probably we will focus more on strengthening our presence into UP. Is this understanding correct?

Yashovardhan Sinha: We cannot. In fact, right now, we can commit it because we are looking at those markets, what you said, Chhattisgarh market. So we won't say that we will not be entering. Maybe in Q4, we may be entering in these markets.

But right now, what I said that right now, we are not, in fact, expanding in Chhattisgarh as of now. But it is a long way ahead. Just 4 months have elapsed out of 12 months. And so by end of this year, I think we'll take a call by Q4 to expand in Chhattisgarh, but that's definitely in our agenda.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments.

Yashovardhan Sinha: I thank all of you who were attending the earnings call and sparing valuable time. Thank you very much. Have a good time ahead. Thank you so much.

Moderator: Thank you, sir. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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November 14, 2025

BSE Limited National Stock Exchange of India Limited
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Dalal Street Bandra Kurla Complex, Bandra (East)
Mumbai -400001 Mumbai - 400051

Scrip Code: 540205 Symbol -AVL

Sub: Transcript of Analysts/Investors Call pertaining to the Unaudited Financial Results for the quarter and half year ended September 30, 2025

Dear Sir(s)

Please find attached herewith a copy of the transcript of the Analysts/Investors Call on the Unaudited Financial Results of the Company " Aditya Vision Limited " for the quarter and half year ended September 30, 2025 held on Friday, November 07, 2025.

The same is also being made available on the Company's website at: www.adityavision.in .

This is for your information and record.

Thanking you

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

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"Aditya Vision Limited
Q2 FY '26 Earnings Conference Call "
November 07, 2025

MANAGEMENT : MR. YASHOVARDHAN SINHA –CHAIRMAN AND
MANAGING DIRECTOR – ADITYA VISION LIMITED

MRS. YOSHAM VARDHAN – WHOLE TIME DIRECTOR
– ADITYA VISION LIMITED

MODERATOR : MR. SIDDHESH DESHMUKH – IIFL

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Moderator: Ladies and gentlemen, good day, and welcome to Aditya Vision Limited Q2 and H1 FY '26 Earnings Call hosted by IIFL Capital Services Limited. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I, now hand the conference over to Mr. Siddhesh Deshmukh from IIFL. Thank you, and over to you, sir.

Siddhesh Deshmukh: Hi, everyone. Good evening. We are pleased to host the management of Aditya Vision Limited for their 2Q FY '26 earnings call. I have with me on the line, Mr. Yashovardhan Sinha, Chairman and Managing Director; and Ms. Yosham Vardhan, Whole-Time Director. I will hand over the call to the management for their opening remarks, post which we can open the floor for Q&A session. Over to you, sir.

Yashovardhan Sinha: Thank you, Siddhesh. Good evening, everyone. We are delighted to welcome you to Aditya Vision's Q2 and H1 FY '26 Earnings Conference Call, where we will review the company's financial and operational performance, along with key strategic developments during the period. Our earnings presentation and financial results have been uploaded to the stock exchanges, and we hope you have had a chance to review them.

Trailing muted Q1, July-September quarter presented its own set of external challenges, marked by extended and above normal monsoon across our key markets. The rainfall during the period remained significantly above the long-term average with Uttar Pradesh receiving around 870 mm, Bihar about 990 mm and Jharkhand roughly 785. Temperatures were also significantly below seasonal norms, which resulted in softer demand for cooling products. More details are on the investor presentation.

In addition, the quarter was influenced by subdued demand during the Shradh period, coupled with delayed implementation of the revised GST slabs, which kept customers withholding their purchases throughout most of the August and September. With the onset of festive season, colliding with implementation of revised slabs of GST from September 22, 2025, the last 9 days of quarter saw a very strong rebound with demand rising exponentially in big size television and AC category along with all other categories as well, which gave us respectable growth in sales.

Despite these temporary headwinds, Aditya Vision delivered a robust performance in Q2 with revenue growing by 22% year-on-year to INR458 crores. Our gross and net margins largely remained stable, supported by an optimized product mix, tight cost control and

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continued efficiency in operating expenses.

As a result, profit after tax for Q2 increased by 4.2% year-on-year to INR13 crores. Category-wise, large screen televisions, mobiles and washing machine performed well, supported by pent-up demand and improved affordability following the massive GST cuts. We continue to expand our retail footprint with the same cluster discipline that has been central to our model, adding 9 new stores during the quarter and taking our total to 188 as of September 30, '25. We remain on track to cross the 200-store milestone within this financial year, reinforcing our presence across Bihar, Jharkhand and Uttar Pradesh and expanding deeper into UP markets.

With our entry into bigger cities and towns in UP, we have seen elevated capex due to bigger store sizes, which will continue as our major expansion now focused on large showrooms. Our cluster-based approach ensured optimized logistics, superior service delivery and a stronger regional brand recall, helping us sustain our leadership in Hindi

Heartland.

As of September 30, 2025, our inventory stood at INR676 crores. The higher inventory position reflects deliberate stocking for the ongoing festive period with major events such as the Dussehra started from September '22, Navratri and Dhanteras and Diwali coming in very early this time in mid-October.

This strategic buildup ensured adequate product availability across key categories and

timely readiness for peak consumer demand during the festive season. Encouragingly, early trends of festive period indicate strong momentum, particularly in premium appliances supported by post GST price rationalization and improved consumer sentiment. Aditya Vision has entered Q3 in a strong footing, supported by healthy demand trends and strategic inventory positioning. The broader environment is turning increasingly supportive with several policy initiatives driving rural and semi-urban consumption. The INR10,000 direct transfer under the Mukhyamantri Mahila Rojgar Yojana in Bihar to about 1.30 crores women amounting to INR13,000 crores is already boosting household liquidity and discretionary spending. The free electricity scheme for up to 125 units per household amounting to approximately INR900 per month is lowering monthly outflows, freeing up income for essential and aspirational purchases.

Salary revisions linked to the 8th pay commission with hikes of 30% to 35% for government employees and pensioners will further enhance purchasing power. And at the national level, personal tax relief announced in the Union Budget 2025 are expected to release over INR1 lakh crores into consumers' hands, creating a multiplier effect for retail

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demand.

Our fundamentals remain strong and future-ready built on 26 years of consistent execution, regional dominance and an unwavering focus on delivering value for our customers, partners and stakeholders. With that, I'll now hand over the floor to Mrs. Yosham Vardhan to share the financial highlights for the quarter and half year ended. Over to you, Yosham. Yosham Vardhan: Thank you, sir. Good evening, everyone. We are delighted to showcase the financial performance of Q2 FY '26 and H1 FY '26. Here is a snapshot of our financial outcomes. During H1 FY '26, our revenue increased 10.5% year-over-year, driven by continued expansion and steady demand recovery across key product categories. Gross margin stood at around 15.2%.

EBITDA stood at approximately INR124 crores, translating to an EBITDA margin of around 8.9%, reflecting disciplined expense management and operational efficiency. PAT grew by over 4% year-over-year in H1 FY '24. SSSG for Q2 FY '26 bounced back to double-digit 12%, while for H1 FY '26 came to 2%, reflecting a softer first half impacted by extended monsoons and temporary GST-related adjustments.

However, demand witnessed a strong rebound towards the end of the quarter, supported by improved festive traction and recovery in consumer sentiment. In H1 FY '26, Bihar contributed the majority of revenues touching 77%, followed by Jharkhand, 11% and Uttar Pradesh, 12%, reaffirming the strength of our cluster-based approach and strong regional presence.

In Q2 FY '26, our revenue recorded a year-on-year increase of 22%, supported by a strong rebound in the closing weeks of the quarter. Gross margin remained steady at around 15.1%. EBITDA for the quarter stood at approximately INR35 crores with margins of 7.6%. Profit before tax stood at approximately INR17 crores and profit after tax for the quarter stood at INR13 crores, up by 4.2% from INR12 crores in Q2 FY '25. We can now open the floor for questions.

Moderator: Thank you, ma'am. Thank you very much. Our first question comes from the line of Anirudh Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Congrats for very healthy revenue growth in a tough quarter. Sir, now the

margin is slightly

on the lower side on a year-on-year basis. I agree these kinds of variations are normal, but any color if you want to share on that? That is question number one.

Question number two, now in AC and fans, the entire industry will shift to new BEE norms from January itself. So just less than 2 months now. So, what is the strategy on inventory

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buildup in these 2 categories before the -- in a way the change happens in terms of pricing also and new products also?

And third and important question, now with the Bihar elections underway, we hear about a lot of schemes like INR10,000 given to more than 1.25 crores women. So logically, that can lead to some growth in kitchen appliances or other appliances also. So, what is the outlook? And how do you see the -- any potential on that front? Yes, that's it from my side.

Yashovardhan Sinha: Anirudha, as far as gross margin is concerned, it would -- actually sale of air conditioner and cooling products, as you know, has been muted in entire half year. So, this is because we were having much better margins in cooling products normally in Q1 also. So, in that H1 has suffered. And in fact, what I told in the earning call also that even Q2 was also very

soft in that temperature-wise or rainfall, but there were a lot of rainfall. So gross margin was under pressure definitely because of major categories of cooling products were flat. Secondly, you have asked for new launches of AC. Yes, new launch of ACs is in the pipeline from all manufacturers. So, we think that going forward, we'll be having new products altogether because we -- as I have told earlier also, we are comfortable on our inventory side.

Lastly, what you asked about the scheme, INR10,000 Mukhyamantri schemes has come. It has, in fact, inducted around about INR13,000 crores in the hands of women. And we are expecting a very good rebound in ASPs also because of this extra liquidity among them. And we are very bullish on commercial refrigerators or commercial deep freezers and all that because these categories will do very well for those who want to build some new businesses.

Aniruddha Joshi: Okay. Sure, sir. Very helpful. And just one last question. What will be the inventory of cooling products that is essentially air conditioner and refrigerator, any excess inventory only in these 2 products?

Yashovardhan Sinha: No, I just told you that there's nothing. We are very comfortable as far as cooling product. The cooling product inventory actually refrigerator, there is no problem at all. The reason being that we are very -- always very short of it because it is sold across the entire year. And ACs are, of course, these are the products which are sold mostly during summer period. So, we are comfortable on that.

Moderator: Our next question comes from the line of Yash Sonthaliya from Edelweiss Public Alts.

Yash Sonthaliya: Congratulations for a good set of numbers. So, my first question is on the pricing part, which you have mentioned in your PPT, 7%, 8% decrease in prices. Is this a replacement

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to the EMI discount, which came after GST in all your stores? Or is it over and above those discounts which are going on?

Yashovardhan Sinha: No, no. My answer in a very simple way, Yash, 7% to 8% prices have come down just because of GST cut. It's nothing to do about with our discounting on anything.

Yash Sonthaliya: So, if I'm understanding it correctly, then now in the stores, the prices will be 7%, 8% down and then there will be also one EMI or something which is already going on. Am I correct?

Yashovardhan Sinha: These are ongoing schemes which is given by the manufacturers in collaboration with financiers. So, these things are totally different thing, which is brought by the manufacturers.

Yash Sonthaliya: Go

it. Got it. And sir, specifically, like you already mentioned in the earlier question, but specifically Q2 to Q2 comparison, our AC and cooling product sales were on the Y-o-Y basis lower level for the quarter or at least have grown?

Yashovardhan Sinha: No, it has not dipped. It has just remained flat.

Yash Sonthaliya: So sir, I wanted to understand if the sales of cooling product has been flat on Y-o-Y basis, then why our margins for Q2 is lower by 30 bps when compared to Q2 of last year?

Yashovardhan Sinha: This is the reason because we were selling ACs a lot. The percentage of sale of AC was nearly 48% last year. And in H1 -- entire H2, it was 38%, which has come down to 34%.

So, when cooling products -- sale of cooling products come down, margins are affected.

Yash Sonthaliya: Got it. And sir, last bookkeeping question. What was the SSG particularly for Q2?

Yashovardhan Sinha: SSG for Q2 was 12%.

Moderator: Our next question comes from the line of Manoj Gori from Equirus Capital.

Manoj Gori: Glad to see the assuring performance during Q2 despite the uncertainties. So, my question is, if we look at this year, as you highlighted in the opening remarks, like at the end of the quarter, probably during the last week, we saw a huge turnout of consumers with the festive season onset and GST rates getting implemented.

There has been some spill from Q3 to Q2. So just a near-term question, Q3 and Q4 when we are looking at 20%, 25% growth, but with festive season slightly moving into Q2, how do we see the quarter probably for the second half? That's my first question.

Yashovardhan Sinha: That's your first question. Can you ask all your questions?

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Manoj Gori: Sir, my second question is, given that this year, we have seen a very muted performance on the cooling product categories, including air coolers, refrigerators or ACs, how do we see the upcoming season because obviously, the base will be favorable. Do you see pent-up demand coming in the volumes that we would have lost, plus do we see organic growth also kicking in? And accordingly, your Q1 of FY '27 should be extremely strong. And accordingly, your FY '27 growth might look far higher than what we normally aspire for

of 20% to 25%, that's my second and last question.

Yashovardhan Sinha: Okay. My reply to your first question is that, yes, of course, 9 days, it had kicked in -- huge sale -- had kicked in and festive season overlapped Q2. But entire -- as you know, in Bihar, in Jharkhand and Eastern UP, our festive season is prolonged. It goes beyond Diwali upto Chhath, which is almost -- we have got another month's time, entire October, we have got as a festive season.

This was the reason also for keeping our inventory level high because we were aware that we'll be selling throughout October. And as I have told you that it has started very well also. So again, whatever we are still seeing very good pent-up demand. Still, we are seeing and what I said that from macro level, so much of money is coming. So, the money, we definitely, we believe that it is going to come into our system. And second question was about that we'll be doing better. Yes, yes.

Manoj Gori: Better than 20%, 25%.

Yashovardhan Sinha: Yes, definitely, this is what we foresee. And you can understand that even though we'll be entering into Q3 and Q4, we expect very good figures in Q3 and Q4 both as well. And what you said that if things are normal, then Q1 FY '27 should be definitely a very, very great one.

Manoj Gori: Sir, one small question just as a follow-up. So, if we look at all the government initiatives or the liquidity infusion that has been happening, are we trying to be conservative or probably we are still keeping a watch how this translates into demand? As you highlighted in your opening remarks as well that all this INR10,000 and everything will be

flowing

into the purchases. Can this be an additional catalyst for demand in the coming times?

Yashovardhan Sinha: Definitely, Manoj that the money, whatever money is coming in the hands of these people, it is bound to be invested somewhere like just think of it that it is passed over to women mostly. And if they start up a business, they are going to get another around full INR2 lakh per person if they start a business.

So, starting -- for starting a business the primary thing will be either it will be a dairy, in dairy, they need refrigerator, they have to come to us. For establishing a business, they

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have to have a mobile or a laptop. So, these are -- the money is going to bound to flow into our system, and we will be a key beneficiary for all these benefits.

Moderator: Our next question comes from the line of Vidhi Shah from CRK.

Vidhi Shah: My question is how many stores are you planning to add in FY '24?

Yashovardhan Sinha: Excuse me, Vidhi Shah, can you speak louder, please?

Vidhi Shah: Am I audible now?

Yashovardhan Sinha: Yes, yes. You are audible but just slightly louder.

Vidhi Shah: Yes, sir. So, my question is can you guide us on the number of stores that you're planning to add in FY '26 second half as well as FY '27? And can you tell me how will it be funded?

Yashovardhan Sinha: It will be funded from our own sources. And we are planning to add 30 to 35 overall stores in FY '26.

Vidhi Shah: Okay. 30 to 35 in H2 '26 itself?

Yashovardhan Sinha: No, no. I said overall. So, whatever we have opened, overall, it will be 30 to 35 stores in entire year.

Vidhi Shah: Okay. Understood, sir. And your guidance on EBITDA margins and SS SG?

Yashovardhan Sinha: We have already -- one more thing. We have already opened 13 stores, and our strategy is to open most of the stores in H2. This is -- this strategy means with us. So, most of the stores will be opened in H2.

Vidhi Shah: Okay. Understood, sir. And any guidance on the EBITDA margins and on the SSSG?

Yashovardhan Sinha: We hope to maintain our EBITDA margin. I can give you a range from 8% to 10%.

Moderator: Our next question comes from the line of Chetan from Systematix Group.

Chetan: Congratulations on strong top line performance. Sir, two questions. First, can you give some qualitative sense on how is the revenue per square feet in UP compared to Bihar?

And second, if we see the store breakeven period is currently, say, around 7 to 9 months.

So, do the newer stores in UP show similar trajectories? Or is the gestation lengthening with the deeper market entry currently?

Yashovardhan Sinha: In our opinion, we do not divulge these figures where we are doing what sort of a sale

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because that's not good for the competition purposes. However, I think breakeven will remain the same, what we have projected. And UP is what we see that UP is performing very well. And as I told you in last conference call also, that UP has been performing exceedingly well, more so in the larger cities and because of which we are shifting to larger

cities as well. And I think going forward, we'll be maintaining it.

Moderator: Our next question comes from the line of Aliasgar Shakir from Motilal Oswal Mutual Fund.

Aliasgar Shakir: Sir, first question is on the -- I mean, outlook. If you can just share how has so far the festive season gone? And given that this year, festive season has shifted. So, if you could like-to-like give us an indication of how you would have seen the festive season performance?

Yashovardhan Sinha: Festive season was very robust. We have already been saying. In fact, it was there were huge tailwinds supporting it. So, our festive season was very robust.

Aliasgar Shakir: Got it. And just a quick follow-up there is that have you seen any impact in business pos

t

festive season or the traction is continuing to be strong?

Yashovardhan Sinha: Post festive season, of course, the sales are generally normalizing, but we are seeing good uptick.

Aliasgar Shakir: Understood. Sir, second question is on the inventory. So overall inventory is more or less similar to where it was in March, somewhere about INR20 crores, INR25 crores lower. So if you can just share your thoughts, I understand that March typically is your peak inventory because of the beginning of the summer season?

I know even now you would have seen some buildup, but I thought that one would have expected this to come down more significantly probably because of the buildup of AC inventory would have come down. And you mentioned that you are at comfortable level in the AC inventory. So just your thoughts on that.

Yashovardhan Sinha: Yes, but it was very normal for us. And as I told you that this September quarter, in fact, it was a midst festive season. So, it was -- in fact, I'll say it was a very peak period for the festive season. And we could not have afforded to have anything to not build at that time when entire month of festive season where huge sales are expected was in front of us. So, I don't think it's all strategic buildup, and it has to be done to, as you said, to increase the sale as well as profit.

Aliasgar Shakir: Okay. So how should this trend in December, I mean, given that once the festive season is behind?

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Yashovardhan Sinha: In December end, definitely, it will come down. And because there won't be any such triggers at that time. But again, nobody can say for sure that we will not be having that good level of inventory. The reason being that we are foreseeing 6% to 8% increase in air conditioner prices from -- going forward from 1st of January.

So maybe if we are -- we get good deals with companies for the older models, it will be very much cheaper than the new series. So, it all depends, Ali, because you have to be a businessman for this purpose.

So, the whole thing becomes that we are reporting end quarter results. So maybe it will be very, very low even up to 25th of, let us say, December, but it can go up by 31st if we get very good deals from manufacturers. So, this is all, I'll say, the reason is very, very practical and business oriented.

Aliasgar Shakir: Got it. So, sir, on a per store basis, typically, what is your stable inventory that you keep during the peak season. So, this quarter, I think it's gone somewhere close to about INR3.6 crores.

Yashovardhan Sinha: No. Otherwise our per store our ballpark figure is around INR2.75 crores to INR3 crores.

Aliasgar Shakir: Got it. So, it's close to about INR50 lakhs to INR75 lakhs more than your normal inventory level you are saying during festive period?

Yashovardhan Sinha: Yes, around INR60 lakhs. Right.

Aliasgar Shakir: And just last question, sir, if I can ask is on your -- this quarter, interest cost has gone up, whereas your borrowings are -- have not increased. So, can you just explain why this interest cost has gone up?

Yashovardhan Sinha: It has gone up because of Ind AS, application of Ind AS also. and Ind AS.

Aliasgar Shakir: Okay. I mean I was just doing the simple math that your SS SGs are very strong. So ideally, your EBITDA growth --

Yashovardhan Sinha: Actually, you are seeing whatever we are -- inventories on our books on 30th September, it is to be paid after 30th September. So, interest cost is not very high. Main interest has gone up on amortization and financing.

Moderator: Our next question comes from the line of Anshuman Srivastava from Srivastava Holdings.

Anshuman Srivastava: Yes sir, our working capital days has consistently increased from FY '20 to currently H1 FY '26. Can you please work on improving this?

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Yashovardhan Sinha: It all depends on -- you are looking at days inventory. So that I've been telling so many times that...

Anshuman Srivastava: No, not the inventory. I'm talking about inventory days, inventory days and working capital days. This is on Page number 25 of presentation.

Yashovardhan Sinha: So this is only because our inventory has increased on 30th September.

Anshuman Srivastava: No, I mean it has consistent -- working capital days and inventory days have increased...

Yashovardhan Sinha: You have to understand that in last financial year in H1 FY '25, festive season was not at the end -- it was not in September. It did not start in September. So we would like...

Anshuman Srivastava: Sir, I'm not comparing with the last year. I'm comparing the trend over the past 5 years.

And when I compare inventory days to payable days, payable days has remained low, somewhat low, but inventory days has consistently increased over the last 5 years. I'm not comparing with the last financial year, I'm comparing the trend over last 5 years.

Yashovardhan Sinha: You have to understand that -- wait I understood your question. You have to analyze our expansion also. Most of our inventory, these are sent to the new stores. We have to buy it in advance to send to the new stores. And we have been opening even 45 stores in a single year. So we have to manage the inventory in such a way that it is going up only because we are expanding. Supposing we start -- stop expanding, inventory days will come down.

Anshuman Srivastava: Okay. So you're saying that once the expansion rate slows down that rate will also go down...

Yashovardhan Sinha: Supposing a new store has opened, the inventory will be the same. You have to keep the inventory at the same level, but sales will not be that much. So this is the reason. And when you are opening in a big way, scaling up your business, then it is bound to go up till such time where we are -- let us say, we will be moderate or our percentage of increase in store count will come down.

Moderator: Ladies and gentlemen, in the interest of the time, that was the last question for today.

Yashovardhan Sinha : Thank you to everyone present during this earning call. Thank you so much.

Moderator: Thank you, sir. On behalf of IIFL Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

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02nd February, 2026

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra Kurla Complex, Bandra (East)
Mumbai -400001 Mumbai - 400051

Scrip Code: 540205 Symbol -AVL

Sub: Transcript of Analysts/Investors Call pertaining to the Unaudited Financial Results for the quarter and nine months ended December 31, 2025

Dear Sir(s)

Please find attached herewith a copy of the transcript of the Analysts/Investors Call on the Unaudited Financial Results of the Company "Aditya Vision Limited" for the quarter and nine months ended December 31, 2025 held on Tuesday, January 27, 2026.

The same is also being made available on the Company's website at: www.adityavision.in.

This is for your information and record.

Thanking you

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

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"Aditya Vision Limited
Q3 and 9M FY26 Earnings Conference Call "
January 27, 2026

MANAGEMENT : MR. YASHOVARDHAN SINHA – CHAIRMAN AND
MANAGING DIRECTOR – ADITYA VISION LIMITED
MS. YOSHAM VARDHAN – WHOLE TIME DIRECTOR –
ADITYA VISION LIMITED

MODERATOR : MR. ADITYA BHARTIA – INVESTEC CAPITAL
SERVICES INDIA PRIVATE LIMITED

Aditya Vision Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Aditya Vision Limited Q3 and nine months ended December 31, 2025 Earnings Conference Call hosted by Investec Capital Services India Private Limited. As a reminder, all participant line s will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aditya Bhartia from Investec Capital Services India Private Limited. Thank you, and over to you, sir.

Aditya Bhartia: Good evening, everyone. A warm welcome on behalf of Investec India to Q3 FY '26 Earnings Call of Aditya Vision. We have with us the senior management team of Aditya Vision, represented by Mr. Yashovardhan Sinha , Chairman and Managing Director; Yosham Vardhan, Whole -Time Director.

I will hand over the call to the management for their opening remarks, post which we can open the floor for Q&A session.

Yashovardhan Sinha: Thank you Aditya , from Aditya Vision. Good evening, ladies and gentlemen, and welcome to Aditya Vision Limited's Earnings Conference Call for the third quarte r and nine months ended December 31, 2025. Our investor presentation has been uploaded on the stock exchanges, and we trust it has been reviewed by you by now.

Before discussing Q3, it is important to briefly place the quarter in the context of the year so far. The first quarter of FY '26 was an outlier, impacted by unusually adverse weather conditions, including an extended monsoon and one of the weakest summers in several decades. This weighed on cooling -led demand across our core markets. Despite these headwinds, we delivered positive EBITDA and PAT growth in Q1 FY '26.

From Q2 onwards, momentum began to normalize aided by GST rebate and festive period falling in last 10 days of Q2. Revenues recovered strongly. However, the extended monsoon resulted in a temporary shift in product mix with relatively lower contribution from high -margin cooling categories. As a result, while EBITDA and PAT continued to grow year -on-year, EBITDA margins moderated by approximately 42 basis points and PAT margins softened b y around 47 basis points.

Q3 FY '26 marked a clear step -up in its performance despite the quarter being challenging overall. We performed very well with revenues growing by about 28% year -over-year, aided by strong festive demand with the festive period fr om day 1 of Durga Puja to the last day of Chhath Puja registering 37% growth, out of which first 10 days fell in Q2. EBITDA
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recorded 14% year -on-year growth in absolute terms with EBITDA margins remaining broadly stable on a sequential basis.

Profit before tax before exceptional items grew by 21% year -on-year. However, PBT margins moderated by approximately 33 basis points, primarily due to higher operating expenses, that too primarily because of marketing and promotional activities taken -- carried out in UP in stores like in bigger cities like Lucknow and other store big cities. And this led to higher operating expenses related to store yet to mature.

PAT grew by 18% year -on-year, excluding an exceptional expense of INR 1.5 crores on account of additional provisioning pursuant to implementation of new labor codes with PAT margins moderating by around 38 basis points compared to last year.

Demand trends during the quarter were mixed. October witnessed a strong festive -led demand, translating into healthy footfalls. November and December saw some moderation once the festive season got over, but this was meaningfully offset by a strong recovery in late December, supported by improved customer sentiment

.
From a balance sheet perspective, inventory levels are moderately higher, primarily because OEMs offered attractive discounts on room air conditioners following changes in BEE energy efficiency norms, and we opportunistically built some inventory to position us well ahead of the upcoming summer season.

Overall, inventory level remains well controlled and broadly stable. Store expansion continued in a disciplined cluster -led manner. During the quarter, we added 4 new stores,

taking total store additions in nine months FY '26 to 17 stores and keeping us on track to cross the milestone of 200 operational stores by FY '26 and more.

At the core of Aditya Vision is 26 years of consistent execution, geographical dominance and a long-term approach to value creation. While the year began with challenges, the improving trajectory from Q2 through Q3 enforces our confidence in the resilience of our business model and long growth runway ahead.

With that, I will now hand over the floor to Mrs. Yosham Vardhan to take you through the financial highlights of the quarter. Over to you, Yosham.

Yosham Vardhan: Thank you, sir. Good evening, ladies and gentlemen. We are pleased to present the robust financial performance for Q3 FY '26 and the nine months FY '26. Here is a summary of our financial achievements. For the nine months ended FY '26, revenue surged by 15% from INR1,773 crores in nine months FY '25 to INR2,047 crores in nine months FY '26. Gross margins were maintained at 15%, with EBITDA reaching INR177 crores, Aditya Vision Limited

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registering a 10% year-on-year growth and EBITDA margin at 8.7% during the nine-month period. Profit before tax before exceptional items grew 7.3% to INR128 crores in nine months FY '26 with PBT margin at 6.2%, moderating marginally by 47 basis points due to costs related to store additions.

PAT grew by 8%, excluding exceptional expenses, rising from INR90 crores in nine months FY '25 to INR96 crores in nine months FY '26. Same-store sales growth for nine months FY '26 stood at 5%, while that for the third quarter stood at an impressive 17% compared to 12% in the previous year.

In Q3 FY '26, revenues saw a year-on-year increase of 28%, reaching INR649 crores compared to INR508 crores in Q3 FY '25 driven by strong festive demand and expansion. Gross margin increased to 15.8% compared to 15.6% in the previous year. EBITDA for the quarter was INR53 crores with an EBITDA margin of 8.2%.

Profit before tax before exceptional items increased by 21% year-on-year and stood at INR38 crores versus INR31 crores in Q3 FY '25. PAT grew by 13% year-on-year to INR27 crores after accounting for an exceptional expense of INR1.5 crores on account of additional provisioning under the new labor codes.

In Q3 FY '26, Bihar contributed 75% of revenues, followed by UP at 13% and Jharkhand at 13%. In nine months FY '26, Bihar remained dominant with 76% revenue contribution, while Uttar Pradesh and Jharkhand contributed 12%, respectively. Our store count stood at 192 as on 31st December 2025.

We can now open the floor for questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Congrats for strong revenue growth. Just getting more color on revenue growth, which products would have done well? I guess washing machine has done very well for us. But how is the growth in mobiles and laptops considering the semiconductor issues, especially memory chips?

We are hearing that there might be weakness in the market or there is already some weakness in the market. So how was it in this quarter? And what is the outlook for these two products over the next two, three quarters? That is question number one.

And question number two, in terms of the summer products, what is the current inventory

?

I guess some of the brands have given higher discounts to clear the inventory from their books and Aditya Vision would have also uploaded the inventory a bit more. So one, what Aditya Vision Limited

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is the current inventory, if you can point out? And secondly, what was the additional discount that we were able to get.

Yashovardhan Sinha: Thank you, Aniruddha. Category-wise growth, as you said, that the washing machine category did very well with more than 30%, growing by more than 30%, very closely followed by panel televisions also by 30%. As you know, AC grew by -- in this quarter, it grew by 22%. However, for nine months, it grew by only 2%. And as far as mobile is concerned, it grew by 20%. This is how the categories moved.

And coming to your second question, AC, of course, we did, in fact, stock down a lot of ACs, whatever we could get because it was beneficial for the company. And the exact amount will not be proper for me to tell you. But then yes, we have got a sizable number of ACs stocked.

Aniruddha Joshi: Okay. Sure, sir. And outlook for mobile and laptop considering the memory chip issue across the globe.

Yashovardhan Sinha: I will say that it won't come down any -- it won't be significant. Of course, prices will be going up by around -- we expect that it will go up by 4% to 6 % from January onwards. But despite that, demand is very robust, and I do not think that it is going to come down.

Aniruddha Joshi: And availability from the brands is not an issue, means...

Yashovardhan Sinha: Not an issue. Absolutely not an issue as of now.

Aniruddha Joshi: Okay. Sure, sir. So that's very helpful. And lastly, the store count, do you see we reaching to 200 or we should be crossing 200 by end of this year?

Yashovardhan Sinha: We'll be definitely crossing 200 stores by end of this financial year, but if not more, I'll say. But as you know, we always remain conservative in our guidance. The 200 is definitely on, but we will be -- we hope that we will be bettering on it.

Aniruddha Joshi: Sure, sir. Last question from my side. There is a higher other expenditure as a percent of net sales in this quarter. So is it related to more store openings or any one -offs there? Or any other item if you can highlight.

Yashovardhan Sinha: Some are onetime also. As you know that this quarter, we were mostly opening in Lucknow -- I mean, in Uttar Pradesh, bigger stores. So our opex was higher. And of course, we're entering into new areas, so our marketing and promotional costs were much higher. These are onetime expenses, but it gives us a lot of depth in market for other places where we are deciding to go.

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Moderator: The next question is from the line of Yash Sonthaliya from Edelweiss Public Alternatives.

Yash Sonthaliya: First, following up on the previous participant's question. So on the other expense part, like -- for last two years, our other expense as a percentage of revenue has increased. So should we see this quarter margins or other expense as a percentage of revenue structural? Or what should be the consistent number, excluding one -off for the quarter?

Yashovardhan Sinha: Actually, this quarter, you also book bonuses for the employees. So this quarter will definitely remain inflated. But I don't think that it will be similar in quarters to come.

Yash Sonthaliya: No, I'm talking Y-o-Y. Like last year, Q3 FY '25, we saw 55% growth and this year also 60% growth.

Yashovardhan Sinha: Right. Operating cost is bound to go up with the additions of stores. We have opened more than 30 stores during this period. So this is the reason opex goes up and salary expenses will also go up. Similarly, our incentives, when you drive sales, actually, we were not having a good Q1.

So we concentrated on driving sales. So for that, we needed a lot of incentives to pay

and

promotional activities were taken, which is giving us a very good result as far as top line is concerned.

Yash Sonthaliya: Got it. Got it. It means it is nothing to worry about our longer -term fiscal year margins. It should remain in line.

Yashovardhan Sinha: I think going forward, the market is now behaving very well. And I think it will more than offset whatever operating costs will come because of huge increase in top line.

Yash Sonthaliya: Got it. Got it, sir. And my second question is on -- we announced our ambition to expand in MP, Chhattisgarh. So what led us to prepone our plan to expand in these cities? Is this something strategically we are getting something or it was always planned for this year?

Yashovardhan Sinha: It was always planned. I have been giving this guidance since last, I think, many quarters that we'll be entering Chhattisgarh and later MP. So in this calendar year, we'll be sure to enter to both the states, if not before. Maybe in Chhattisgarh, we may enter in this financial year. And -- but broadly speaking, the entire current year -- calendar year, we will definitely present in Chhattisgarh and MP.

Yash Sonthaliya: Got it. Got it. And sir, last question on the similar lines, like entering this new state, does it change our long -term or our store expansion guidance? Or are we reducing some expansion in UP and those stores will be opened in this state?

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Yashovardhan Sinha: No. Simultaneously, we'll be growing. There won't be any slowdown on expansion of stores. So you will -- in the coming period, you will see much accelerated store expansion and aggressive.

Yash Sonthaliya: Which means ideally, we are upgrading our store expansion guidance somewhere or the other with adding new states.

Yashovardhan Sinha: We won't give this as a guidance, but we will definitely say that we will not be slowing down in UP. UP is giving us good market and UP is some different market, MP -- and CHMP, I mean, Chhattisgarh MP is a different market. So it will all go together simultaneously.

Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investment.

Onkar Ghugardare: Good set of numbers, congratulations on that front. How many stores out of 192 stores are in the first year of their operations?

Yashovardhan Sinha: It's around 30 stores.

Onkar Ghugardare: Only 30 stores.

Yashovardhan Sinha: Yes, 30 stores are -- Maybe they are even 15 days old also, which we have opened in March -- I'm sorry, in December.

Onkar Ghugardare: Okay. So like how is the volume growth in the older stores as compared to the newer stores? Can you give some light on that?

Yashovardhan Sinha: We have already guided that SSSG has been around 17%.

Onkar Ghugardare: For the quarter, right?

Yashovardhan Sinha: For the quarter, yes.

Onkar Ghugardare: Okay. And for the nine months, it was?

Yashovardhan Sinha: 5% it was.

Onkar Ghugardare: Just wanted to know the margins have come down. What would be the sustainable level of margins because you are doing good on the revenue front, but that is not translating into the profitability.

Yashovardhan Sinha: I don't think that it is going to come down from this level in this quarter. However, even for nine months, if you will take for nine months, then we are at a comfortable 8.7%

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EBITDA margin.

Onkar Ghugardare: So like for the full year, it would be like 8.7% you're talking.

Yashovardhan Sinha: I think it will -- if not better, it will be similar to this figure.

Onkar Ghugardare: So why I'm asking this question because you are giving revenue growth of good numbers. I mean, I'm asking because this is -- where do you get like operating leverage on that front then?

Yashovardhan Sinha: Actually, it is a continuous process, if I can tell you

u Onkar, that when you are opening

branches, you are expanding also, let the base become larger, like a pyramid, let the base become larger, then these are going to contribute more to your revenue as well as the EBITDA front.

So in time to come, when most of our stores mature, start maturing because if you see our history, though, you will find that in the last three years, we have opened 96 stores, which is almost half of the stores what we are having right now. So these -- and typically, these stores, they mature in three years -- by three years.

So most of the stores are still in the nascent stage. So this is the year. But the higher the -- I mean, 50% you have opened, which are not matured. But next year, that number is going to go up. So it will act as a pyramid, more towards the bottom and less EBITDA margin will be smaller in number and more better profit giving stores will be higher in number.

Onkar Ghugardare: So you mean in upcoming one, two years, there will be more contribution from the mature stores, right? So which can contribute to the higher.

Yashovardhan Sinha: Yes. This is what investors should look after that in coming year, more and more stores will get matured. And this will give us a lot of leverage for opening new stores. And do not forget that this year, Q1 was a total washout. So comparing that the biggest quarter of the company's history was a total washout.

So this year, it has been very strange. But given the Q3 numbers, we are very confident that we'll be -- despite that, we'll be achieving good set of numbers at the financial year - end.

Onkar Ghugardare: And as far as Chhattisgarh and MP is concerned, like what is your long-term plan? Where do you want to take it to like to the level of Bihar or UP or where can we see that?

Yashovardhan Sinha: No, these are the states where the larger cities population is also concentrated towards larger cities. So 8 to 10 cities we'll take in Chhattisgarh. Similarly, we'll be in MP, we will

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be there in another 15 cities. And with more and more stores because there are larger cities will require a number of stores in a single city.

Onkar Ghugardare: Okay. So these states are similar to like what Bihar and UP are like, I mean, behavioral - wise, how the pattern is for spending.

Yashovardhan Sinha: This is the whole idea of this vision with this geographical advantage; we are working on it. We are continuing in our Hindi heartland where it is much better to, in fact, open new stores and aligning your employees to the policies of the company. So yes, we are very comfortable moving in this geography.

Onkar Ghugardare: So maybe in the next two, three years, you can see like more and more stores coming from MP and Chhattisgarh or that is too early to say.

Yashovardhan Sinha: No, not more. I will say that all three states are going to grow in number of stores.

Onkar Ghugardare: All three states, you mean the existing states or the new two ones you...

Yashovardhan Sinha: No. I'll say that Bihar will not have that number of -- similarly Jharkhand will also have very limited insignificant number of stores, whatever it is right now. But UP gives you a tremendous potential and opportunity to expand because of its -- we are just now touching -- knocking at Western UP, which is a hugely populated and very wealthier segment of society is there.

Onkar Ghugardare: So, the most of the growth will be coming from UP and the 2 new states which you will be entering.

Yashovardhan Sinha: I beg your pardon?

Onkar Ghugardare: So, I'm asking most of the new growth, which will be coming from Uttar Pradesh and the two new states you will be entering, right, in the upcoming years.

Yashovardhan Sinha: You will find that we are only present in 24 districts of UP compared to 75 districts, which is present in UP. So, a lot of scope is there.

O

Onkar Ghugardare: Okay. You did a fundraiser last time, like I just wanted to know you are comfortable with that or like you would be raising some funds or that is not required currently?

Yashovardhan Sinha: No. With our internal accruals and small bank, I think bank lending is sufficient for us to cater to -- let us say, in near future, there won't be any requirement of funds.

Onkar Ghugardare: Even if you have to build up the inventory level, you are not -- you don't require that kind of money.

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Yashovardhan Sinha: It's not very important that way because we build inventories at such time when it is very easily liquidated. So, before we have to pay to the company, it is almost -- liquidation is done. So that doesn't give us any unnecessary leverage.

Moderator: The next question is from the line of Pradyumna Choudhary from JM Financial Group Investments.

Pradyumna Choudhary: My first question is to understand the market in Chhattisgarh and MP. Like previously, we've spoken that UP in terms of number of stores could be twice as big as Bihar. Similarly, could you give some idea regarding how big a market Chhattisgarh and MP can be for us in terms of number of stores?

Yashovardhan Sinha: I already just told that we'll be operating in a very limited number of cities because mostly affluent people, they are limited to these bigger cities in Chhattisgarh also and MP also. But things are getting better day by day because of, I mean, a huge dent in naxalism. So that is going to give us a tremendous boost in time to come.

We have whatever our Honorable Home Minister said that by March, it will be over. So that we are concentrating on that also that after that, there will be huge potential to expand freely.

Pradyumna Choudhary: So would these markets be maybe closer to Jharkhand kind of markets rather than Bihar kind of market.

Yashovardhan Sinha: Mostly like Jharkhand because again, it is Chhattisgarh is a neighboring state of Jharkhand and MP also.

Pradyumna Choudhary: All right. And my second question is regarding our stores in UP. So could you give some commentary on how these are going because, of course, in UP, several of the cities would already have some of our competitors operating. So it's not like a new space that we would have entered in these cities.

So are we seeing similar unit economics? Are we seeing similar time to maturity for these stores? And how are we really competing with existing players there because some of the benefits that we were able to offer in smaller towns would not be possible in cities where the competition is already present, right? So could you comment on this?

Yashovardhan Sinha: We always have been giving this guidance that it's not that competition was not present wherever we are present. Competition has always been there, and it is for us to beat them, and we have been beating them regularly. So even when we are entering into new areas where competition is there, it doesn't matter because we have got different policies, different schemes and so many other things for the benefit of the customer.

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So these things require little promotional expenses, marketing expenses, but then it is very easy for us to overcome it. Because again, by figure also, you can understand that we are -- we have been gaining a lot of ground in new states -- new areas. Like now this time, it is around 26% of volume has come from these two states in Q3. So this itself presents a good picture of how we are dealing with our competitor.

Pradyumna Choudhary: And unit economics remains similar in the UP towns.

Yashovardhan Sinha: It is a common thing that if you go to Lucknow, these are very big cities, of course, it will be -- rent will be higher. But then it is offset by the basket of branches you add. So overall in

crease is limited.

Pradyumna Choudhary: Understood. And my last question, sir, if you could just -- like if we look at our mature stores, which are stores which are at least three years old, over there, what sort of growth are we seeing in terms of same -store growth for those mature stores?

Yashovardhan Sinha: We take -- in fact, we take all these stores, which do not classify it like matured and nonmatured because we -- maybe we take a -- we give a guidance that in three years, they are going to mature, but there are so many branches which gets profitable from the very first quarter of opening. So it is all about averaging it out and that we are -- we have grown by 17% SSSG in Q3, but it was only 5% for the entire nine months because of our bad Q1.

Pradyumna Choudhary: The idea behind asking this particular question is so that we are able to make out like on a more steady basis, how -- like what sort of a growth does the store have like once the initial maturity is completed. That's why I was asking.

Yashovardhan Sinha: You should think -- overall growth, I told you that because of Q1 being a total washout quarter for us, the biggest quarter. So this year, you are saying this is strain. But considering that next year, everything will be normal. So we are going to accelerate our higher levels -- very high level.

Moderator: The next question is from the line of Aliasgar Shakir from Motilal Oswal Mutual Fund.

Aliasgar Shakir: This is Ali from Motilal. Sir, just first, if you can share what was the SSSG we achieved this quarter?

Yashovardhan Sinha: 17% SSSG.

Aliasgar Shakir: Okay. So, with such a strong SSSG, I understand you mentioned that your margin is impacted because of the new store that you have opened, I think, in new geographies. But despite that, if you have such a strong SSSG of 17%, shouldn't that would have driven operating leverage and therefore, be able to maintain your margin? I'm just trying to

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understand the margin which is contracted, what has led to this significant impact.

Yashovardhan Sinha: You will have to understand one thing, Ali, that we -- recently in the last 6 months only or 8 months only, we have started opening stores in Lucknow and all that. So these -- and Q1 was total washout. Second, Q2 was also not very good because Q1 spilled into Q2 also. But however, from -- after the GST cut, things became much better.

So these things are now stabilizing, I'll say, in a gradual way. Now that -- and market has been quite good, as I have already said, the market has been quite good from December onwards. And still it is -- in January, also sales are very robust. So I think it is going to do much better. And whatever we have seen, that is things of past.

Aliasgar Shakir: Got it. So I think what you're saying is that the stores, which are new regions are taking slightly longer to, I think, stabilize or achieve breakeven or maybe reach your state.

Yashovardhan Sinha: Yes, because of Q1, I've been telling you because Q1 was a very bad Q1. So of course, even the new stores, they could not do that big business, which normally all branches do.

Aliasgar Shakir: But I'm just talking about Q3, not Q1. Q2, they also have not achieved.

Yashovardhan Sinha: No. In Q3, they are achieving. So then only we have reached to 27% of top line.

Aliasgar Shakir: Yes. But the margin is lower, which implies that the new store may be would be pulling up the margin.

Yashovardhan Sinha: Now that the entire year is -- the Q1 was not good. So what should we do as management. We have to drive sales and try to achieve at least -- we are trying very hard to achieve 20%, at least 20% growth, if possible, in this financial year. So we have been spending a bit more in this exceptional financial year.

Aliasgar Shakir: So sir, what is the -- I mean, average time that new stores are taking for bre

akeven versus

your historical average in the existing regions? I mean, how different is the new regions breakeven?

Yashovardhan Sinha: We have been guiding actually all the stores, they at least become profitable between 6 months to 18 months.

Aliasgar Shakir: But the new regions are taking slightly longer, right?

Yashovardhan Sinha: It's not that. I told you that because of bad Q1, a lot of branches faced adverse situation this year. From now, it is thing of past. This is what I'm trying to tell you that, yes, we already had a bad quarter. I mean, in decades, we had one of the worst quarters because of

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a certain season. But we expect that things will be -- it is just normal. We don't want any

harsh summer or anything. Even things are normal, then it's quite good for us. It will be good for us.

Aliasgar Shakir: Got it. So, the new regions where you're opening stores, that should not incrementally pull down your margin, right? And if you can just share what is the margin that we are guiding EBITDA margin year on year? I mean, should it come down to the base that we have seen in Q3? Or we should be able to maintain the margin upwards of 9%.

Yashovardhan Sinha: We entirely see nine month EBITDA, it is 8.7%. So it is very marginally lower than last year. So what we have done now in Q4 also, what I said that let's see, January had been very good for us. And we're expecting similar numbers for coming months also in this quarter, in the current quarter. So I think whatever will be, it will be within our guidance, which we gave for EBITDA.

Aliasgar Shakir: Got it. And just last question is on the number of store addition. So you mentioned that incrementally, your new stores will be in UP, MP and Chhattisgarh, right? So what is the annual store guidance? And between these 3, should one assume 10 stores each in each region or it will be UP and MP-heavy more?

Yashovardhan Sinha: We have been looking into Chhattisgarh and MP. And we told you that we'll be definitely, if not in this financial year, with this calendar year, we'll be definitely present in a lot of cities in Chhattisgarh and a few cities of Madhya Pradesh. So this is what I think. So overall, we always give a guidance of 30 stores being opened in a year. And till now, we have bettered every year. Let's see how it goes, but we gave a guidance of 30 stores only.

Moderator: The next question is from the line of Manoj Gori from Equirus Capital.

Manoj Gori: I have just one question. So in the initial remarks, you did highlight that there was a few attractive schemes.

Yashovardhan Sinha: Manoj, can you speak louder, please?

Manoj Gori: Is it better now.

Yashovardhan Sinha: Yes, it is good.

Manoj Gori: Yes. So sir, in the initial remarks, you highlighted that you've got some better schemes for room air conditioners and accordingly, you plan for higher inventories and you stocked up the material. Just want to understand that Q1 obviously is a very favorable base. But based on your planning and probably whatever your analysis would be from the past and for the future, what kind of growth should we expect in FY '27 and more specifically for Q1 of

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FY '27, that would help relatively better from a modeling point of view?

Yashovardhan Sinha: Very difficult for us to say, except that we definitely give a guidance of 20% to 25%, but we have been bettering this guidance always. And we expect that with pent-up demand for last year, Q1, the Q1 of next financial year should be absolutely very good. So this is what we are aiming at. And accordingly, we are accumulating our inventories also.

So right now, we are sitting on inventories of pre-BEE. And later on in this quarter, we'll be accumulating inventories of opposed post-BEE products also, which will be around 5% to 7% costlier.

Manoj

Gori: Correct. Sir, I will be repeating one more question. Probably you answered it in a more qualitative manner. If I look at the markets today, let's say, Bihar, which is our core market. So based on your current store count, you would have definitely identified areas in the market and probably you would be aware like what could be our long-term store counts in Bihar market itself.

Similarly, for UP also, you would have done some analysis. And probably from a region to region, you would be definitely looking at from an opportunity point of view in terms of market side.

Yashovardhan Sinha: Actually, you can always understand that we are already having 117 stores in Bihar. So addition of new stores in Bihar will be very, very, say, strategic. Strategic in the sense that only at such places where we need to fortify our place, there only we are going to go there, Bihar.

Similarly in Jharkhand. Jharkhand, we have already almost covered in Jharkhand, all districts, except for one or two. So we are looking to open in those districts also, which we have so far not present in Jharkhand. And in UP, but you should understand that out of 75 districts, we are just present in 24 districts. So we are just -- we have covered one-third of UP.

So many stores definitely in time to come, more and more stores are going to come up in UP, again, strategically, now that we have covered almost Central UP, we are moving towards Western UP. So things will be definitely different again. They're a very good market we are getting.

And we expect to enhance our store count in UP. Similarly, in Chhattisgarh and Madhya Pradesh also, we expect very good business because of, again, a lot of disposable income

is there. But that -- nobody -- our competitors there, nobody are promoting their brand in such a way, which is like Aditya Vision. So we expect that we are going to have edge.

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Moderator: Thank yo u. Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand the conference over to the management for closing comments. Thank you, and over to the management.

Yashovardhan Sinha: Thank you very much for sparing your valuable time, everybody. Thank you so very much. See you in the next quarter.

Moderator: Thank you very much. On behalf of Investec Capital Services India Private Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

Call: May 2026

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May 15, 2026

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra Kurla Complex, Bandra (East)
Mumbai -400001 Mumbai - 400051

Scrip Code: 540205 Symbol -AVL

Sub: Transcript of Analysts/Investors Call pertaining to the Audited Financial Results
for the quarter and year ended March 31, 2026

Dear Sir(s)

Further to our letter dated May 04, 2026, please find attached herewith a copy of the transcript
of the Analysts/Investors Call on the Audited Financial Results of the Company "Aditya Vision
Limited" for the quarter and year ended March 31, 2026 held on Friday, May 08, 2026.

The same is also being made available on the Company's website at: www.adityavision.in.

This is for your information and record.

Yours faithfully

For Aditya Vision Limited

Akanksha Arya
Company Secretary

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"Aditya Vision Limited
Q4 and FY26 Earnings Conference Call "
May 08, 2026

MANAGEMENT : MR. YASHOVARDHAN SINHA – CHAIRMAN AND
MANAGING DIRECTOR – ADITYA VISION LIMITED
MS. YOSHAM VARDHAN – WHOLE -TIME DIRECTOR
– ADITYA VISION LIMITED

MODERATOR : MS. DEVANSHI KAMDAR – AXIS CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Aditya Vision Limited Q4 and FY26 Earnings Conference Call , hosted by Axis Capital. As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this call has been recorded.

I now hand the conference over to Ms. Devanshi Kamdar from Axis Capital. Thank you, and over to you, ma'am.

Devanshi Kamdar: Good evening, everyone, and thank you for joining us today for Aditya Vision's Q4 and FY26 earnings call . We are glad to have the senior management team with us, including Mr. Yashovardhan Sinha, Chairman and Managing Director; and Ms. Yosham Vardhan, Whole -Time Director.

I will now invite the management to share their opening remarks, after which we will move into the Q&A session. Over to you.

Yashovardhan Sinha: Thank you, Devanshi. Good evening, ladies and gentlemen, and a warm welcome to all of you. Hope you have gone through our investor presentation. And if not, I strongly recommend you to go through it. As we speak today about our Q4 and full year FY26 performance, I would like to take a moment to step back and reflect on the journey that has brought us here.

Aditya Vision has started as a small single store with a simple vision to make quality consumer durable, accessible, affordable and trustworthy for customers in underserved markets. Today, as we close FY26 with 207 stores across 4 states, that journey has scaled meaningfully.

Over the last 27 years, that vision of Aditya has guided every decision we have taken, whether it was entering into new towns, building relationship with customers or staying disciplined in how we grow. I can say that our vision has not only scaled; it has become bolder and resilient. FY26 in many ways, not only tested that vision, but also turned to be a landmark year for our business model.

What is encouraging for us is that despite this year having the weakest summer since our inception, we delivered approximately 18% revenue growth year -over-year and 11% PAT growth year -over-year. At the same time, we maintained gross margins at around 15.6% and EBITDA margins at 8.5%, reflecting our continued focus on profitable growth.

I'm delighted to share that in Q4, we delivered a strong revenue growth of 28%,

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accompanied by an impressive PAT growth of 36% year -on-year. The last financial year liberated our company from the shackles of seasonal -dependent model, heavily dependent on Q1 and more so freed us from a seasonal blockade of being dependent on H1 for growth. I'm truly delighted to give the comfort to our investors and stakeholders that your company is now an all -weather, all -season company. Despite Q1 FY26 and H1 FY26 delivering only marginal growth of 6% and 11%, respectively, we still concluded the year with top line growth of 18%, which is quite respectable. The year began with an unusually weak summer season that extended into late Q2, impacting demand of our core cooling category during the first half.

Prolonged rains and delays in implementation of GST 2.0 further slowed the recovery trajectory in Q2. But what stands out is not the challenge , it is how the business responded. Historically, Q1 and Q2 together contributed nearly 55% to 60% of our annual sales. Despite losing these low -hanging sales, we did extremely well in Q3 FY26 with a top line growth of 28%, driven by festive season demand.

The momentum further accelerated in Q4 FY26, where the company recorded another robust top line growth of 28%. As a result, we see that the second half is now becoming as important as the first half,

and our business is gradually transitioning towards a more balanced full financial year model.

This performance was further supported by our strategy of stocking inventory at the right time, which enabled us to fully capture demand and deliver an exceptionally strong quarter. On the expansion front, from this year marks a defining phase in our journey.

We have added 102 stores in the last 3 years, which is almost equal to 105 stores where we built in the previous 23 to 24 years. We have entered Chhattisgarh earlier than planned

with 3 stores, marking our foray into fourth targeted state.

This is an important step in our expansion journey as we continue to replicate our model, culture and customer trust across new geographies in a calibrated manner. As I speak, another neighbouring state bodes well for our future expansion, which was earlier withheld due to political uncertainties.

We are now present with 118 stores in Bihar across 38 districts, 33 in Jharkhand covering 22 out of 24 districts, 53 in Uttar Pradesh covering 30 out of 75 districts and 3 stores in Chhattisgarh covering 2 out of 33 districts.

We plan to add more stores annually with a strong focus on scaling our presence in Uttar Pradesh and Chhattisgarh, while continuing to deepen our leadership across Bihar and Jharkhand. We are also on track to enter Madhya Pradesh this financial year as we expand

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into new geographies in a calibrated manner. You'll be happy to note that we have onboarded Pankaj Tripathi as our brand ambassador, further strengthening our connect and brand recall across our core markets.

Our inventory levels at the end of Q4 remains higher at approximately INR840 crores, but this is a conscious and strategic decision. We acted early in anticipation of supply side uncertainties highlighted by OEMs, particularly around gas shortages due to the sudden Gulf war. We also leveraged price changes driven by BEE norms revisions where product prices have increased by around 8% to 10% to secure inventory at relatively better cost and to remain competitive in the market.

Importantly, with clear signals of a strong summer ahead, we ensure that we are fully stocked to meet demand without disruption and at the same time, remain competitive.

When I look at where we stand today, what gives me confidence is that we are no longer just expanding. We are evolving with resilience. And most importantly, our vision is no longer limited to where and how we started.

It is now on a catch-up mode of the huge geographies laden with above-average population with ever rising disposable incomes. With this approach, backed by disciplined execution, strong regional understanding and a customer-first mindset, we believe we are well positioned to deliver consistent and sustainable growth over medium to long term.

With that, I would now like to hand over the floor to Mrs. Yosham Vardhan to take you through the financial highlights. Ms. Yosham?

Yosham Vardhan: Thank you, sir. Good evening, ladies and gentlemen. We are pleased to present the financial performance for Q4 FY26 and the full year FY26. For the full year FY26, revenue grew by 18%, reaching INR2,672 crores. Gross margin stood at 15.6%. EBITDA reached INR228 crores, registering a growth of 12% with EBITDA margins at 8.5%.

Profit before tax stood at INR 157 crores with PBT margins at 5.9%. PAT stood at INR117 crores, growing by 11% Y-o-Y. Same-store sales growth for FY26 stood at 8%. For Q4 FY26, revenue increased by 28% Y-o-Y, reaching INR625 crores. Gross margin stood at 16%. EBITDA for the quarter was INR51 crores with EBITDA margin at 8.1%.

Profit before tax stood at INR31 crores with PBT margin at 4.9%. PAT grew by 36% Y-o-Y to INR22 crores. Our store count stood at 207 stores as of March 31, 2026. Same-store sales growth for this quarter stood at 18%. In Q4 FY26, Bihar remained our

largest revenue

contributor at 74%, followed by UP at 14% and Jharkhand at 12%.

In FY26, Bihar contributed to remain our largest market, contributing 75% of revenues, followed by UP at 13% and Jharkhand at 12%. This reflects the strength of our core

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markets, while our newer regions continue to scale up steadily.

We can now open the floor for questions.

Moderator: Thank you so much, ma'am. Ladies and gentlemen, we will now begin with the question-and-answer session. Our first question comes from the line of Aditya Bhartia from Investec.

Aditya Bhartia: My first question is on inventory for room ACs that we are carrying. Do you think that the inventory that we'll be carrying will be significantly higher than what general competitors would be carrying? And to that extent, it will be a big competitive advantage, at least in the next quarter. Should that also bode well for margins and boost our margins from what is usually the case in first quarter?

Yashovardhan Sinha: Aditya, thank you for asking me. First of all, we cannot comment on inventories of our other competitors. But as far as we are concerned, we are adequately stocked. And that is as per our strategy, which I'll not like to divulge. It's our strategy to build up inventory as far as cooling products are concerned. And definitely, one thing I can say that we are --

we'll be carrying inventory as per our need and as per our historical figures .

Aditya Bhartia: Sure, sir. Given that this year is a very unusual one, wherein we are seeing multiple price hikes as we are kind of progressing through the season, do you think a scenario like this helps us a lot in terms of margins? Or is it that it's almost the same scenario for all retailers and to that extent, the entire benefit gets passed on to the end consumer? What are you really seeing in the marketplace?

Yashovardhan Sinha: I will tell you, Aditya, actually, the whole business model is like that even if they are hiking prices OEMs, since we are carrying our inventory, this is the reason we carry a lot of inventory because we know that price changes can come. And for smaller dealers, they may be having those inventories of earlier pricing.

So we want to remain competitive all the time. And so our , this buildup of inventory helps us in being competitive all the time, and which is very important and very necessary also for our business. So this competitiveness remains there.

So it's not necessary that whenever there is a hike in price that comes as a profit to us.

Rather, we watch the market, how it reacts, then only we take a call. So it's not dependent on our profitability is not very much dependent on the price hikes of OEMs.

Aditya Bhartia: Understood, sir. That's very clear. Sir, my second question is that given that almost 50% of our stores are 3 years or less than 3 years old and the proportion of new store addition will gradually be coming down. Do you think that, that will be a bit of a margin lever as
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those stores start generating higher revenues, become profitable or improve their profitability, even the company level profitability can have some benefit out of it.

And I'm specifically asking because in UP, we would have spent a fair bit of money that will start getting absorbed over larger revenues. So how are you thinking about margins from a slightly longer -term perspective?

Yashovardhan Sinha: You are absolutely right, Aditya. In fact, more we are -- out of these stores, which you referred to, in fact, whenever our bottom is now getting heavy in the sense that more and more mature stores will be there. And fewer stores, as you said that in percentage terms, fewer stores will be added as a percentage. So this is going -- this is why, in fact, in my opening speech also, I told you that in a very near and near term, we'll be, i

n fact, definitely

having better control over our operating expenses.

Aditya Bhartia: Sure, sir. And sir, anything that you can share in terms of how throughput per store of a mature store and margins of a mature store may differ from a store that, let's say, is 2 years old?

Yashovardhan Sinha: Yes. Of course, it matters, but it's not very, I'll say, similar to each other. All the stores are having different metrics, as you know, like all territories are slightly different. So -- but I can tell you one thing that after 3 years, we -- at least we take these stores as quite mature. However, as you know, one of the full last year was washed out. So in fact, this whole arithmetic has gone a little haywire. But we are very confident that once we -- in this current financial year, once we are in a normal season, then we are going to -- all these branches are going to catch up to the previous expectations.

Moderator: Our next question comes from the line of Yash Sonthaliya from Edelweiss Public Wealth.

Yash Sonthaliya: Congratulations on good set of numbers. So my first question is I want to double-check on gross margins of 100 bps negative Y-o-Y. Is it more or less because of change in product mix? And if yes, can you help me understand what has changed over there? Why we have seen 50% growth in small appliances and why the hit on the large appliances?

Yashovardhan Sinha: I can tell you that, Yash, it's very simple. In fact, gross margin has come down only because that we failed to capitalize on our seasonal product like air conditioners, air coolers and refrigerators during first H1. So obviously, we always tell that these are the appliances are having better margins.

But there, because of the seasonality on because of bad season, which we encountered last financial year. So , margins will naturally be depressed. Secondly, when the share of these products came down, the share of mobile, TV , etcetera, went up and even what you said

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Yash Sonthaliya:

Yashovardhan Sinha:

Yash Sonthaliya:

Yashovardhan Sinha:

Yash Sonthaliya: that the small appliances. Maybe -- and as you know, mobile, TV, ASP was also gradually rising throughout the year.

So more and more volume was coming through these products, which was having lesser

margin. But I still -- I think that despite being a bad year as far as seasonal productivity was concerned, we have done fairly well in containing the margin to these levels. Understood. But sir, my question was more related specifically to Q4, like Q1, Q2, we understand because of unseasonal rain and...?

Actually, it has come down just because that in Q4, ASP of mobiles went up by 20%. And so the share of volume of that mobiles was far more -- 20% more than what we were encountering in year before. So this was the reason that they carry low margin. So this was the reason for the Q4.

Laptop. Again, laptop also the ASP went up by 8% to 10%. So both these products, which constitutes more than 25% of our sales, they had impacted because of price hike, it has impacted our margin. If you want more clarification, I can give you that in a basket where you have products of lower margin and these have grown because of sudden spurt in their prices, then obviously, entire margin of the basket will come down.

Got it. Got it, sir. And can you please help me with - we saw 50% growth in other expenses and majority of this will be promotional because of the expansion in UP. So can you help me what was the exceptional or one-off advertisement spend we have done in UP to normalize?

As I told you that we onboarded our brand ambassador also during this period as well as we were - again, I'm telling you that we are entering new geographies and more matured and, in fact, evolved geographies of Uttar Pradesh, Western Uttar Pradesh. So where we are now trying to invest also and we are

doing quite well there and only because of our efforts.

And I don't think -- and as you grow and as you expand in the geographies, your all costs, freight costs, all costs go up. And so this is -- so is the reason for elevated miscellaneous. Everything goes up, when your 18% volume has come, so your credit card commission is going to go up, your DBD is going to go up. So there are several expenses which are going to go up with your sales.

Got it. Got it, sir. And like majority of our expansion is right now happening in UP. And going ahead also, assuming it is going to be very similar. So can you give some color how the unit economics of some mature stores, which are now like 20, 30 stores has been present in UP for last 2 years or more -- so what is the performance...

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Yashovardhan Sinha: I got your point here. I've just told you one thing that 1 year has, in fact, not responded to us in a normal way, as I told you last year. So even if they are 2 years older, we will consider it -- we consider it as 1 year older only because they have haven't encountered, let us say, Q1 or Q2, a similar Q1, Q2, which has always come to the company. So that way, I'll say that they have been doing well, and they will continue to do. They will do very well once we settle down.

Moderator: Our next question comes from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Congrats for a great set of numbers. Sir, 2 questions. If you can indicate what will be the normalized margins for Bihar as a state because that's a completely mature state for us and UP or Chhattisgarh and MP may dilute the margins. But what is the margin that a mature state like Bihar is generating? And by what timeframe do we see UP also reaching to similar margins, which may be 2 years, 3 years down the line?

Yashovardhan Sinha: I can comment on your second part of the question, but not the first part because we usually do not diverge because of, as you know, the competition and all that. We do not diverge state-wise margins. I hope you are getting my point, Aniruddha.

So -- but I can only say that, yes, we are looking forward to even UP or other states where we are expanding. We will definitely -- it will take some time, but we are going to definitely. We are very conscious of our margins, as you must have seen us right through so many years. And we are -- we will try always hard, but not at the cost of our sales.

So our dominant position will be built. At the same time, we gradually we increase our margins. So this is the way we have come up in Bihar also. And same will be the strategy going forward in UP or. This will be our strategy. So rather than asking me the margin for a particular state, I'll say that we have to make other states catch up with that to Bihar. And for that, all the time, we are working.

Aniruddha Joshi: Okay. Sure, sir. Got it. The second question, if I take the interest cost and divide it by average debt. So we get a rate of interest at almost 12.8%, 13%. So that's a pretty high interest rate. So what is the average...

Yashovardhan Sinha: This includes in finance cost on lease liabilities also. So this is not your bank interest. Our bank interest, again, I cannot diverge you. For certain banks - banks do not like us to diverge the rate of ROIs. But it is - what you are looking towards this finance cost includes interest on lease finance also. So that when you will get the full annual report, then you

can find that separately.

Aniruddha Joshi: Okay. Sure, sir, sure. Understood. Understood. Sir, and third and last question, any outlook on the real estate or rental inflation because post IT slowdown or some of the issues in IT

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sector due to AI, we are hearing about some slowdown in real estate markets in places like Pune, Bengaluru, Hyderabad, et ceter

a. But I don't know , is there having any derivative impact on the real estate market in Bihar, Jharkhand or... ?

Yashovardhan Sinha: As you know, they are hardly having a few, so it has not impacted neither Bihar or nor UP or Jharkhand. Till now, it has not impacted. It has not come down, but maybe let's see what is in store in the future.

Aniruddha Joshi: Okay. Sure, sir. Absolutely last question. Is there any plans to implement AI in the operations because we keep hearing about other retailers also investing in terms of AI for demand generation, reaching out to customers and multiple other in a way, ini tiatives. So any plans on that?

Yashovardhan Sinha: Aniruddha, actually, we are always open to new ideas and always exploring these things, AI and other things. But it's not that we go with the crowd. We always explore and we will like to see the benefits vis -a-vis the cost we are going to incur. Everythin g will be taken into account for what benefit we are going to get, then only we will take a decision and management will take a decision .

Moderator: Our next question comes from the line of Bhavya Gandhi from Bajaj Alternate Investment Management Limited.

Bhavya Gandhi: Just wanted to understand if there's any unsold inventory left, can we return that back to the OEMs? And how is the policy usually over there?

Yashovardhan Sinha: No. Actually, we have been telling in so many conferences and con calls. Actually, we do not have to return those inventories to manufacturer. Usually, manufacturers, they don't prefer taking back their inventories. Rather, they help us in liquidating tha t inventory. So if there is any unsold inventory left with us, it is their —the onus is on them to get it liquidated as quickly as possible, then only we go for new billings. So it is always OEMs are in pressure as far as unsold inventori es are concerned.

Bhavya Gandhi: Okay. Okay. Got it. And sir, would you like to guide for the store expansion targets for FY27 and '28?

Yashovardhan Sinha: We have been expanding by over 30 stores every year since last, I think, 3, 4, 5 years. And we don't give a guidance because we are always ahead of the guidance. We remain always ahead of the guidance. But you can safely assume what we when somebody actua lly will ask us how many stores we want to open, then we only say the figure of 25 stores.

However, we have been delivering much, much more than what we have been guiding. And as we told, we just do not believe in expanding anywhere or anyhow, it's not our , in Aditya Vision Limited

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fact, model. We want to expand in a very calibrated , in a cluster approach manner, where we go and we try to capture the entire state. So this will be our...

Bhavya Gandhi: Got it, sir. Sir, just one last thing on the EBITDA margin. If you are expanding in newer geographies, the opex will tend to be much higher. So will it weigh on the overall EBITDA margins as we expand into newer geographies, Chhattisgarh, Jharkhand and all those regions? Madhya Pradesh, sorry.

Yashovardhan Sinha: Madhya Pradesh and Chhattisgarh is the next target. But then again, try to understand what I said that now that most of our stores will be over 3 years old. So in fact, we'll be bottom heavy as far as matured stores are concerned. So newer stores will be very few as far as in percentage terms of the overall entire store count. So it is quite -- you can safely assume that going forward, our opex will not increase , it will be consumerate with our overall expenses.

Bhavya Gandhi: Got it. Sir, out of the 30, 35 stores that we target, how much will be in the new states? If you can just provide some numbers on that front?

Yashovardhan Sinha: We usually we want to go to new state and try to -- on a creeping cluster basis, we want to capture the entire state. But we do not , we just simply don't stop our expansion there. Wherever we get the opportu

nity, wherever we see new opportunity, we go there. So it's not like that, that we'll be only expanding this year in Jharkhand or Madhya Pradesh, UP is a big state where we have to do a lot of things. As I told you in the earnings call that our neighboring state has also now political uncertainties are over. So it's a good place for us to go and start expanding.

Moderator: Our next question comes from the line of Manoj Gori from Equirus Securities.

Manoj Gori: First of all, congratulations for strong recovery after the weak start of FY26. I have 2 questions. So one, if we look at -- if I've understood correctly, contribution -- has been around 13% versus 14% last year. If I'm right, we have...

Moderator: I'm sorry to interrupt you, sir, but your voice is breaking...

Yashovardhan Sinha: Please repeat your question and be very clear.

Manoj Gori: So my point was, if we look at the current year, we have opened more stores into Uttar Pradesh as compared to other geographies. And the revenue contribution has come down from 14% to 13% during FY26. Anything to read here because ideally, more store openings should result into more contribution from UP markets?

Yashovardhan Sinha: You've got 2 questions. So this is your first question, right?

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Manoj Gori: Yeah.

Yashovardhan Sinha: Second?

Manoj Gori: The second question is we have -- obviously, the operating cash flows have been positive. How should we see in the coming years, whether we'll continue to stay OCF positive and probably day by day, our balance sheet will strengthen. So any highlight -- any inputs over there will be appreciated.

Yashovardhan Sinha: I'll tell you the first question first. Why it has come down is a different thing. As if you will go through our store opening, in fact, schedule, then you will find that most of the stores have opened in last month or February or March of the last financial year in UP, most of the stores. So you are taking for the full year.

But full year, they have not worked. Most of the stores have worked very less than full year. But still contribution from UP is 14% and not 13%, as you are saying. But still, I would like to tell you that most of the stores are very new. And in fact, have not run even 3 months of the full financial year. So as you must have taking into account that what contribution they have made, you cannot strictly go by the numbers unless and until full year goes by.

And second, as far as balance sheet and cash flow is concerned, yes, this time, our cash flow is quite healthy. But we'll continue to invest the cash flow. And as I've been telling that we don't require at the moment, we do not require any equity, our internal accruals are sufficient --

Can you hear me? So we'll continue to strengthen our balance sheet, no doubt about it. And most of the money will be invested in opening new stores and acquiring inventories at the right time. And our internal accruals together with our borrowings -- short-term borrowing, which is working capital borrowings, that will be enough for us to continue for -- at least we do not foresee raising any capital in this financial year, definitely not in near term.

Manoj Gori: Sir, lastly, just to continue on this, with better efficiencies and better scales from the new stores, your OCF to EBITDA should ideally keep improving from hereon on Y-o-Y basis, right? Is that understanding correct?

Yashovardhan Sinha: No, I can't understand your question. OCF...

Manoj Gori: So what I meant was operating cash flow as a percentage of EBITDA from hereon should keep improving with higher scale from the newly opened stores. So should that we assume that it will keep improving from here on?

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Yashovardhan Sinha: No, that you should not take it as a benchmark because operating cash flow will definitely depend

on how we get our inventories built, how we take advantage of OEMs and how do we manage our working capital, that will be very key to cash flows. So we won't like to comment on that. It will always depend on the betterment of the company finances.

Manoj Gori: Sure, sir. Got it, sir. Sir, lastly, if you can throw some light how things are progressing in April. Sorry if I am making you repeat this, how things are shaping up in April and probably how things are progressing in May? If you can highlight on that.

Yashovardhan Sinha: April has been very robust for us. And May is slightly colder in the initial period. But we are expecting very soon that it is going to become a normal summer season.

Moderator: Our next question comes from the line of Vaidik Bafna from Monarch Network Capital Limited.

Vaidik Bafna: Congratulations on good set of numbers. Sir, can you just quantify as to suppose, for example, around more than 50% of our stores would be mature now and the balance would not be so mature. So how much margins do the mature store enjoy? And how much do the unmatured stores enjoy versus how many stores are there which are still yet to come profitable?

Yashovardhan Sinha: We have been giving guidance that most of our stores, they get breakeven between 9 to 12 months from their opening. And it's very , again, it will not be proper for me to give you the guidance or rather margins for mature stores and things which are because it is an evolving process. You try to understand it. But it's not a one -off that one thing has stabilized. Even those branches wh ich are mature, there's still a lot of things are still to come.

Similarly, for stores which are not that mature, even there in so many geographies, some stores are still doing very well. Some stores are now normal -- in growing in normal way. So these are all . When you are talking about more than 200 stores, then it is all -- you cannot give a bifurcation of, let us say, margins what mature store is earning and what non - mature store is earning. It all depends on how crowded that market is, how you are placed in that town. These are all important thing in this type of -- this format of business.

Vaidik Bafna: Okay, sir. And sir, one last thing is that ...

Yashovardhan Sinha: Vaidik, can you speak louder, please?

Vaidik Bafna: Yes, yes. And sir, one last thing is that when can we expect our margins to reach back to 9%-odd levels? Is there any guidance on that?

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Yashovardhan Sinha: I cannot give you a guidance on that. But our endeavor, we always give a guidance of between 8% to 10%. So 9% will be the main factor of our margin. And we strive to be at that type of margin. But again, as I told you, we cannot compromise on certain sale s, and we have to have those sales as well. So it is all controlled growth. But still, we can give you a fairly good guidance of 8% to 10% of margin.

Moderator: Ladies and gentlemen, due to the time constraint, that was the last question for today. I now hand the conference over to the management for the closing remarks. Thank you, and over to you.

Yashovardhan Sinha: Thank you, Danish. Thank you, Devanshi, and all people who are on the con -call. Thank you very much. See you soon again, and take care of yourselves . Thank you very much. Bye-bye.

Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of Axis Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.